South Indian Bank (SOUTHBANK)

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Dear Madam /Sir(s) ,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/125 /2023 -24 dated October 13, 202 3 and SEC/ST.EX.STT/139 /2023 -24 dated October 20, 2023 , we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Friday, October 20 , 202 3 at 12 :00 noon (IST) is attached herewith and made available on the Bank's website a t www.southindianbank.com under the following link.

https://www.southindianbank.com/userfiles/file/sib_q2 -fy23-24_earnings_call_transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl: as above
REF. No. : SEC/ST.EX.STT/141 /2023 -24
DATE : October 26, 2023

"South Indian Bank Limited
Q2 FY '24 Earnings Conference Call "
October 20, 202 3

MANAGEMENT : MR. P.R. SESHADRI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – THE SOUTH INDIAN
BANK LIMITED
MR. THOMAS JOSEPH K. – EXECUTIVE VICE
PRESIDENT AND CHIEF BUSINESS OFFICER – THE
SOUTH INDIAN BANK LIMITED
MR. ANTO GEORGE T. – CHIEF GENERAL MANAGER ,
HR AND OPERATIONS – THE SOUTH INDIAN BANK

LIMITED
MR. SANCHAY SINHA – CHIEF GENERAL MANAGER
AND HEAD DISTRIBUTION – THE SOUTH INDIAN BANK
LIMITED
MS. CHITHRA H. – SENIOR GENERAL MANAGER AND
CHIEF FINANCIAL OFFICER – THE SOUTH INDIAN
BANK LIMITED

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to South Indian Bank Q2 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Chintan Shah . Thank you, and over to you, sir.
Chintan Shah: Yes. Thank you, Sagar. Good afternoon, everyone, and welcome to the [Q2] FY '24 Results Conference Call for South Indian Bank. We have with us from the management, Mr. P.R. Seshadri, Managing Dir ector and CEO, along with the management team. So without further delay, I would now like to hand over the floor to the management. Thank you, and over to you, sir.
P R Seshadri: Thank you, Chintan. Good morning to all of you, and thank you for joining us for the South Indian Bank Limited Q2 FY '24 Earnings Call. We are joined by my colleagues, Mr. Thomas Joseph K., EVP and Chief Business Officer; Mr. Anto George T., CGM, HR and Operations; Mr. Sanchay Sinha, CGM and Head distribution; Ms. Chithra H., SGM a nd CFO; along with other Senior Executives .
Let me start with the key highlights of financial performance for the quarter ended September 2023. Total deposits grew by 10% to INR97,085 crores from INR88,477 crores. Gross advances grew by 10% to INR74,947 crores from INR67,963 crores.
Net profit for the quarter grew by 23% year -on-year from INR223 crores to INR275 crores.
CASA amount increased by 2% year -on-year to INR31,100 crores versus INR30,548 crores. Net interest margin for the quarter improved by 10 basis points to 3.31%.
Provision coverage ratio, excluding write -offs, improved by 948 basis points on a year -on-year basis to reach 66.77%. Overall gross NPA reduced by 71 basis points from 5.67% to 4.96%. Net NPA reduced by 81 basis points from 2.51% to 1.70%.
Improvement in ROA occurred during the quarter to bring us to 0.97% as against 0.85% same time last year. ROE improved to 15.38% against 14.17%. Recovery and upgradation in NPA accounts increased from INR374 crores in the prior year to INR475 crores in this quarter.
CRAR improved on a year -on-year basis to 16.69%, of which Tier 1 is 14.22%. The total business of the bank increased by 10% and is currently standing at INR172,032 crores. Advances grew by 10%, as I mentioned earlier.
Total disbursement f or the quarter was INR21,353 crores, of which INR15,697 crores was corporate, which is largely A -rated entities and above. Gold was INR2,792 crores. Our MSME segment was INR1,335 crores; and other retail, which includes housing loan, personal loans and other products, was INR1,529 crores.

We continue to grow out our gold loan business. Our disbursements year -to-date were INR5,675 crores with an average ticket size of roughly INR1.56 lakhs. The gold book has grown very significantly by 16% year -on-year. Pers onal loan is another segment where we see good traction. Since the launch of the preapproved personal loan targeting our own liability customers in December 2021, the PL book is roughly INR2,100 crores.
Credit card is another area of growth. This product w as launched in FY '22. At the end of September 2023, we had issued about 332,000 credit cards with an average monthly spend per card at INR20,515. The total book as on September stood at INR1,164 crores. The liability portfolio continues to be strong for t he institution. Our core deposits grew year -on-year to INR93,448 crores. NRI deposits continued to be an area of strength, and it now stands at INR28,785 crores.
It contributes to about 1/3 of our total deposits. Lo

w -cost NRI deposits stand at INR9,116 crores.
Our investment book was at INR27,296 crores with an HTM book of INR20,858 crores and AFS and HFT book of INR6,438 crores. The modified duration of the investment book continues to be conservative at about 2.79. The fresh slippage for the quarter s tood at INR312 crores and is within the guidance provided by my predecessor. The overall restructured book stands at INR1,159 crores.
The bank holds standard asset provisions, including standard restructured and FITL -related provisions of INR476 crores. Net interest income for the quarter increased by 14% to INR831 crores. Our core fee income increased 13% to INR170 crores.
Treasury profit for the quarter was about INR61 crores, excluding provisions that we had to make on SRs, which we can com e to subsequently. Overall provisions decreased by 71% year - on-year to INR51 crores. The reduction in provisions is mainly due to lower slippages and better recoveries.
With this, we open the floor for questions, ladies and gentlemen.
Moderator: Thank you. Ladies and gentlemen we will now begin the question -and-answer session. The first question is from the line of Jai Mundhra. Please go ahead.
Jai Mundhra: Yes. Sir, while we wait the question queue, I would also request if you can also include in your open ing remarks, your initial view on the institution now that you have almost completed three weeks, your initial thought process, how do you look at the strength and probable weakness of the bank, your initial view on product, processes, people and positioni ng of the bank? And then maybe that will help set the tone for the further discussion? Thank you.
P R Seshadri: Thanks, Jai. That is an overarching question, I think that touches on every aspect of the business. So let me try and answer that. I mean whilst I've been here from the 1st of October, I'm getting to know the business and getting to meet the people, gettin g to understand the financials and I've spent most of my time getting to get grips with how our balance sheet looks, how our people view the world and how we are positioned vis -a-vis competition, etc.

So a few comments leading from Jai's question. The fir st is that the portfolio is in decent shape. I think a great deal of work has already been done by Murali in the last 3 years to clean up what was historically -- historical problem part of the portfolio.
I think there's a great deal of work that's happene d to improve the margin at the institution. So margins, which 3 or 4 or 5 years ago used to be sub -3% and now comfortably above 3%. There's been a lot of work that's been done in segregation of duties and ensuring that credit quality is maintained. All of that is visible.
But we continue to be predominantly dependent on the -- on three product sides on the asset front, which we'll come to in just a bit. But before I go there, I think the key strength of the institution remains a very strong franchise on the liability side, both domestic liabilities as well as the NR liability franchise.
I think it's perhaps a little underemphasized the quality of this franchise, our liability base continues to grow in spite of the fact that we are not priced at the margin as aggressively as some of our larger competitors, including the Kerala -based competitors. So that is indicative of the very strong relationship that we enjoy with our liability customers.
On the asset side, as I said, we have three current engines of growth . One is corporate; the second is the gold loan business, which I mentioned in my inaugural comments; and the third are the personal loans to credit card products that were launched relatively recently.
Given the reliance on corporate, and the fact that th e corporate is mainly targeted to extremely highly rated institutions, the margin of the organization tends to be a little lower than som

e of
our competitors in either in Kerala or outside of Kerala.
And as a direct consequence of that statement, and in co ntinuation with what my predecessor was doing, our aim is to try and figure out how to get growth going, both on retail as well as on the MSME segment. Now MSME has been the historic bedrock of the company, and it's an area of significant strength among ou r current portfolio, which is roughly about INR16,000 crores - or-so is a reflection of the fact that we have a deeply embedded MSME business.
But in recent times, it's not been growing. So those are areas where we would like to focus on the consumer side. A nd this is a continuation of the strategy that we had adopted earlier as well.
So I don't know, Jai, if that answers the rather expansive question from your side, but it's an attempt to provide an overview of what we are thinking at this point in time.
Jai Mundhra: Sure, sir. Maybe we can keep -- I'm sure there would be a lot of questions on this. So maybe we can start the Q&A, and I'll come back.
Moderator: The first question is from the line of Prabal from Ambit . Please go ahead.
Prabal: Firstly, congratu lations, Mr. Seshadri. It is really nice to hear you almost a year now, so congratulations on that front. Sir, I have a couple of strategic questions. Mr. Murali undertook lot of changes to bring in sales culture in the bank. So now what is your sense of t he culture that

is currently in the bank? And how you -- and how do you see that in the context of your peers

versus South Indian Bank in terms of the sales push or sales culture. And have you identified any areas which can enhance the sales proposition fo r us. That would be my first question?

P R Seshadri: Okay. Thanks very much for that question. So from if I may paraphrase your question so that I don't answer the wrong question because you're not extremely clear. We are not able to hear you very well. Wh at you were saying was you were asking what my views were on the culture of the organization vis -a-vis various aspects, including sales. Again, it's an exp ansive type of question. I find that the...

Prabal: No, no. Just on sales, Mr. Murali took a lot of initiatives to bring in sales culture in the bank, which was missing 3 years back. So how do you read that now? And how would you like to accelerate the process?

P R Seshadri: So let me -- it's a little early for me to answer that conclusively as to whethe r the sales culture in the bank requires a dramatic change or not. This is a traditional branch -based institution, which has serviced its customers through the branches. Murali, my predecessor, had created the whole network of nonbranch sales architectures that were aimed at acquiring customers on the MSME as well as on the retail side.

Those architectures continue. And our focus is to continue with the erstwhile strategy, till such time as I get a better understanding of the organization and we work out th e changes that we need to do to continue the growth path that the organization wants to be on.

So at this stage, I would request that you give me a little bit more time for me to come back and tell you what I think about the culture of sales -related cultur e in the organization because I've spent most of my time at the headquarter level getting to meet people, understanding the balance sheet, understanding large -ticket customers and so on and so forth.

And I've not had too much time to meet people at the fro nt end in the branches, meet people who are actually running our sales architecture and so on and so forth. So I'm not in a position to answer your question to the degree that you would like me to answer at this point.

Prabal: Okay. Understood. Second, jus t a clarification. So on Page number 7, Slide number 7, there is a mention that in the first half of this year, we have done INR33,000 crores of disbu

rsement in the
corporate segment. Is that the right way to look at it?

P R Seshadri: Yes, that's the right way to read it. Majority of our disbursements in the first half have been to corporates. The balance sheet, as you can see, hasn't grown very much. I mean, in the first half. There is a INR2,000 crores of assets that have been realign ed from the MSME side on to the corporate side. So effective growth is roughly about INR5,000 crores or thereabouts, but there is INR32,000 crores of disbursement, which is indicative of the fact that these are fast amortizing or bullet repayment, short te nor, bullet repayment type of facilities done to very highly rated corporates.

Prabal: But the context of the corporate loan book of INR30,000 crores, don't you think this number is on the higher side, INR32,000 crores disbursement in this first half?

P R Seshadri: So that's what I was trying to tell you. The -- this is the sigma of all new disbursals. So if you do a disbursal for 14 days or you do disbursal for 30 days and then redisburse after 30 days, it's counted twice. So as a consequence, while my cor porate loan book ex the reallocation from our commercial book has grown, growth during the half year is only INR5,000 crores, but the disbursal is amounting to INR32,897 crores.

So I wouldn't put too much -- I mean, I wouldn't look at this and then say tha t we are disbursing too much. It's basically the short -term tenor nature of the exposures that we are taking as a risk mitigation strategy.

Prabal: Understood. Sir, what is your view on cost of funds and margin going ahead?

P R Seshadri: Sorry, could you r epeat that, please?

Prabal: What's your outlook on cost of funds and margins going ahead -- net interest margin?

P R Seshadri: Cost of funds, inevitably, is dependent upon how the interest rate regime behaves as we go forward. Assuming the current upward b ias remains. At the significant chunk of our liability book will get repriced upwards.

So we expect approximately one third of our term deposit book to get renewed over the next 6 months. And obviously, the quantum and the impact on our cost of funds, it w ill depend upon, a, external environment as to where the rates are at that point in time; and b, our own strategic decisions on how we reprice our own deposits. But there is a bias towards increasing of the cost of funds as is being reflected, I think, in every bank on the street.

Moderator: The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.
Rohan Mandora: Congrats on the appointment as well as good set of numbers. Sir, I just want to understand, in the opening rem arks, you alluded to NIM for the bank being among the lower side as compared to competition. So what would be your strategy vis -a-vis growth and profitability? And will we look to run down the corporate portfolios to have an uptick in NIMs. So what's your thought process on that? And also, is there any portfolio that's marked for rundown right now because of asset quality issues?
P R Seshadri: With respect to strategy, I think as of this moment, as I mentioned, we are continuing business as usual. I mean it's a little early for me to change strategy. The bias, I'll tell you where my biases are, the bias is to build a more granular higher -yielding book. So the bias is to try and grow commercial and the retail side. Because we think that we are underrepresen ted there, and that there is a significant opportunity for us to gain market share. And by doing so, we think that the spread that we currently enjoy can increase.
The spread that we have, which is reflected in the NIM is to a degree suppressed also by the fact that a fairly large chunk of these assets are very short tenor, highly rated corporate assets. So as we are in a position to acquire other asset classes, we will be able to substitute t

he highly rated,
shorter duration exposure that we have with thos e exposures and consequently, NIM should rise.

So I think we are reasonably well positioned as long as we can get our sales engines working and we can get reasonable product propositions out through the door on those 2 product sets, we should be in a posit ion to move towards NIMs that are closer to our sister private sector bank entities.
Rohan Mandora: Sure, sir. And on any portfolios marked for rundown due to credit reason?
P R Seshadri: We don't have an explicit portfolio that's marked for rundown. There are in the overall portfolio, there are portfolios that have higher current NPAs and delinquencies, but they're not specifically marked for rundown at this point in time.
We are watching it very closely and not growing those portfolios, but not explicitly marked them as exit at this juncture. In my next call, it's a little early for me to make those comments. As I said, we are continuing with the strategy that Murali had, by and large, because it has been working all this while. And as I get a better under standing of the bank, we will give you greater visibility as to the changes in the strategy and the portfolios that we are inclined to actually work actively downwards, yes?
Rohan Mandora: Sure. And sir, on the SME slippage run rate that we are seeing righ t now of INR200-odd crores, should that be taken in a normalized run rate or we can expect some improvement there, quarterly run rate of INR200-odd crores?
P R Seshadri: Yes, we -- the slippages were approximately INR290-odd crores for the quarter. This is ex the credit card slippages which are not included here. That's because we -- it is covered by first loss deficiency guarantee. The slippage ratio should be in this ballpark. I mean from what we can see, net of -- we don't think that it should aggressive ly increase.
If anything, as some of the older stuff flows through, it should, over a period of time, start decreasing. But at this point in time, this 42 basis points that we have in the presentation seems to be a number that we are reasonably comfortable with and that will keep us in line with the INR1,500 crores kind of number that we have predicted at the beginning of the year.
Rohan Mandora: Sure. And sir, lastly, this is slightly more expansive kind of a question. So as an external entity, when you we re being evaluated by the bank for the position, what were your top 3 -- top 2 to 3 thoughts that you thought is the improvement area required for this bank?
P R Seshadri: Let me answer it differently. I mean, I'll tell you why I decided to join the bank. The top drivers for saying that, hey, this is an area that -- this is a bank that makes sense, that is attractive. From my point of view, the liability franchise is an important franchise, and very often very difficult for you to grow, keeping cost reasona ble because liability relationships take a long time to set up.
And if they are not to be entirely price -driven, they need to be anchored in human relationships. And only long -term institutions that have been around for a long time can actually build that. So I think South Indian banks, a key area of strength that is very often not talked about so much is the liability side. And if you were to go and compare the rates that this institution is offering

versus some of our larger peers from Kerala itself, you' ll find that we are actually lower than them.
And in spite of that, the liability book is holding. And that's a great area of strength. My own

view was that assets can be built. Assets are about understanding risk and building appropriate processes and sys tems, which should be doable over a period of time. But having the liability sides stitched up is very, very important in the long term for the bank. I hope t

hat answers your question.

Moderator: The next question is from the line of Sonaal from Bowhead. Please go ahead.

Sonaal: Part of my question has been answered. But just what are your thoughts -- initial thoughts on the asset quality in case you've got a chance to look at that across various categories? And do you suspect that you would like to slow down the growth part, which Mr. Murali had taken? Or do you think based on whatever guidance he had given, you don't see a challenge in meeting that guidance? And do you think you need to recruit a lot of new people or it's a little too early for me to ask you that question?

P R Seshadri: Well, thank you very much for that question. With respect to asset quality, I think if you were to look at our numbers, the SMA numbers, SMA -2 numbers are in the deck . I would much rather have an SMA -2 number which is sub -0.5%. Currently, we are close to 1% on the SMA -2 side. If SMA -2 is higher than the number that I would like, obviously, SMA -1 is also going to be higher than what we would like.

So on the portfolio side, I think there is some work that we need to do to imp rove the portfolio that we have on the book. But that's a mixture of originating new good -- better quality new assets, which is something that the entity has been doing for a while and also working through the historically delinquent accounts, which are e ither in SMA -1 or in SMA -2, which we intend to do a little bit more aggressively than we've done in the past, so that the SMA -1 and SMA -2 numbers can become smaller and the predictability of NPA increases. So as far as growth is concerned, as I said, we ha ve 3 engines of growth. One is the corporate side, the second is gold and the third is the cards to PL program.

Our bias and my own personal bias is to be more granular. But in the short term, given the fact that these corporate assets are of high quality, we'll continue with the current method of acquiring assets and growing our balance sheet. And as time goes on and as our systems and processes adapt to being more focused towards this MSME segment as well as the retail segment, the balance sheet structure would shift.

Sonaal: Sir, I have a follow -up on that. And one of the questions has been not answered on hiring of employees in the future, is it too early to ask you or do you think you'll be bringing quite a few people?

Secondly, when I was asking asset quality, my question was more near term. Mr. Murali had guided for almost a INR300 crores of net recoveries, which implies INR550 crores of recoveries in the next 6 months, if that guidance was to hold true. Do you think you're in a position to comment on that? Your asset quality, if I look at the combined of net slippages, delta in

restructure and delta in SMA -1 and 2 has declined 80 basis points Q -on-Q. So do you think what is leading to that as well here?

P R Seshadri: Okay. Our recoveries for the quarte r, including interest recoveries and recoveries from write -off, etcetera, were roughly about INR475 crores. My team seems to be reasonably confident that these numbers are, if anything, if not repeatable, they're at least in part, exceedable. So I think that the trend lines that you're seeing on the GNPA and net NPA numbers, at least on the basis of information that is available today should continue in the same manner and

The portfolio will improve. That's essentially because of the great deal of work tha t's been done on the corporate side. With respect to hiring of people, too early for me to comment. I think we do have both a large cadre of people who are internal to South Indian Bank and a fairly large number of people who have come from other instituti ons over a period of time.

And we have a talented set of people here. So what we need to do is understand where there are gaps and how best to fill them. So if you would permi

t me, I would rather hold the question for the present and come back to you with an answer in the next call that we have.

Sonaal: And sir, in terms of the growth which you are looking at, would you like to slow down the growth in the immediate near future or do you think -- because the growth slowed down this quarter, so we're just won dering is 10% the new norm or we can go back to 12%, 15% kind of growth for the full year is concerned?

P R Seshadri: I am not responsible -- while I'm presenting on these results, I joined the organization on the 1st of October. And since these results ar e on the 30th of September, we do not represent any action that I have taken so far. I see no reason to slow down the growth at this point in time. And the mixture that is coming through seems to be performing reasonably well.

So there is no crying need on the basis of the 15 -odd days that I've been on the job effectively for us to change direction. So it's business as usual as far as we are concerned. We were hoping to end the year at INR82,000 crores or thereabouts. I see no reason why we wouldn't get the re. And over a period of time, we will -- rearchitect in the direction that the organization anyway wanted to go. So I trust that answers your question.

Moderator: The next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah: Sir, congratulations on your appointment and a good quarter. Sir, just one question, which I had now, thanks for articulating your thoughts clearly. We do understand that it's a little too early for you. But just want to understand one thing th at from a momentum perspective, right, I mean, clearly, a lot of effort and work has gone through in terms of restructuring the balance sheet and the P&L and the outcomes that we are seeing today, maybe in terms of ROAs, ROEs, the provision coverage, proba bly we are looking at the numbers which are best in a decade for the bank, right?

So I just want to understand that, is it fair to assume that the momentum kind of continues? Clearly, a lot of changes will be made by you as well, which will take some time to show up in terms of results, but is it fair to assume that the momentum kind of continues in the interim while

the bank continues to invest and build over and above what is being currently delivered? Yes, I just wanted your thoughts on that.

P R Seshadr i: Thank you very much for that question. So I want to reiterate. I mean, it's business as usual as far as we are concerned. There is a strategy that was adopted by my predecessor. The strategy has clearly yielded results. So as you rightly mentioned, the numbers that you're seeing are the best in a quarter or best in a decade.

So if that is the case, there is no real reason for us to change anything in a tearing hurry, and we don't intend to do that. And the momentum that you are seeing in the business wil l continue. If anything, we'll work hard at improving momentum in the segments that we think we need to grow and where we are under -represented.

Moderator: The next question is from the line of Sukriti Jiwarajka from Laburnum Capital. Please go ahead.

Sukr iti Jiwarajka: Sir, I just have one question. So I noticed you didn't mention mortgage in one of the growth segments that you spoke about. While it has been a declining book, this is one of the verticals that Mr. Murali spoke about as having revamped and just a couple of more months left fo r all the processes to get in place. I just wanted to understand your aspirations for the mortgage piece, specifically.

P R Seshadri: So you're making a distinction between home loan and mortgage. Home loan is an area that Murali was trying to grow aggress ively. Mortgage, perhaps a little less so, given our historical loss trends in the product. But our bias is to, at this point in time, continue, as I said, wi

th Murali's
strategy.

And we want to aggressively double down on the home loan proposition. On the LAP side, I think there are opportunities -- on the mortgage side, there are opportunities that we need to relook. We need to work on our own underwriting standards so that we can reenter that market and participate in that as we go forward. So that is an element of strategy that we need to discuss internally and agree upon. It is -- at this point in time, it has not been taken up by the Board and the agreement has not been sought.

Sukriti Jiwarajka: Got it. Got it. So home loans is a big focus area, but m ortgage, we will wait and see?

P R Seshadri: That is true.

Moderator: The next question is from the line of Bhavin Shah from Samee ksha Capital . Please go ahead.

Bhavin Shah: Yes. First of all, really heartened to see the progress that the bank is making. I have just a couple of quick questions. One is that I see in the presentation your FY '25 targets which you've already met in first quarter FY '24 with respect to ROA, ROE and other targets.

So I think shouldn't you set some more ambitious targets? Otherwi se -- and because it doesn't make sense, the fact that your older book is running down and the newer book is much more -- has much higher operating metrics. And why would you have the same targets -- same numbers in FY '25?

And second is how do you sustain the cultural shift in the organization that has happened in the last few years, which has resulted in this phenomenal performance, what is to be done to sustain it?

P R Seshadri: So with respect to your first question, I agree, we'll have to recast those targets, now that we've achieved them. And hopefully, we will continue to consistently achieve them. we will have to relook at our numbers and our ambition as we go forward and recast them. So I would urge your

indulgence so that I can do this in the quart er that comes next and perhaps the next meeting, we'll come back to you with a number as to where we want to go.
With respect to the cultural shift, as I said, all the practices that were being followed in the past and all the systems and processes that had been put in place continue. There has been no change as of this moment. If anything, the control environment that we currently have will be strengthened by using technology and by ensuring that the control elements are placed in such a manner that we g et outcomes that we want while being business friendly at the same time.
So that's the kind of change that we would like to make, but not -- the change that we are intending to do is not a philosophical change, but more an operational change that makes it easier for us to achieve what we want to achieve. So I think given that, it should be reasonably simple for us to continue with the cultural shift that has been initiated over the last 3 years, and that will be our endeavor to ensure that, that does not sl ip back.
Moderator: The next question is from the line of Darshil from Crown Capital. Darshil your line is unmuted, please go ahead.
Darshil: Sir I just wanted to know in terms of our ROAs and everything we mentioned in the presentation, but what would you feel would be maybe a longer -term target? What would be an ideal profitability that you are targeting, maybe not 1 year down the line, maybe next 2, 3 years, where do you see the outlook that you feel that a bank our size should be doing?
P R Seshadri: So as I was mentioning earlier, I mean, it's a little early for me to actually make a comment on this. But let me try and give you some directional information. So we are in an institution with a stable liability base and our liability cost, which is compara ble to some of our larger institutions. If anything, our landed cost of liability is actually lower than some of our larger institutions, institutions operating in the same geograp

hy.
Given that, we have a clear liability advantage. On the asset side, we a re currently operating on very high quality, concentrating on very high -quality corporate assets with a shorter duration, which means that the net landed interest that I earn tends to be lower than if you were to participate on the SME/retail space.
So the refore, in the long term, there's only one place for the net interest margin to go. As we shift from this and have a more balanced book, net interest margin only has to expand and that is how fast it will expand and to where it will go, depends on how well we can make this transition from being dependent on the three product legs that I mentioned earlier to a more balanced place where MSME grows and as well as other retail grows, it depends on that.

But having said that, we've hit 1% here. But if NIMs were to grow for us and come to the early fours , then I don't think there is very much incremental expense that we need to look at. We are fully staffed to do all of this. And much of it will flow through into the bottom line.
So I think -- all I can say is dir ectionally, that's the way it looks to me at this point in time. If credit holds and we can make this transformation, there is a very significant increase in the return on assets that should be possible.
Darshil: And sir, what would we envisage the timelin e for this as? Like maybe from what I'm coming off is like you just started this journey, so maybe a 2 -year, 3 -year journey that you see. What would the timeline be to increase the state -- like increase, as you said, maybe early 4% or something like any -- we don't need a firm thing, but just maybe more qualitative side or how would you -
- what would you put as your own internal target for your own self?
P R Seshadri: No, I am hesitant to answer that question. I would say that we try and present a more ar ticulated plan in the next call that we take. Till then I'd like to reserve my comments and give you these numbers as we meet the next time around.
Moderator: So the next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: I just wanted to understand on the cost of deposit side, what's the increase you expect in the second half from here on?
P R Seshadri: I think that's a very good question. Our cost of deposits are roughly about 5% today . So I think that compares quite well with our competitors. But we have roughly 1/3 of our time deposit book coming up for repricing over the next 6 months.
So by March of 2024, 1/3 of our book will get repriced and the rates that we offer at that point in time will be driven by the market. And the current bias is on an increasing side, i.e., the view is that pricing that we offer today will probably be lower than the pricing we expect to offer 3 months hence or 4 months hence, because that seems to be the interest rate trend that we are in.
So we do expect a fairly substantial increase in cost of funds on account of repricing of the existing time deposit book. But this is something that we manage quite aggressively and -- as you can see, we've managed quite effectively so far.
And we are hoping that even with that repricing, our total landed cost continues to be

competitive. I don't want to give you a number at this stage because there are a lot of imponderables which we need to work through as to where the rates will be in the market at that point in time and so on and so forth.
But currently, the view is that there will be a reasonable growth. And we are seeing it quarter -on-quarter, it's grown from 4.85% to 5%, and that trend line is perhaps not going to c hange very much. So you can extrapolate from these numbers to where you think it would go.

Pallavi Deshpande: All right, sir. So it's been better than the

PL writing the increase -- the quarter -on-quarter increase, so just I was concerned are we going to s ee a -- do you have a lumpiness coming up in the third and fourth quarter in terms of the repricing?
P R Seshadri: Actually, since only 1/3 of it is repriced. Yes, I'm not able to answer this question because I don't have the number as to how much got repriced in the first 6 months. I was always forward -looking the question I was asking my team was, how much is reprici ng in the next 6 months? I never asked them how much we repriced in the first 6 months? So I don't know whether there is lumpiness or not. Maybe we can answer this question subsequently because we don't have the data just now.
Pallavi Deshpande: Right. And sir, secondly on FLDGs, there was something in the first quarter that you couldn't include that income because we were waiting for some RBI approval. So has that income been included in this quarterly number?
Moderator: Sorry to interrupt Ms. Deshpande. M ay we request you to return to the question queue as there are several other participants waiting for their turn.
P R Seshadri: Yes, I'll answer that question since she asked it. Yes, the first loss deficiency guarantee related monies have been applied to the account and pay -- and accounted appropriately.
Moderator: The next question is from the line of Namit Arora from Indgrowth Capital . Please go ahead.
Namit Arora: Congratulations, Mr. Seshadri and wishing you and your team all the very best. Sir, my question was around strategy. The bank has nearly a century old legacy and a very large customer base of about 73 lakhs, et cetera. So from your standpoint, given your enormous experience across institutions, any initial thoughts in terms of positioning th e bank and how you would like to leverage some of the historical strengths from a competitive positioning standpoint going forward?
P R Seshadri: Thank you very much for the question. I mean initial thoughts are -- as I said, I think, very clearly, the lia bility side is a strength. And I think going forward, that's going to be an area which is going to be deeply contested.
And we want to strengthen the liability franchise even more so that we turn that into some kind of a fortress for ourselves and have a l ow-cost liability base that is dependable and that is growing. So then we want to focus on the liability side in an era of expected liability shortage.
On the other side, on the asset side, there's been a lot of work that my predecessor has done.
For the p resent, we are continuing with the asset -side strategies laid down by Murali and all the other attendant changes that he had made to the organization. I will come back in the next call with a clearer view of where we are going.
As I mentioned, my own perso nal bias is to have a granular portfolio, which implies that we would like to grow MSME and the retail a little bit more than where we are currently. I trust that answers your question. I do apologize because I'm not able to give a fuller answer at this po int in time given that I've been here for a very, very short period of time.

And any strategic decisions that you make has to be made in the context of the organization that you work for and in the context of the strengths and weaknesses of that entity and in the context of the environment and the opportunities that it provides.
So in my case, while I'm aware of the environment and the opportunities, I do not have a full handle on the organization and the strengths and weaknesses that the organization actua lly has for us to make a determination on what strategic elements should be followed at this point in time.
Namit Arora : Thank you very much, sir. Very helpful and completely understandable and look forward to connecting with you in the next call and all t he very best.
P R Seshadri: Thank you very much.
Mode

rator: The next question is from the line of Sonaal from Bowhead. Please go ahead.
Sonaal: So sir, you did mention about not being exactly clear about how much of repricing has happened

and how much more to go. But when you speak with your senior team, which have been in the bank since Mr. Murali was there, so what is the sense you're getting on the direction of NIMs for next 6 months or 1 year? Are we near the bottom or much more way to go down or broadl y, we are there based on your understanding of the bank from your colleagues?
P R Seshadri: Okay. So here, there are several drivers of the NIM. One is cost of funds, obviously, right? So as I said, 1/3 of our time deposit book is going to get repriced in the next 2 quarters. So that's a negative in a sense that as the time deposit reprices upwards, my NIM will drop.
But the positive is on the asset side, a very large chunk of the assets are very, very short duration, right? So as there was somebody who ask ed me questions about the INR32,000 crores of disbursals we've done on the corporate, whereas the corporate book has only grown INR5,000 crores.
That's reflective of the fact that the -- if you were to assume it's the same asset that has been disbursed multiple times. You are looking at a 30 -day duration in effect of the asset, which -- so the advantage that we have is that as our liability book re prices, we have, at least, in theory, the prospect of repricing the asset, right?
So the NIM compression for us, given the very short duration that we have on our asset is likely to be less than some of our competitors. But again, this is -- the outcome wi ll depend upon market circumstances. It will depend upon how aggressively our competitors bid for assets at that point in time, et cetera, et cetera. But structurally, we are reasonably well placed to handle NIM compression going forward.
Moderator: The ne xt question is from the line of Sheel Shah from Sameeksha Capital. Please go ahead.
Sheel Shah: Sir, I just wanted to know is there any one -off in our operating expense? And what's our guidance for cost to income for the full year?
P R Seshadri: So I'll ju st turn this over to our CFO, Madam Chithra, who can give you a more nuanced answer.

Chithra H. : See, operating expenses, of course, as you know, where you are comparing is it on a Y -o-Y basis or?
Sheel Shah: Quarter -on-quarter basis. I mean Q1 we had a jump because of sta ff cost, but even Q2, it's high?
Chithra H. : Q1 to Q2 not much it has happened. If it is -- maybe card expenses have gone up, but then income also has gone up on the revenue side. So there is no much one -off. Of course, the certain items like RTGS expenses and all those things are now billed on a 6 m onthly basis. So those things have not come in the first quarter, which is coming in the second quarter. So it's not a one-off. The only thing is that some frequency has changed.
Sheel Shah: Okay. Sir, and I mean, are you expecting the same amount in Q3, Q 4?
Chithra H. : Q3 -- that is what, there is no one -off in the current quarter . I mean if you are talking about next quarter there may not be any one off. .
Moderator: The next question is from the line of Mr. Jai Mundhra. Please go ahead.
Jai Mundhra: Prob ably the last question. Sir, just a few things. So given your reputation of a risk manager, maybe if you can answer at this point of time, are the risk and business, are they clearly bifurcated to the extent you would have liked? And is there any -- of cou rse, the risk management is an ongoing thing, but how -- I mean, if you had a chance to look at the risk mechanism at the bank.
P R Seshadri: Thanks, Jai, for the question. Risk management is a difficult thing. And in an institution such as ours, we'd like to be resilient and which means that we should be in a position to take shocks that come from the ext

ernal environment.
And those shocks are not modelable, i.e., you can't predict that the shock is going to come. But you need to be able to take those shoc ks and move forward. And clearly, this organization has been resilient because it's been around for 94 years. So without being resilient, it probably wouldn't have been around now.
To be resilient, you need to ensure that event risk is managed appropriatel y, which means that any event that happens doesn't impact you to such a degree that it causes deep wound to the organization. And to manage event risk, you need to manage to have a more granular type of book at various asset classes.
And hopefully, if poss ible non -correlated asset classes as well. Now it's very hard for a bank to have non -correlated asset classes. But having said that, different asset classes, hopefully, will behave differently as we go forward.
In the current book that we have, we do have a large corporate portfolio, which tends to have larger ticket sizes and is less granular than what I would personally like. But that has behaved well over the last 2 or 3 years. And therefore, there is no reason for us to believe that it wouldn't behave a s we go forward.

But as I said, personally, in order to increase resilience, I would like to build a balanced book
which is granular in nature of different asset classes that are as less correlated as possible. I don't
know if that answers your question, J ai.
Jai Mundhra: Yes, yes. No, it does partly. And sir, secondly, you said that commercial is one where bank is
underrepresented, right? So do you think you need to do some a lot more revamp in the process,
channel, maybe templatize lending or maybe branch KRA, employee KRA, et cetera? Or you
think it is -- it will just need change of focus there?
P R Seshadri: I think a little bit of everything will be required. It's a little early for me to have a view, Jai, on
exactly what needs to be done. When I say th at we are underrepresented on MSME, I'm saying
that we used to have a larger book in the past, which has shrunk now.
And obviously, it's an area where the spreads are better and volatility, while it can be high, but
it's at least granular in nature and you have collateral security to help you tie it through tough
times. So it's an area where we'd like to grow. What we need to do is something that I will come
back to you in the next call.
It would not be right for me to make a comment at this stage which may be inaccurate. So in the
interest of being fully accurate and with full transparency, best that I answer this in the next
meeting.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand over the
call to the manage ment for closing comments.
P R Seshadri: Thank you very much, Chintan. Thank you all for taking time to attend this call and for listening
to us very patiently over the one hour and 10 minutes that we've been on this call. Many of the
questions that you as ked were very, very penetrative and interesting, and they gave us a lot of
ideas as to what we need to look at as we go forward. So thank you once again for being on the
call. Thank you once again for taking time to spend time with us. Thank you.
Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining
us, and you may now disconnect your lines.

Call: Jan 2024

DEPT.: SECRETARIAL

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Dear Madam /Sir(s) ,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/180 /2023 -24 dated January 15, 2024 and SEC/ST.EX.STT/186 /2023 -24 dated January 18, 2024 , we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Thursday, January 18 , 202 4 at 17:0 0 hrs (IST) is attached herewith and made available on the Ban k's website at www.southindianbank.com under the following link,

https://www.southindianbank.com/userfiles/file/sib_q3 -fy23-24_earnings_call_transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl: as above
REF. No. : SEC/ST.EX.STT/190/2023 -24
DATE : January 23, 2024

"The South Indian Bank Limited
Q3 FY '2 4 Earnings Conference Call"
January 18, 202 4

MANAGEMENT : MR. P. R. SESHADRI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – SOUTH INDIAN BANK LIMITED
MR. THOMAS JOSEPH – EXECUTIVE VICE PRESIDENT AND CHIEF BUSINESS OFFICER – SOUTH INDIAN BANK LIMITED

MR. ANTO GEORGE T –CHIEF GENERAL MANAGER AND THE
HEAD OF HR AND ADMIN – SOUTH INDIAN BANK LIMITED
MR. SANCHAY SINHA – CHIEF GENERAL MANAGER AND HEAD
OF DISTRIBUTION AND BRANCH BANKING – SOUTH INDIAN
BANK LIMITED
MS. CHITHRA – SENIOR GENERAL MANAG ER AND CHIEF
FINANCIAL OFFICER – SOUTH INDIAN BANK LIMITED

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

Mod erator : Ladies and gentlemen, good day, and welcome to Q3 FY '24 Earnings Conference Call of South Indian Bank hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you, and over to you.
Chintan Shah : Yes. Thank you, Yashashri. Good evening, everyone, and welcome to the Q3 FY '24 earnings conference call for South Indian Bank. We have wit h us, from the management, Mr. P. R. Seshadri, Managing Director and CEO along with other senior executives from the management team.
So without further delay, I would now like to hand over the floor to the MD sir. Thank you, and over to you, sir.
P.R. Ses hadri: Thank you very much, Chintan. Good evening to all of you and thank you for joining us for the South Indian Bank Limited's Quarter 3 FY '24 Earnings Conference Call. I'm here together with my colleagues, Mr. Thomas Joseph, Mr. Anto George, Mr. Sancha y Sinha, Ms. Chithra, and others.
Let me start with the key highlights of the financial performance for the quarter ended December 2023. Total bu siness grew by 10% to reach INR [1,76, 841] crores. T otal deposits grew by 9% to INR 99,155 cr ores, just a touch short of INR 100,000 crores. Gross advances grew by 11% to INR 77,686 crores. Net profit for the quarter grew by 196% year -on-year to reach INR 305 crores. CASA amount increased by 3% year -on-year to INR 31,529 crores. Net interest margin for the quar ter stood at 3.19%.
Provision coverage ratio, excluding write -offs, improved by 688 basis points year -on-year to reach 67.08%. And PCR, including technical write -off, improved to a touch under 78%. Gross NPA reduced by 74 basis points from 5.48% to 4.74% on a year -on-year basis. Net NPA reduced by 65 basis points from 2.26% to 1.61%. Improvement on ROA to 1.07%. So this quarter, a return on assets came in at 1.07%. And given the structure of our balance sheet that resulted in a return on equity of 16.38% a gainst 6.42% for the same quarter in the prior year.
Recovery and upgradation in NPA accounts stood at INR 377 crores. CRAR at the end of the quarter stood at 15.6%, of which Tier 1 stands at 13.37%.
We continued to grow our gold loan business. This now stands at approximately INR15,369 crores. Personal loan is a segment where we are a late entrant and we have small book, but the book continues to grow. We launched our preapproved personal loan business in December 2021. As on December 2023, our book stoo d at approximately INR 2,186 crores.

Credit card is another area of some growth, which was launched in 2022. As at December 2023, we had issued 3,77,134 credit cards with monthly average spends of approximately INR22,780 per card. The total book as on December 2023 was INR1,427 crores.
On the liability side, core deposits grew 7% to INR95,088 crores. NRI deposits continued to grow and now stand at INR29,236 crores.
Investments. Approximately, our total investment book stood at INR26,654 crores, of which HTM was INR22,374 crores and AFS and HFT, the rest.
Fresh slippages for the quarter was INR267 crores, which is amongst the lowest numbers that we've had in recent times. And it is in line with the guidance that my predecessor had given you.
The overall restructured book stands at INR894 crores. And the bank holds standard asset provisions, including standard restructured and FITL loans of the extent of INR451 crores.

Net interest income for the quarter was INR

819 crores. Core fee income increased 19% year -
on-year to INR178 crores. Treasury profit for the quarter was INR113 crores. You would have seen from the investor presentation that has already been uploaded that a significant portion of our growth continues to come from the corporate side. In the asset book, corporates now constitute roughly approximately 39%. And we also have included a section that talks about the steps that we're going to take going forward to a, rebalance our balance sheet , improve our efficiencies , and also improve operating results for the institution.
So we continue to maintain momentum in disbursements and collections. Our strategy has not fundamentally changed. We continue to focus on elements that my predecessor had focused upon wi th nuanced changes as to how those need to be implemented as we go forward. And the results that you see today are a reflection of the fact that the underlying basis on which the strategic elements were put into place was sound. And we hope that as we cont inue to go forward, our outcomes will be suitably rewarding.
With that, let me turn you back over to Chintan.
Mod erator : Should we begin with the question -and-answer session, sir?
P.R. Seshadri: Yes, please.
Moderator: We have a first question from the line of Rakesh Kumar. Please go ahead. We have a question from the line of Parth Mehta. Please go ahead.
Parth Mehta : Sir, my one question is how's the cost of funds panning out for us vis -à-vis competition?
P.R. Seshadri: I think the numbers you'll find in our investor deck. Our costs of funds continue to rise on account of the fact that our deposits are repricing. So our deposit cost, cost of deposits is right now at 5.18%. And I think that compares favourably with some of our competitors who are Kerala - based. And so we continue to be well placed on this front.
But as our deposits mature, and as they get repriced upwards, we do have continuing cost of fund increases as can be seen in this chart on Page 16 of our investor deck, actually.

Parth Mehta : Okay . Okay. So is there any cap that you are looking at? Or it will be a moving phenomenon as we go ahead?
P.R. Seshadri: So you were asking about our peer banks and how our cost of funding was compared to them?
Parth Mehta : Yes. Yes.
P.R. Seshadri: You can se e that on the Federal Bank investor deck if you so desire and compare the numbers yourself, and you'll find that we compare favourably .
Parth Mehta : Favourably , okay. And the way ahead for us? It will get better -- it will keep on rising from here on?
P.R. Seshadri: Yes it will continue to rise from now on.
Parth Mehta : Okay, that’s it. I’ll join the queue. Thank you.
Moderator: Thank you. We have our next question from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar : Yes. Am I audible, sir?
Moderator: Yes.
P.R. Seshadri: Yes, you're audible.
Rakesh Kumar : Yes, thank you. So sir, firstly, considering the disbursement number for the 9 months and the book outstanding that we have loan book, I would like to understand what is the average maturity of the loan book that we have, sir?
P.R. Seshadri: We have not computed that as s uch. So our loan book consists of multiple parts. There is a corporate loan book, which is the largest chunk of our balance sheet, as you can see. Then there's gold loans, gold loans are on average 6 months maturity. Then there's home loans then mortga ge loans then the stuff of that nature, which is a smaller chunk. And then there's MSME between overdraft and terms, which have reasonably long maturities.
The area where we have very significant repayment and then disbursal again is on the corporate side. And we've not computed the average maturities at this juncture. We can have -- make that available to you. We believe that it does -- in

a rising interest rate environment, it offers us some
advantage in the sense that we are able to reprice our assets p eriodically, keeping in view the price of -- on the liabilities end. And therefore, the structure as such is not disadvantageous to us under these circumstances.
Rakesh Kumar : [Technical Difficulty] .
Moderator: Mr. Rakesh Kumar, you are sounding muffled, p lease use your handset mode.
Rakesh Kumar : [Technical Difficulty] .

Moderator: No, we can't hear you.
Rakesh Kumar : Is It better now?
Moderator: Yes. Please go ahead.
Rakesh Kumar : So sir, the other question was just pertaining to the notes of accounts. There is a mention of provision for around 3.1 billion, around INR300 crores, for security receipts. So if you can elaborate on that what is the change that we have found in the RBI g uidelines pertaining to the security receipts?
P.R. Seshadri: I think you are referring to an event that took place in the Q3 of the prior year, wherein certain provisions were made on -- to the assets that were held by us in the form of security receipts and they were written down to the extent of that amount. And this is not an event that has taken place in this quarter. This is an event that happened a year ago.
The consequence of that was the fact that profits for that particular quarter were depressed . And as another consequence, the profits for this quarter compared to that quarter seem -- are consequently 200% greater.
Rakesh Kumar : Okay. Okay, sir. Okay. And sir, this fraud account, there is a provision for a fraud in one branch, so what was that re lated to?
P.R. Seshadri: That is related to an event that has taken place in one of our branches, a consequence of which is that we've -- that we suspect there could be an impact to the extent of INR28.6 crores or thereabouts, and that has been fully provi ded.
Moderator: Mr. Rakesh Kumar?
Rakesh Kumar: Sure sir. Thank you sir. Thanks.
Moderator Thank you. We have a next question from the line of Saransh Sethi from Samar Wealth Managers. Please go ahead.
Saransh Sethi: Am I audible?
Moderator: Yes.
P.R. Seshadri: Yes, please.
Saransh Sethi: Sir, my question about cost -to-income ratio. As we see it is higher compared to peers. How does management see these 1 or 2 years down the line? And what's the guidance on net interest margin for coming years?
P.R. Ses hadri: So let me answer that. There are two questions, cost to income and net income -- or net interest margin. On the cost -to-income side, as you rightly mentioned, compared to our peers, our cost -to-income ratio is higher. We are currently at about 61.98 %, which is very close to 62%. So if

you see our investor deck, there are five areas that we, as a management team, are going to focus on.
One is enhancing our portfolio resilience, which is basically a complicated way of saying that we want to have a mor e granular book, we want to improve our branch productivity, and third is cost optimization. So we are seized of it. We -- the current high levels are on account of a few one-timers that we've had to take. So this quarter, we've provided for the IBA wage s ettlement that happened.
We were accounting for it at 15%. And in this quarter, we've had to make a difference between the 15% and 17%, which is the final settlement amount. And we estimate that is approximately INR24 crores incremental provisions were tak en.
So to that extent, our expenses are overstated from the normal. But having said that, our base expense ratios, even without this one -timer is higher than our peers. And as a management team, we are looking at methods of addressing that and attacking t hat as we go forward.
With respect to net interest margins, our net interest margin for the quarter came in at about 3.19

%, which is sequentially lower than the prior quarter. And that is on account of basis risk playing out in the sense that our liabilit ies are now repricing faster than our assets and, as a consequence, squeezing our margins.
To address this, there is no short -term method of addressing this very, very quickly. The only way to do that is to change the structure of our balance sheet from a n asset’s perspective, and that we have walked you through in this strategy parts of the deck that we put out.
The other thing that I want to bring to your attention is what I just mentioned. Our assets are of shorter duration. The lower yield assets, whi ch are put out to very high -quality corporates are of very short duration. And the hope is that as interest rates rise, we'll be able to transfer some of that to our customers and consequently keep the NIM at reasonable levels. So I trust that answers

your question.
Saransh Sethi: Sir, any guidance on NIM for upcoming years?
P.R. Seshadri: Sorry, sir, could you repeat that question?
Saransh Sethi: Sir, any guidance on NIM for upcoming years?
P.R. Seshadri: I hesitate to give you a guidance because we are in the process of putting together a long -term strategic plan for our institution at this point in time. All I will say is that we want to restructure our balance sheet and have higher yielding assets, larger proportion of them on the book.
So from a directi onal standpoint, we will be working towards taking NIMs up as we go forward.
We are hoping that all our analysis and work can be done reasonably quickly, and we can come back to you with the guidance reasonably quickly.
Saransh Sethi: Thank you sir. That's all from my side.

Moderator: We have a next question from the line of Prabal from AMBIT. Mr. Prabal?
Prabal: Hello. Am I audible?
Moderator: Yes, please go ahead. If you can speak a bit louder, please.
Prabal: Just give me one second, please. Is this bett er now?
Moderator: Can you use your handset mode?
Prabal: Yes, yes, I have. Is this better now?
Moderator: Yes, please go ahead.
Prabal: Sir, congratulations. Sir, my question is just an extension of the previous participant's question.
How do you get in branch productivity and cost optimization, if you can explain your strategy there.
P.R. Seshadri : So on the branch productivity, we've done a few things. We've started -- see, branches do two things, Prabal, . One is they provide service. So customer s come in, they have a query, they need something, they provide that service.
The second is they sell products. So we are doing -- we've started -- we've done a whole bunch of analytical work to figure out, on average, different products when they are sol d to a customer, what the revenue stream is in the future. And we have discounted that back to arrive at an expected value per product. And we have started measuring -- and this is something we call sales value added. And at the branch level, we've started measuring what is the value addition that is happening at the branch.
So all our products that we sell out of the branch, we have this metric. So at any given point in time, we are in a position to tell how much sales has actually happened and value addit ion has actually happened. So that measurement metric has now been rolled out. And we are using that to also provide some form of rewards to our people
So we hope that this will make for two or three things. It make for comparison between one branch and the other because in the past, branches sell various products. We are an old generation private sector bank. The branches sell not only liabilities, they also sell assets, they also sell funded, nonfunded products, all kinds of products the y do.
And comparing one branch to the other was -- became very difficult because you had to compare them on many axes. With this, yo

u can compare them with one number. And given that we've also started a mechanism by which our people can be rewarded on the ir performance, we think that will change -- bring out some amount of increased productivity at the branch level.
The other thing that we've done is that we are working on our processes and our systems. So we had implemented 2 loan origination systems, one for our retail businesses and one for our wholesale business -- it's not the wholesale, but the MSME business. These are generic system

installations, which enabled us to book any type of customer for both the retail and the MSME business.
We are fine -tuning these so that these can be -- these become more -- these become frictionless and they are in a position to actually do these loans quickly. So there's a whole work stream around that, which is an enablement work stream that enables the branches to serv ice our customers better.
So all of this is actually in the deck. I'm happy to walk you through it in greater detail at another time. But in the interest -- given the fact that we have a large number of people on this call, I'm afraid I'll have to end this at this point. But if there are other questions, I'll be able to give more clarity.

Prabal: Yes. Next question will be -- sir, the MSME book has been sort of flat in last 3 quarters. So what is happening there? And how do we ramp up the book from here on?
P.R. Seshadri: Okay. The MSME book has been flat. In fact, it has declined marginally. It is an area of focus for us. Again, I -- it has two elements to it. One is we have to get our sales engines firing, and we also have to get our processes and the tech nology arm associated with the processes working again.
The good news is the new originations in quarter 3 was the highest that we've had in recent times. Some of the reduction in balances that you noticed are because of utilizations coming down in our ove rdraft accounts. But having said that, it's still not robust enough for growth to come.
So this is an area of great focus. We are working with our teams. We are trying to enhance the number of people in this business. And at the same time, we are trying to change the process so that product, process, all of that to make it more appealing in the marketplace. So this is something of a long haul, we need to work on it so that we get appropriate results as we go forward.
Prabal: Okay. And just last question. So how much of our deposits will be coming from Kerala? And just a related question will be, we have improved our credit -to-deposit ratio in the last few quarters, so...
P.R. Seshadri: 62% of our deposits come from Kerala. And what was your second questio n, I'm sorry?
Prabal: Second would be, we have improved our credit -to-deposit ratio in last few quarters. How is our treasury team thinking about any range that we would want to settle at, credit -to-deposit ratio.
P.R. Seshadri: So we are currently at abou t 78 and change credit -to-deposit ratio. We would like -- I think there's a few percentage points left where we can go up on the CD ratio without creating any issues on liquidity management and impacting other liquidity -related matrices for the bank. It'll also be profit accretive if we were to be able to do that.

So from a bank's point of view, two things have to be noted. Our deposit book grew 9% year - on-year. And we believe that the 9% growth is predicated by the fact that on the deposit side, our pricin g has been such that our landed costs of deposits are lower than our immediate peers. Should our asset side growth pick up very dramatically, we believe that we can get more deposits quite easily. And therefore, from a credit -to-deposit ratio point of view , we believe that we are well placed. 78% is not too high. I

think even RBI is talking about between 70% to 80% and so on and so forth. 70s, early 80s, I guess, is an area of comfort for them. This is my understanding from whatever newspaper reports I have been reading.
So we think that we are well placed. We think that there's space for us to grow this, and that will be P&L accretive. So at this point in time, that's where we are taking our business.
Prabal: Thank you so much and all the best.
Moderator: Thank you. We have a next question from the line of Umang Shah from Kotak Mutual Fund.
Umang Shah: Yes. Good evening. Thanks for taking my question and congratulations on the quarter, sir. Just two questions. One, on the capital raise just wanted to unders tand, has the Board taken any decision in terms of timing, quantum of the capital raise and the route that we would -- through which we would like to do the fundraise?
P.R. Seshadri: Umang, I'm afraid on this subject, there is no information that I am at l iberty to give you at this point in time because no decisions have been taken. And at the right juncture, we will make all this information available as we go forward.
Umang Shah: All right. Okay. And sir, the second question is now while we do appreciate that, clearly, you and your team are in the process of putting out a long -term strategic plan for the bank in place. But just want to understand that clearly, we have crossed the 1% ROA mark after a very long period of time, right?
Should we assume that re gardless of the changes that you intend to bring into the bank, the earnings trajectory, or the trajectory of the returns ratio that we are seeing at this point of time will more or less be sustained and then probably we see a gradual improvement? Or do we see some bit of a disruption initially and then see a pullback? How should we look at it from a near - to medium -term perspective?
P.R. Seshadri: So at this point in time, business as usual continues. So we've not changed anything very dramatically over th e last 3 months. The areas of focus that my predecessor had put in place continue to remain our areas of focus. There are some nuanced changes that are highlighted in the 5 or 6 pages that we have put out in the investor deck.
And the aim of these changes is to ensure that we make change incrementally and we deliver these changes over a period of time without impacting the near -term P&L of the institution. If anything, over a period of time, the P&L should grow. At least that's our wish and desire.

There i s nothing that we are doing at this juncture that should have a negative impact on the immediate P&L of the company. And it's quite clear if you were to go through these five or six pages that we have in the form of an investor presentation. Personally, I think there are no numbers on these pages, but I'd urge you to take a look at it. And when we have more time, I can walk you through it in greater detail.

Umang Shah: Sure. No, I think that's quite helpful. I've already been through the presentation. So clearly, that's helpful, and we would be waiting for your detailed strategic plan. Just one last data point, which I wanted a little more clarity upon. In our presentation, this time around, we have put out a risk weighted density, RW density, which is at about 44 -odd percent. Just wanted to understand that within our corporate book, would it be possible for you to share details as to what proportion of the book will be to, let's say, A -rated and above NBFCs per say?

P.R. Seshadri: I think we've given det ails on the structure of our total balance sheet where 96% of our large corporate exposure is to A and above entities. 55% is to AAA and above. NBFCs, as a subset, we deal largely with high -rated NBFCs. So I would think that 19 out of 20, 95% in other words plus, will be A rated and above. The exact number,

we can come back to you. I don't want to --
but it's in that ballpark. Would that answer your question?

Umang Shah: Yes, sure. So just one more data point. So out of the total corporate loan book, how much wou ld be NBFC lending?

P.R. Seshadri: Roughly a third would be NBFC.

Umang Shah: Okay. Perfect. No, I think that helps. Perfect. Thank you so much.

P.R. Seshadri: This includes certain types of NBFCs which are quasi -government. These are not private NBFCs. Th ese are quasi -government, including one which is quasi -owned by the central bank.

Umang Shah: Okay. All right. Okay. No problem. I think that gives a good flavour . Perfect. Thank you so much, sir. Wish you good luck.

P.R. Seshadri: Thank you.

Moderator: Thank you. We have a next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi, sir. Good evening. Thanks for the opportunity. Congratulations on good quarter. Sir, first question is more -- first is thanks for adding the strateg y, those five or six slides and then the key focus area. Within that, sir, if I see -- of course, you have earlier also indicated that you want to granularize the book more. And maybe you would want to debulk the corporate piece. Would that mean, sir, that the overall growth may be impacted as we go ahead because corporate is still around 40% of the overall loan book a nd hence the overall growth may look a bit weaker?

P.R. Seshadri: Thanks, Jai, for the question. We are trying to do it in such a fashion that growth does not suffer. So we are hoping that we'll continue to press the pedal on corporate till such time as ot her areas

start growing. So in the near term, corporate continues. Our focus on corporate, high -quality corporates continue. High -quality corporates with shorter duration exposures continues.

At the same time, we will work on other businesses so that we ge t them up to speed. And as they start ramping up and growing, then we start deemphasizing on the corporate side. It does two things for us. One is it has a positive impact on net interest margins because almost every other place where you can lend money ha s higher spreads than AAA rated corporates, that too shorter duration exposures to them.

The second thing that it does is that it changes the tenor profile on our asset side. So it gives us duration on the asset side, which is matched by durati on on the liability side. So our strategy -- to answer your question in short, our strategy is not to take our eyes off the ball on the corporate side. We'll continue to emphasize that. And as we get growth on other areas, that's when we will see how to re structure our own approach and how to rebalance the portfolio. Up until then, I don't think there will be any change in the growth rates.

Jai Mundhra: Understood. Thanks, sir. And sir, in your branch productivity slide, you mentioned tooth -to-tail ratio, r ight? I think it's currently a 75:25 and then you intend to take it to 85:15 over the period. If you can elaborate, sir, what do you mean by that?

P.R. Seshadri: So basically, what we mean is in a b ank, there are people who are customer -facing and who provide services and sell products to customers. And then there are control functions and others who are back -office functions. They don't deal directly with customers, they deal with papers, they deal with computer screens, they provide a valuable function, but they are not customer -

facing and therefore, cannot generate new business for us as an institution.
So in our bank, at this point in time, our estimation is that the customer -facing roles are roug hly 75. For every 100 people, 75 are in customer -facing jobs, maybe in the branch, maybe in other verticals where they're directly dealing with customers or maybe in a regional office where they deal with the branch and meet customers,

everything put toget her. And over a period -- and there are 25 people who are more control, help, process, that type of people.
So if we want to have a more productive organization, we need to have more people directly facing customers and offering products and services. So t hat 75:25 we want to move over a period of time to 85:15. So that the number of arms and legs and bodies that we have that are actually directly producing increases. Does that answer your question, Jai?
Jai Mundhra: Yes, sir. It does. Thank you. And second ly, sir, on MSME, right? So clearly, that is likely to be the key focus for the bank. And you also mentioned that you want to intend -- that you intend to streamline processes, frictionless processes, etcetera. But is there anything tangible also in terms of, let's say, preapproved MSME loans, which some of the banks are doing? Or some of the banks are actually lowering the ticket size for which an RM is appointed. Are such things also on the table that -- which is more tangible versus the turnaround time a nd intangible kind of a thing?
P.R. Seshadri: So, I'll tell you what we've already done, Jai. So, earlier, these loans were being done by a small cadre of people who -- so our MSME business is divided into two parts, below INR2 crores and

above INR2 crores . The below INR2 crores had about 130, 140 dedicated people who are selling these products. And they were also dedicatedly helping in processing these loan applications.
What we have done over the last three months is we have moved these 130 people into th e branches, and we've told all the branch people that every one of them is responsible for selling these MSME products, not just this 130. We've also trained everybody in the branch on how to use the system. They bear the basic understanding of MSME requir ements, credit, etcetera, etcetera. Full training has been conducted over the last few months, so that they are in a position to actually sell this product.
So from 130 people, we now have 948 branches, all of them capable of selling this product. So that activity has already happened. In addition to that, we are now saying that these processes will be simplified and systems will be set in place, which will enable this to happen. And frankly, any volume business, the process has to be fixed first. It is imp ossible for you to get volume unless your process and systems are such that they are frictionless and they actually enable things to happen.
So two things have happened. The less than INR2 crores has gone back into the branch. It is owned by the branch. It is run by the branch. We are hoping that that will be a big force multiplier for us. And to help that force multiplier actually deliver properly, systems, process, etcetera, are being reworked, together with some fine -tuning of products and so on and so forth. So all of that is underway, Jai. Does that answer your question?
Jai Mundhra: Yes, sir. It does. And last two data keeping questions, sir. We have done the wage revision assuming at 17%. But is there any residual provisions that need to be made for , let's say, pension - related liability?
P.R. Seshadri: Yes. There could be because at this juncture, it is not entirely clear to us as to how the pension - related aspects of the settlement would pan out. Information is not available. We didn't put that in our deck here.
Anyway, if we have missed highlighting that in our deck, my apologies. There could be incremental provisions that could be required depending upon how the IBA settlement deals with retirees. So to that extent, there could be an incremental pr ovision. But we don't think that that is going to be very material.
Jai Mundhra: Okay. Sir, any ballpark number? I mean could it be like 100, 200 or even...?
P.R. Seshadri: No. Had we known, we'd have made the provision. No, Jai. We have no knowl

edge. So whatever is information that is available today where a liability could be crystallized, that has already been taken to the P&L. When information is not available, it is impossible for us to take that into our P&L.
Jai Mundhra: Right. And the last thing is , sir, the CET1 that we report, that is -- does that include the nine months profit, or that is without including the nine months profit?
P.R. Seshadri: It excludes the nine months profit.

Jai Mundhra: Sure. Thank you, sir, and the very best for the coming quarter.
P.R. Seshadri: Thank you very much, Jai.
Moderator: Thank you. We'll take a next question from the line of Tejas Shah from Laser Securities. Please go ahead.
Tejas Shah: Hi. Sir, just about treasury income, if you look at the segment -wise, is aro und some INR98 crores, if I'm not wrong. And earlier, it used to be in a loss of INR13 crores. Last year, it was some INR158 crores loss. So are we going to sustain these profits on the treasury side?
P.R. Seshadri: Treasury by definition is a little volat ile. It is not an accrual income. It depends upon market factors. The trends are reasonably positive. I mean, 10 -year G -Sec has been dropping. It has come all the way to 7.15%. It has picked back up now. But if those same trends remain, then I think all th e banks, not just us, will have a reasonably good year going forward.
This treasury income, we were helped by a variety of factors. Whether those factors will continue to play out in the times to come, we don't know, but we are well prepared. And on the fixed income side, on the rate side, I think we are in a reasonably good position. If the rates move in a positive manner, I think a very substantial quantum of income can be had.
Tejas Shah: Okay. And can you throw some light on the higher expenditures to wards staff and other things? Because your other expenditures have also gone up and even I think your employees' expenditures has also gone up. So if you can -- is that going to sustain? Or it will just show a little higher stress on those?
P.R. Seshadri: So our employee costs have gone on account of a onetime hit because basically the IBA settlement, wage settlement, we had been provisioning for it at 15%. It has come in at 17%. So for a period of 14 or 15 months, we've had to make good the 2%. And for tha t, we have taken a -- onetime hit of INR24 crores. So to that extent, our employee cost is overstated. If this 17% was not the wage settlement and it was 15%, then our employee costs would have been less by INR24 crores.
We have two areas where our exp enses have risen and materially risen. One is employee costs, as you rightly pointed out. And the other is on expenses associated with our cards, credit card business. But on the credit card business, we also have very significant growth in revenue, and we have some significant growth in expenses, which is optically impacting the revenue trend line. So if you were to isolate or remove the credit card expense growth, you would find a more normal growth rate because the credit card business gives us a very su bstantial revenue growth as well as an expense growth.
If you look at it on a net basis on the revenue line, you'll find that the expense growth rate moderates quite considerably. As we go forward, perhaps, we can give you further details, so that it becom es a little bit clearer for you to understand our expense dynamics.
Tejas Shah: No problem. That is from my side. Thank you very much.

Moderator: Thank you. We have a next question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chin tan Shah: Thank you for the opportunity. Sir, first of all congratulations on great set of numbers and on that 1% ROA mark and thanks for the strategy update. So the

re are two, three long -term
questions from my side. Sir, one is on the mix. So you are sayi ng that we'll be targeting MSME and retail and shifting our focus from the corporate. So how do we envisage the loan mix would look here on over the next year -- over the next two, three years or so? So how much could be the shift we expect to personnel and MSME from the corporate? And so how can that play out on the margin front? Yes, first was that.
P.R. Seshadri: So we do have a strategic plan, which we've worked out. We haven't disclosed it yet. We are in the process of fine -tuning i t. The aim is to increase our margins. That's the reason why we are doing all of this. So over a period of time, not immediately, we -- our total balance sheet grows. We are hoping, it grows in the mid -teens. And we start with the corporate balance sheet r emains where it is, which is currently 39%, 40% of our total outstanding.
And over a period of time, it starts shifting downwards. And over a three - or four -year period, we hope to bring that down to the early 30s and grow other businesses. I don't -- it doesn't mean that corporate shrinks. It only shrinks in percentage terms, correct? And that 6% or 7% difference is added to the higher yielding books on the MSME side as well as lap. We are very, very underrepresented in loan against property. Our total bal ance sheet size on lap is only about INR 2,000 crores.
So some of these areas where they are significantly underrepresented where there is an

opportunity to grow, it gets added there. And we hope that, that gives us a significant fill up - on spreads. Given the fact that our cost of funding is lower than some of our peers, we are hopeful that the spread or NIM expansion to us will be quite considerable if the strategy were to work out.
Chintan Shah: Sure. Sir, this is helpful. Sir, one thing on this ne w initiative, which we are taking via increasing the branch morale, increasing the sales focus, giving empowering our employees more. So is there any resilience from the employee side or the employee union, or they are happy to do this and in return they'l l also be getting some additional bonus or something? So how about -- the rewards are also very generous for them to work extra? Or how does that work? Yes.
P.R. Seshadri: So we are keeping those areas. I mean, we are trying to ensure that we communicate w ith all the constituents of the bank actively. So far, our industrial relations have remained healthy and there is no cause for us to believe that any of the actions that we are taking will So as we press forward and as we become more and more focused on these elements, we will continue to work together with the unions and associations to ensure that we maintain the current level of dialogue and discussion and the kind of relationships that we have.
Chintan Shah: Okay. And sir, one last question from my end. So we are talking of cost optimization and probably some decline in the cost to income also in the coming years. But sir with that increasing

focus on MSME and retail, so don't we see some rise in the cost as well, or most of the ris e will be translated and the benefits would come at a later stage? Could you look at that way?
P.R. Seshadri: I think you asked a very good question. From our point of view, a very significant chunk of our costs are fixed. So if we can get higher productiv ity, cost to income ratio will automatically reduce. And that's the basis on which we've built this. As we try and create alternate distribution channels and as we buy and take out -- do some of the other things that are there, there may be expenses associ ated with them. and we will try and report that separately as we will try and report to you the core bank expenses separately, so that we can discretely see where it is going. At an aggregate level, we are very, very cons

cious of the fact that 62% cost -to-income is a high level, and we want to have this reduced. So our strategy will be built around the fact that if we are doing something new and we are investing money on something, we will try and time it in such a fashion that the trend line on the cost s ide is reasonable and it shows traction, i.e., the cost is headed downward as we move forward. That is something that we'll be very focused upon.
Chintan Shah: Sir, point taken. Just one follow -up on this last one. So sir, we are assuming that the producti ve -- we are expecting that the productivity will increase, but how do you make sure that there is productivity will increase and that too won't lead to any additional costs? That is my question actually. How are we expecting that productivity will increas e only that way?
P.R. Seshadri: So that is the management challenge. I mean, we have to get our productivity to increase. Our people are well paid. Our employee wage costs are driven by IBA standards. We need our productivity levels such that we believe th at there is a reasonable scope for increase. And our costs associated with that increase is going to be minimal when compared to the aggregated costs that are fixed in nature.
As I said, we launched the sales -related rewards, which incentivizes people to be more active on sales. In the grand scheme of things, the cost associated with that is not material, which is why I say that if the management challenge can be met then we should get higher productivity without increased costs.
Chintan Shah: Sure, sir. T his is actually very helpful and thank you specially for answering all my questions and looking forward to the strategy. All the best. Thanks.
Moderator: Thank you. We have our last question for today from the line of Ravindra, an individual investor. Please go ahead.
Ravindra: Hello?
Moderator: Yes, Mr. Ravindra, please go ahead.
Ravindra: Thanks a lot for the opportunity, sir. And wanted to discuss you in the last call as well, I did not get the opportunity. I'm a very long -term investor. From 2011, I'm an investor and I'm closely following up with the bank's progress. Sir, one question is, so banks like IDFC First Bank, they are giving a monthly interest on savings and they're gathering a very good CASA. So why is it not possible for the bank like us? Th at is one question.

P.R. Seshadri: No, sir, do you have a second question also? I can answer both together, sir.

Ravindra: Yes, sir. And I was going through your annual report in the Karur Vysya Bank and there, you had mentioned that loans within INR2 cror es, there is some automation something, right, without manual intervention -- with less manual intervention maybe? Why is it not done in the SIB?
P.R. Seshadri: Okay. With respect to sir, the savings account high interest rates where paying int erest on a monthly basis, the reason why we haven't considered it yet is that we have -- the only banks that are offering that are the newer institutions, sir, if you look at it. It is the institute there are come into being of recent times as banks. They are the ones who are aggressively offering that product. That is because they don't have a traditional CASA base.
We already do have it. And for us, to offer that would only mean a significant increased cost for us without very significant benefits to our customers. I mean from our customers, they transact with us on the basis of relationship they have with us and the comfort they have with the branches, etcetera. So this does not really provide anything incremental to them. It may attract new customers. B ut having said that, the cost of such a change is so high that we don't think at this point in time that it is warranted.
With respect to your second question, automation for less than INR2 crores, which is something that we are working

on. That is part o f our strategy. Hopefully, we'll be able to do this reasonably quickly, sir. I trust that answers your question.
Ravindra: Yes, sir. And recently, we received a communication, there will be a fund raiser using the rights issue. Is there any progress on tha t? Or is it just a discussion?
P.R. Seshadri: As this juncture, sir, I'm not at liberty to talk about that, sir.
Ravindra: Okay, sir. That’s my last question. Thank you. Thanks a lot.
Moderator: Thank you. On behalf of IC ICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you, sir.

Call: May 2024

DEPT.: SECRETARIAL

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Dear Madam /Sir(s) ,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/29/2024 -25 dated April 25, 2024 and SEC/ST.EX.STT/43/2024 -25 dated May 3, 2024, we wish to inform you that, the transcript of the conference call for Investo rs and Analys ts held on Friday , May 3 , 202 4 at 16:3 0 hrs (IST) is attached herewith and made available on the Bank’s website at www.southindianbank.com under the following link,

https://www.southindianbank.com/userfiles/file/sib_q4 -fy23-24_earnings_call_transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl: as above

REF. No. : SEC/ST.EX.STT/46/2024 -25
DATE : May 7 , 2024

“South Indian Bank Limited
Q4 FY '2 4 Earnings Conference Call”
May 03, 202 4

MANAGEMENT : MR. P.R. SESHADRI - MANAGING DIRECTOR AND CHIEF
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MR. THOMAS JOSEPH . K. – EXECUTIVE VICE PRESIDENT AND
CHIEF BUSINESS OFFICER – SOUTH INDIAN BANK LIMITED
MR. ANTO GEORGE . T. – CHIEF GENERAL MANAGER , HR AND
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MR. SANCHAY SINHA – CHIEF GENERAL MANAGER AND
COUNTRY HEAD, DISTRIBUTION AND BRANCH BANKING –
SOUTH INDIAN BANK LIMITED
MR. VINOD FRANCIS – GENERAL MANAGER AND CHIEF
FINANCIAL OFFICER – SOUTH INDIAN BANK LIMITED

MODERATOR : MR. CHINTAN SHAH - ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to South Indian Bank Limited Q4 FY'24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you t o ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an

operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the con ference over to Mr. Chintan Shah from ICICI Securities. Thank you, and over to you, sir.
Chintan Shah: Yes. Thank you, N eerav. Good evening, everyone, and welcome to the Q4 FY'24 Results Conference Call for South Indian Bank. We have with us from the manag ement, Mr. P.R. Seshadri, Managing Director and CEO, along with the senior management team.
So, yes, without further delay, I would now like to hand over the floor to the management. Thank you, and over to you, sir.
P R Seshadri: Thank you very much, Chin tan. Thank you, N eerav. Good evening to all of you, and thank you for joining us for The South Indian Bank Limited Q4 FY'24 Earnings Conference Call. I'm joined by my colleagues, Mr. Thomas Joseph K., EVP and Chief Business Officer; and Mr. Anto George T., CGM and HR -- CGM, HR and Operations; Mr. Sanchay Sinha, Chief General Manager and Head of Distribution and Branch Banking; and Vinod Francis, our GM and CFO, along with other senior colleagues of mine.
Let me start with the key highlights of financial p erformance for the financial year 2024. The bank declared its highest ever net profits for the year at INR1,070 crores, which is a growth of 38% compared to the INR775 crores in the previous year. This represents the highest net profit that we've ever regi stered, which is a matter of some pride for us.
Net interest margin for the quarter came in at 3.38% in Q4 2024, and for the full year, stood at 3.31%. It's the highest such number in 18 years. So we have to go back 18 years to hit 3.31%, again. The bank was able to show healthy growth in the average assets during the quarter. Average assets for the quarter grew 5%, which is, again, a sign of reasonable robustness on the business side.
The bank declared its highest return on assets at 91 basis points and the highest return on equity in the last 10 years at 12.13%. Net interest income for the quarter was INR875 crores as against INR819 crores during Q3 FY'24. Majority of this growth in net interest income came on our banking asset si de, a small proportion, a small fraction, approximately INR10 crores or so, incremental revenue, came via increased interest income on our treasury book. So, therefore, a large proportion of the growth in net interest income is coming through the sustained growth in assets.
The bank successfully completed its rights issue during Q4 FY'24, taking the capital adequacy ratio of the bank to 19.91% and Tier 1 capital to 17.65%. Total business of the bank grew by 11% to INR1,82,346 crores. Total deposits also grew by 11% to cross the INR1 lakh crore mark. CASA balances increased 8% year -on-year to INR32,693 crores. Provision coverage ratio,

excluding write -off, improved by 354 basis points year -on-year to reach 68.66%, almost 69%. And PCR, including write -off, the way RBI measures it, improved to 79.10%.

Overall gross NPA reduced by 64 basis points to 4.50%. Net NPA reduced by 40 basis points to 1.46%. Recovery and upgradation in NPA accounts for the quarter stood at INR424 crores against a slippage of INR284 crores for the quarter. We continue to grow our gold loan business, which now stands at INR15,513 crores with an average LTV of 74.92%, including loans that have been bought out and an average ticket size of approximately INR1.56 lakhs.

Gold loans grew at 12% year -on-year. Persona l loan is another segment where we see good traction. Since the launch of preapproved personal loans in 2021, as on March 2024, our personnel book was approximately INR2,282 crores. Our corporate business continued to grow robustly, coming in at about INR32,000 crores at the end of this quarter. The total growth on the corpora

te side is approximately -- on a year -on-year basis, is approximately INR8,000 crores, which accounts for a substantial portion of our total growth as well.

Credit card is another are a where there was significant growth during the year. We closed the total book, as at March '24 was approximately INR1,620 crores. Home loan and auto loans, areas where we are trying to increase our focus, was able to grow 26% quarter -on-quarter for HL disbursals and 23% quarter -on-quarter for auto loan disbursal s. The home loan book, as of the end of March 2024, was approximately INR5,083 crores, which is 29% of our retail segment, and the auto loan book was INR1,599 crores, which is 9% of our retail segme nt.

We launched a bunch of new products, which will hopefully enable us to increase our NIMs. These include affordable housing, commercial vehicle and equipment. And we relaunched the LAP product. For those of you on the call, loan against property is a produc t that is underrepresented in our balance sheet. Approximately INR1,800 crores of that asset category only exists on our balance sheet, and we think that, that is an area where we can get some growth with reasonable characteristics at higher spreads, which will contribute to the overall NIM of the organization going up. We will continue to maintain the momentum in disbursements and collections in the coming quarter so that we achieve our desired targets.

With this, I'd like to open the floor for questions. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Congratulations on a good quarter. Sir, I wanted to check, first, if you can elaborate, you have provided some details on the strategy, but if you can also highlight 2 key things. One is that you are saying that you are improving branch productivity and you have launched sales value addition as a metric to sort of track the branch productivity. If yo u can elaborate a little bit more on that, how do you intend to do that? Does this changes a lot of things or this is going to be a gradual incremental thing? And how would it impact, let's say, the overall financials? That is question number one.

And sec ondly, on the -- if you can throw some light on the loan mix because even in this quarter, it looks like that corporate -- the growth has come from -- mainly from corporate versus what we are trying to do is to grow more on MSME side. So these 2 questions, sir.

P R Seshadri: Jai, both are very good questions. Let me answer the second portion of the question first. It is right that even in this quarter we were dependent on corporate to give us a reasonable chunk of our growth. I think the transformation of o ur organization wherein retail starts firing again is -- will take a little bit of time. And I think there needs to be a reasonable amount of patience because we need to get, a, the structures put in place that can originate these loans.

And b, we need to build salience with respect to these products with the customers as well. So both of these processes have started. We are seeing growth. As I said, home loans on a quarter - on-quarter basis, there was a 26% growth in disbursals . But having said that, it is on a low base. So as long as -- we now need to repeat it quarter -on-quarter, and we need to keep getting significant growth for it to start materially impacting our balance sheet. So that is going to take a little bit of time.

On the MSME side, again, we made a bunch of changes to our organization. We used to have - - earlier, we used to have a sales force that was responsible for on -boarding these customers, but not for managing them. And there was this -- for these larger ticket MSMEs, there was a confus ion as to whether the branch was managing it or this relationship managers were man

aging
them. So now we're moving to a structure where very clearly relationship managers will manage them, and branch will only provide service at the branch level.
And orig ination of these assets can happen either at the branch end or through these relationship managers. And from a tracking and reward point of view, we will reward both ends, the RMs as well as the branches. So these kind of transitions are taking place. And for all of this to settle down and start resulting in very significant increases in balance sheet is going to take a little bit of time. So it would be hard for us to display growth immediately. But having said that, we can see trend lines which are encour aging, and we think that as we go forward, it will start playing out the way we want it to play out.
With respect to sales value addition, it's very simple. What we have tried to do is for every branch -- every product the branch sells, we have tried to u se our historical data to see what is the value that accrues to the bank as a consequence of that sale. So this is based on prior history. So if you open a particular type of account, what balances historically on average have you had, for how long have yo u had it and what is the expected P&L that drops into the bank is something that we've computed.
Using this, we have created goals for the branches in such a fashion that the expectation is the branch produces sales value addition, which is equivalent to 50% of its cost. The other 50% being actually met by servicing existing clients. Our hope is that if every branch of ours adds 50% by value -- by way of sales value addition, then our top line will start growing quite rapidly because right now, we are not doing it.
So even today, only approximately 1/3 of our branch cost was recovered during the quarter, which means that our existing portfolio had to support the other 2/3. So as that increases -- remember that all of this will dri p through into our P&L. So the sales value addition that we compute is the net present value of the expected revenue streams that we see in the future. And

so as sales value addition increases, automatically, the reven ue streams will start building, and I think that will start playing through into our P&L. I mean at least that's the hope.
Jai Mundhra: No. So if I get it correct, what we are saying is that the sales -- the branch would endeavour to recover 50% of the bra nch cost through sales value addition, which is a normal sales value addition to the branch. And the rest will be covered by existing set of clients. Is this what you said because...
P R Seshadri: Yes, yes. So what we are saying is out of INR100 -- if ther e's INR100 branch cost, INR50 we want to cover by way of sales of new products. So the discounted value of future value that we see from these products sold is INR50. And the other INR50 is the cost of maintaining a portfolio. So we have to do -- we have a relationship with millions of customers, managing those relationships is also expensive. 50% of the cost is towards that. And the other 50% is being paid for by new customers. So if we can get to that level, we believe that we will be in a position to start growing revenue quite healthily because last quarter, we think was a better quarter than most.
When we built this metric, our expectation was roughly about 100 branches will meet it because that was the historical trend line. But last quarter, approxim ately 202 did meet it. So we have seen a significant uptick. One of the things that was very satisfying is that current account origination for the quarter increased fourfold for us in the last quarter. And the average balances, average quarterly balances increased by almost 70%.
So of accounts that were originated in one particular quarter, how did the average balances for those accounts track over multiple q

uarters? We looked at it, and we found that the average
quarterly balances went up quite nicely. S o some of this is on account of this measurement standard that we put in place. Some of it is extraneous factors, but we are reasonably -- we are enthused by the end results actually. We are quite happy with what has happened.
Jai Mundhra: And would this i nvolve a lot of change in the branch KRA or the incentive structure to the field and the branch or this is -- that model has also been there...
Moderator: Sir, sorry to interrupt you, your audio is not coming clear.
Jai Mundhra: Okay. So what I was checkin g is would this -- structure is already in place. Of course, this is in place, but does this require too much of a change in the incentive structure or the branch KRA or this would be steady state and a template has already been set up?
P R Seshadri: So th e templates have been set up. We've been live now for -- we started on 1st of January, so we've completed 1 quarter. We are using this as a mechanism of incentivizing branch behaviour .
So the first time we have a branch incentive structure. We hope to use this as a method of measuring branches as we go forward. But right now, we have 2 -- we have another HR -related measure of measuring branches, but the 2 are gett ing closer and closer together.
So -- because this whole thing about trying to figure out what the value addition is, is also a little

complicated, and it is driven by behaviour of our branch folks. And as we get more and more data, we get better and better at it. So the idea is that we slowly over time move to a single

method of measurement. And if this works, this will be the method of measurement going forward at the branch level.
Moderator: The next question is from the line of Kunal from DSP Asset Managers.
Kunal : This is Vivek. My q uestion was on co -lending. Since you are focusing on picking up your retail part of the advances, would co -lending be a good way so that you can grow the retail part as well as get data, which is a very useful thing for you to embark on the next stage of g rowth?
P R Seshadri: Yes, it would be a very good thing. So we are in discussions with multiple counterparties as well as entities that can enable us to connect with multiple participants. So this is something that we are actively exploring. It's taking a little longer than we thought, but it is something that we are working on.
Kunal : excellent . Sir, just one last question. Is the growth in car book anyway linked to the fact that the corporate -- big corporate book is also growing because they tend to be v ery transaction banking heavy? And that's my last question.
P R Seshadri: There was some amount of -- out of the INR2,000 -odd crores that we did grow, we -- a small portion, about 30% or 40% came from the corporates. About 60% of the growth -- we grew at more than 20% on an end -of-period balance basis. So about 60% of that growth is retail, noncorporate type of growth, which is another thing that we are quite happy about actually.
Moderator: Next question is from th e line of Tejas Shah from Unique Stock Bro king Limited.
Tejas Shah: Yes, I have a few questions. If you can throw some light on the latest CV tap that you've done with Ashok Leyland, I think, for vehicle finances for dealers. That is one. Secondly, if you can throw some light on the right issue versus QIP selection? And again, we are -- let us say, the bank is receiving around some INR1,200 crores odd rights. But again, we are paying dividend, and we are again forgoing some INR84 crores to INR100 crores. And plus, if you can throw some light on the provision coverage ratio, when are we planning to hike it up to 85% to 90%?
P R Seshadri: The rights issue versus QIP, the decision was on the basis of the fact that at the point in time we made t his decision, we were tra

ding significantly below book. And we thought that if we did a QIP, we will dilute holders who are currently holding our stock. And consequently, we went in for the rights. Anyway, that decision is -- has been made. Rights issue ha s happened. Our stock count has gone up on account of the 1:4 rights that we've done.
Last year, we paid dividends of 30%. This year, we are just -- we continued with it. Every 5% dividend increase or decrease impacts the total dividend payout by roughly INR13 crores. So we have paid approximately INR78 crores in total cumulative dividends during the year. Last year, we paid roughly about INR62 crores or thereabout. That's an INR18 crores increase and which the Board felt was appropriate given the support that we have got from our shareholders in the past. And it was not too large a number for us to quibble about.
With respect to the tie -up that we have with Ashok Leyland, we have multiple relationships with Ashok Leyland, so we do substantial quantums of business with Ashok Leyland. An area that

we are looking with the act is the financing of their dealers. So dealer floor finance is an area that we've been working on. And we've had the appropriate sign -ups done with Ashok Leyland on that front.
Let me ju st ask Senthil, my colleague, who manages this to pipe in if I'm inadvertently saying something which is inappropriate.
Senthil, over to you, you want to add more context to this?
Tejas Shah: Yes, boss. I hope I'm audible and clear. Started this C E CV business about a year back or maybe 4, 5 months back, where we had come with a product line and suit for delivering to retail commercial vehicle and construction equipment customers. So in that context, as a backward or a forward integration, we thought that we will try and engage with big manufacturers and have a tie up with them and use the dealer route to try and fund the dealers and then do the retail finance to take out and close. So that is the larger thought process and philosophy behind engaging with m anufacturers.
So Leyland happens to be one of them. There are also leading construction equipment manufacturers like JCB, whom we have signed off with to help the retail business through the dealer financing route . I think if that gives clarity, then I th ink that's the strategy part.

Tejas Shah: What are we looking at in terms of the top line and bottom line in case you can throw some light there? What are the expectation of the business coming out from this in terms of the growth?
P R Seshadri: On the C V CE side, I think the thought process is that if we are able to get to about INR1,000 crores to INR1,100 crores of business by the end of the year, then I think we will be happy. I think we just started. The thought process is to build it over INR1,000 cror es and then over a period of time build the book.
Moderator: The next question is from the line of Ravindra, individual investor.
Ravindra: Congrats for the good quarter. So my first question is the growth rate, right? So given the balance sheet size, like loan book of some INR80,000 crores. So big banks, right, like HDFC bank, even though the balance sheet size is INR20 lakh crores or somethi ng more than that. So they are growing at 20%, and we are growing at sub -12%. So why is it difficult? With quality, why can't we grow at 20% or so? Yes, sir, that is my first question.
P R Seshadri: Now historically, this bank has grown at rates lower than this. So we've taken it up to 12%. You're right. I mean, our ambition is to grow at the market because, otherwise, we become relative to the market, we become smaller and smaller over time. But you need to grow with quality. And that implies that our syst ems, processes, technologies have to be appropriate for the product that we are offering. And that is a journey that we have engaged in. So we launched our

first fully automated lending solution for MSME this quarter, which enables our branches to actually say yes or no to a customer in the span of approximately an hour. And like that, we need to now create multiple swim lanes through which different products can be put through.

And once those product sets are in place is when we will be able to grow much faster than we are currently doing. So our ambition is to fix our systems, processes and then grow as opposed to trying to grow without fixing it, which means that we will make mistakes in the process. So right now, we think that we'll continue to grow at this 12%, 13% range that we have demonstrated last year. And once the -- over the next 12 months or so, our systems and processes will be fixed, new systems will come into place. Post that, we should be able to step up our growth and come closer to the mar ket norm . I trust that answers your question.
Ravindra: Yes, sir. So the next question is on the cost -to-income ratio. It is -- looks like it's trending up, maybe some 64% or something. And what is your aspirational range for that? And another thing is giv en that we are going into the higher -yielding assets, so how can we control the -- I mean are we going to control the NPA or we don't? So given the new book, right, the NPA is very negligible. Is it going to look like the same or is it going to increase th e NPA numbers, if we go to the higher -yielding assets?
P R Seshadri: So thank you very much for that question. We are acutely aware of the fact that the cost -to-income ratio for us is higher than our peers. It's an area that we have fully seized of, and we are wanting to correct that over a period of time. There are no immediate fixes for this. We've looked at our expenses very clearly and very closely. We find that roughly 2/3 of our expenses are not controllable, i.e., they belong to areas where changes a re difficult. Approximately 1/3 of it is controllable, where we have some elements of leeway to actually impact those expenses.
Under the circumstances, what we are doing is we are looking at our expenses very closely. We are monitoring every expense that we make very, very tightly. At the same time, we are hoping to grow our revenues quite considerably because we do believe that we have excess capacity in our organization, which needs to be leveraged. And as revenues grow, automatically revenue expense ra tios will rise if the expenses do not grow at the same time.
Our ambition, we had actually disclosed in the last quarter. We said that we want to take off about 1,000 basis points from our revenue expense ratio. I do believe that, that is going to be a difficult task, and it will take multiple years. It's not going to happen overnight because of the nature of the expense that we have. But you make a very, very good point with respect to revenue expense ratio.
And if you would ask me what is the biggest ch allenge I face as an individual in this company, I would say that, that is the biggest challenge that we are facing at this point in time because it does reduce strategic choices that are available from a management perspective as to what we can do with ou r business.
With respect to your second question, which is basically, you're saying we are goin g to the higher -yield business
Moderator: Sir, sorry to interrupt you, we are losing your audio. Ladies and gentlemen, please stay connected while we rejoin the management back to the call. Participants, please stay connected while we rejoin the management back to the call.

Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sir, please go ahead and continue.
P R Seshadri: Okay. I don't know where you lost me, but I thought I'd answer the first part of the questi

on.
Moderator: Yes, sir, second part of the question. Yes.
P R Seshadri: Yes. Second part of the question with respect to credi t costs, we don't...
Ravindra: No sir, higher -yielding assets, NPA.
P R Seshadri: Yes. We are moving into higher -yielding assets. And these are relative -- when I say higher - yielding assets, this is relative to the current asset book that we have. So as yo u know, we have 40% -- I'm sorry, corporate. And within that corporate, we have a large chunk of AAA corporates. So, therefore, our assets that -- on the corporate side, our yields are quite low. So relative to that, we want higher yields, which does not m ean that we are taking higher risk necessarily. So we don't expect a very material change in the portfolio performance. It has performed quite well. In our deck, we now have given you ever 30 -plus at 6 MOB, 1 graph, which you can look at. We expect that tr end lines to stay where they are as we go forward.
Moderator: Next follow -up question is from the line of Tejas Shah from Unique Stock Broking Limited.
Tejas Shah: We missed the provision coverage ratio. What is the roadmap going ahead?
P R Seshadri: So we are currently at about 79.1%, the way RBI measures it. And we are at about 69% and change, the way you would measure it without the technical write -off. We -- so far, the provision coverage ratio has been built up by excess of recoveries over slippages. A nd we believe that, that trend line will continue. So over the next year or so, we expect another 300, 400 basis points improvement on this number. At some point in time, we will need to take a management call on whether we need to aggressively do technica l write -offs, which can materially alter both the gross NPA as well as the net NPA and the provision coverage ratio. But given the fact that the majority of our assets are secured and given the fact that we have now reached approximately 70% PCR, we are no t looking at very aggressive write -offs and provisioning at this juncture.
Tejas Shah: Cool. If you can also throw some light on the retail segment revenue and retail banking basically because the revenue and the incomes are, I think -- there is a degrowth in that in terms of the income. Basically, when I say your other retail banking, there, I think there is some drop in the income. So if you can throw some light, where are we losing money over there?
P R Seshadri: I'll turn this question over to Vinod, wh o is our CFO, to provide colour on this question.
Vinod Francis: It is basically with regard to the segment reporting you're referring to.
Tejas Shah : Correct.
Vinod Francis: So in the segment reporting, if you see that the allocation what we do is based on the asset size. So whenever the asset -- there is a change in the different segment, the expense getting allocated to those segments is also getting altered. So we cannot re adily map the income what we earn

from that particular asset -- particular segment to the real income what goes into the profit -loss account. This is for the segment reporting. The allocation is based on the asset size. Hope that clarifies you.
Tejas Shah: Yes. But then again, year -on-year, if we are seeing, we are seeing -- I mean 50% odd, from INR41 crores it's going down to 21 2. So what there's a massive -- we're not making money over there or what exactly? Or is it shifted to some other area of the bank ing, which is getting recognized?
Vinod Francis: It's not that we are not making money over there. We are making money over there. That is -- as I told, the allocation that comes into the segment that flows the calculation is made based on the asset size. For example, if the treasury, the asset size is reducing, it will get the expense that is getting allocated to there get reduced. And proportionately, the segment where there are higher assets will hav

e higher allocation of expenses. So that's why a particular segment may have a lower revenue -- showing a lower revenue. It's not that the actual revenue from that segment is lower. That is totally different from the revenue that flows into the P&L. That's my point.
Moderator: Next question is from the line of Milan Shah, individual NRI investor.
Milan Shah: So it was -- my question was a follow -up on the earlier question o n the segment results. So this is something that is not clear to us. So while everybody is congratulating on a good quarter, if you look at the segment information, the profit during this quarter is INR392 crores versus INR522 crores last time. So leaving aside the issue about allocations, there's a drop of almost INR120 crores in the profit, and this is in spite of a INR100 crores treasury income, which we

know is not generally repeatable. So I'm struggling to understand how this is a good quarter. We are showing a loss on the corporate side of INR44 crores, it seems.
Vinod Francis: Sir, mainly, when we see the corporate, we -- our main growth comes from the corporate segment. And here, the corporate means the segment is above INR7 crores, what we classify as segment for the corporate sector. So the growth -- majority of the growth happens in corporate sector. The higher allocation will -- probably goes to the corporate sector. So the -- where the asset size of the other segment, for example, the treasury ha s slightly degrown their asset size and also with the other segments coming down.
And the corporate segment going up the asset base, definitely, the allocation of expense and other interest expense will go higher to the wholesale and banking and corporate sector. So that's the reason the -- even though the revenue has increased, the loss is almost on the same line because the expense allocation has increased in the corporate sector.
Milan Shah: No, I think, see, it's not making much sense to be honest beca use see, we are -- let's leave aside the segment, how do you -- at the overall level at the quarter level. See, your total expenses are what they are. Let's forget the inter -segment allocations, but your profit overall for the quarter is INR392 crores versus INR522 crores of last time. So how does the allocation impact that?
Vinod Francis: Sir, maybe we have the detailed reply, maybe we can connect to gether after this call, sir. We'll give a detailed reply based on the detail.

Milan Shah: Yes, I think so, yes, because it has nothing to do with the allocation. How do we explain a drop in absolute terms of almost 20% in the quarter versus last quarter? That's what we need to understand.
Vinod Francis: It's not the revenue which the drop has happ ened. It's on the profit. So definitely, we'll have a connect to gether after this call, and we'll give the details, sir.
Moderator: Next question is from the line of Chintan Shah.
Chintan Shah: So, sir, 2, 3 questions from my end. Firstly, sir, if you coul d help us with the breakup of other income?
P R Seshadri: Vinod, do you want to take that, other income breakup?
Vinod Francis: Sir, you want the item -wise breakup or the broad breakup? If we give the broad breakup that...
Chintan Shah: Apart from that, ye s, like a revaluation of investments, ForEx income that way, sir.
Vinod Francis: Yes. Our core fee income is at INR191 crores if you compare with the Q4. Compared to the Q3, it was INR179 crores. And the treasury and ForEx in Q3, it was INR158 crores. And in Q4, it is INR80 crores. So the major dip happened in the treasury is mainly because in Q3, we had the benefit of a lot of IPOs and other market favourable conditions, which helped to gain higher incomes in Q3.
So in Q4, the income is slightly down on the treasury side. And in others also, we have a slight dip from INR115 crores to INR75 crores fro

m Q3 to Q4. That dip mainly happened mainly because of the lower recovery from the fully written -off accounts, which we had higher in the Q3, and also, the FLDG also, that income booking from FLDG, which we don't have in Q4, but we had in Q3. So these 2 factors -- 2, 3 factors have contributed for the dip in the other income compared to Q3.
Chintan Shah: So sir, if you c ould quantify that amount of recovery from written -off in Q3 versus Q4?
Vinod Francis: One second. Sir, in Q3, it was INR30 crores. And in Q4, it is INR7 crores.
Chintan Shah: Okay. Okay. Sure. And sir, if I may get the number of write -off for the quarter?
Vinod Francis: The write -off, we have not done as such prudential write -off, we have not done. Only the write -off that comes in the P&L is the settlement that happens as part of recovery.
P R Seshadri: And the amount is roughly INR20 crores.
Vinod Francis : And the amount is roughly INR20 crores.
Chintan Shah: Okay. And sir, one thing on the margin. So if you look at the margins, they were up by around 19 bps Q -o-Q. This is despite the yields being up only around 6 bps Q -o-Q. So largely the margin seems to be driven by the investment yield. So basically, yes, there is a kind of a divergence in the COF and COD in this quarter also. COF has gone up slower than the COD. So any specific

reason for that? And similar on the yield side as well, the advance yield is lower, 6 bps, while our yield on assets is much higher. Similarly, a reason on that side as well. Yes.
Vinod Francis: So if you see the cost of deposit, that has slightly increased when compared with the Q -o-Q basis because we have a lot of repricing happ ened in Q3 and Q4. So the impact has come in Q4. So

that has slightly squeezed on that margin side. But, however, our yield on advance is on increasing trend, and that will continue -- that we are expecting to continue.

P R Seshadri: So basically, our net interest income grew from INR819 crores to INR875 crores. The increase -- about INR10 crores increase comes from increased income on the treasury side. The treasury book shrank a little, approximately INR2,000 crores end of period. So the average numbers I don't have with me, but it shrank, but gave us a little bit higher income.

The rest of the growth came because we had substantially higher average assets for the quarter than we did in the prior quarter. So our average assets had gr own 5%. And as a consequence, the total net interest income that is flowin through had increased quite considerably. So if there are other technical details about the movement of these rates, et cetera, then I will request Vinod to touch base with you sepa rately and walk you through the numbers.

Chintan Shah: Okay. Sure, sir. And one more thing. Sir, on the -- recently newly launched products, namely Affordable Housing, CV or CE and a revamped LAP, which we have done in this quarter. So some more nuances on the business in terms of yields, ticket size and sourcing, whether we are doing it internally or via a DSA model.

And secondly, would these be higher -yielding products, but adjusted for the initial OpEx cost, which will be front -ending? Would they be ROE accretive over a period? I mean, how would -- when will it show up in the ROA? And what could be the size of this book after 2 years -- say 2 years from now on?

P R Seshadri: So all of these products, I mean, for it to be material to us, have to be at lea st 4-figure crores. Affordable housing used to be a core product for the bank once upon a time. We moved into prime housing 3 or 4 years ago and vacated that niche. So we are going back to an area where we have done business with in the past.

Too early fo r us to tell you what the yields are, et cetera. But our aim -- ambition is to get at least INR1,000 crores in each one of these product categories if not m

ore. So mortgage LAP, for instance, we want to do a couple of thousand crores during the year. So we can -- we've not specified goals for ourselves, but that is what we would intend to do and what we have sort of cemented in our mind as to what we want to do.

Chintan Shah: Okay, sir. Sure. So probably -- but it will show in a year only by the end of this year or probably by next year first half we could see some impact -- positive impact on the ROA. Would that be a fair assessment or it will take some more time?

P R Seshadri: It will -- only when it becomes material, will it start showing, yes, that's a f air assessment. So let us say, affordable housing, we wanted to do INR2,000 crores during the year, by the time we get -- since the balance sheet size is already INR80,000 crores, for it to materially impact our

NIM, et cetera, you need to have a certain c ritical mass. So that is going to take, if not 9 months, a year.

Moderator: The next question is from the line of Palak Shah from Elara Capital PLC.

Palak Shah: I just had a few questions on the guidance front. If you could guide about what kind of growth or margins in ROE you are looking from next year perspective, from FY'25?

P R Seshadri: Ma'am, we would -- we want to grow at the rate at which we grew this year, which is about 12% on assets -- 12%, 13%, so either 12% or early teens on the asset side, and deposit side of a similar number because this is the time when we are transitioning from our older models of business to a new model of business, which requires a great deal of investment in time and energy on our part to change our processes, et cetera.

We've hit about 3.38% NIM this quarter. In the medium term, we want to get to about 3.5%, so we are doing everything in our power to increase NIMs. And majority of this is going to happen by restructuring the balance sheet by getting higher yield books to grow whereas the low -- constraining the lower -yield books. And the constraints on the lower yield book will start once our higher yield engines start operating. So as of this moment, our higher -yield businesses are not kicking in volumes at the level we want. Therefore, we are not constraining the lower -yield business, which is basically corporate. But 18 months out, we would like to see approximately 350 basis points NIM and increase that thereafter. Yes.

Palak Shah: Okay. And ROA?

P R Seshadri: ROA will stay where it is, ma'am. As you can see, it's -- we are at roughly about 100 basis points now. We don't see any immediate trigger for it to increase. ROA increase will come once some of our expense -related challenges are met with by increase in revenues. So currently, the driver is such that we will stay at about 1 in the near future. And once our revenues start growing quite considerably, that's when ROA numbers will start increasing. But in the near term, it will remain where it is.

Moderator: The next q uestion is from the line of Chinmay from Prescient Capital .

Chinmay: Just a bookkeeping question from my side. Could you share the average LTV on the gold loan portfolio for the entire year, FY'24?
P R Seshadri: It's 74 and touch Chinmay .
Chinmay: Got it, sir. And what would you say would be the steady -state number that you'd be looking at? Because I think a couple of quarters back, it was somewhere around 83%, if I remember correctly, so...
P R Seshadri: Including buyout, it's at 74.92%, so about 75%. And excluding buyout, which is basically our own portfolio, is at 70.73%. So the long -term trends are that it will continue to drop is my view because majority of our growth is coming from our own sources.
Chinmay: Understood, sir. And what is the average yiel d on this portfolio for the year?

P R Seshadri: Can I get Vinod to answer that separa

tely to you? I mean I don't have the data with me at this juncture.
Chinmay: Sure, sir.
Moderator: Next question is from the line of Prabal from AMBIT Capital.
Prabal: Sir, my first question is on the yield...
Moderator: Prabal, sorry to interrupt you, we're actually losing your audio. Can you speak through the handset, please?
Prabal: Sir, so my question was on yield. We have seen a sequential increase in the loan yield s while we are also simultaneously increasing our share of corporate book. So what explains this dichotomy?
P R Seshadri: Very good question. It is a reasonably aggressive pricing action in the sense that demanding and getting a reasonable price with the c orporates. We had some leeway with -- on our -- the finance company books, the NBFC exposure that we had post the change in risk weights. We did go back and try and renegotiate wherever it is possible so that we got an incremental yield to cover for the in cremental risk weights that RBI had prescribed for us. So that enabled us to take our corporate yield a little bit higher than where it was in the past.
And plus just overall trying to be a little bit more careful with respect to how we price ourselves, on the corporate side enabled us to take total corporate yields up. I have with me my colleague, Biji, who is our Corporate Bank head. So maybe she can throw a little bit more light on this, and then, we can come back to me.
Biji S. S.: So basically, what w e have done is that, of course, in terms of the large corporates with AAA one's and all , the pricing is a bit finer, but we tr y to balance it through converting wherever possible through the FCDL where the incomes are on FCDL means the forex loans where the yield is on a higher side. Then making a mix of the supply chain finance . Earlier one gentleman was asking about a tie up with AL L. So similar tie -ups with many OEMs we have done. So those dealer finance cases, which are coming in, then a mix of other vendor finance cases, which are coming in. So through all these activities, we try to balance the whole portfolio. In certain cases, it will be finer price, whether the corporate is a higher rated one. But in the other cases, it is able to manage the whole portfolio in a manner that the whole yield is improving. I hope I have answered the question.
Prabal: Yes, ma'am. Sir, my second question, again, on the corporate side. So we are seeing also the share of rest of India increasing in the corporate sid e. So I understand that you have a reasonably bigger brand in the southern and the Kerala markets. But what is our right to win in the rest of India in the corporate side? And how are you negotiating our pricing with the customers outside of these regions?
Biji S. S.: See, what I understand is, whether the percentage of Kerala is lower -- can you please come again on that area?

P R Seshadri: So basically he is asking why should people bank with us and why should we win in this region. I think the answer is very clearly that we have high -quality RMs and we are very tenacious and dogged, and we've been chasing this business for a long time. So we have a large book in Bombay, and we have a large book in Delhi, which is what -- rest of India business. So we offe r every product that other people do. Only thing we do is we offer it with perhaps a little bit more personalized care than many other banks can manage. And consequently, our corporate customers think that it is appropriate for them to deal with us. Add an ything you may wish, Biji.
Biji S. S.: Yes. So basically, we work with 60 -- around 6 0 RMs, and there are certain region heads as well.

So from the center level, we take a prewash ed data of all the major corporates whom we want to approach. It's a kind of a wish list where we will check the basic data. And then we will approach them with a tailored

product wherever we can support them in terms of the term loans
or in terms of the sup ply chain part, which I was explaining earlier or in terms of short -term assets because wherever there is any opportunity through the short -term, we enter through that. And then we move into the normal working capital level. So this -- people will be appro aching the corporates with a curated product, which will be somewhat matching their requirements in their present level. So the homework which is being done in that area actually is helping us to crack the deals.
Prabal: All right. And this is entirely sol e? Or there is some element of multiple banking arrangements as well?
Biji S. S.: There are both. Even if it is sole banking or kind of multiple banking or consortium, wherever it is, we keep on going ahead with our own analysis, our own risk appetite and everything. We don't depend upon the analysis done by some other bank. It's based on our risk appetite and our risk capabilities alone.
Prabal: Got it. Great. And sir, my last question is on the retail side. So currently, the book is not growing, but as we plan to scale this book, the focused geographies will be Southern Kerala geographies or we also intend to push into the other markets?
Biji S. S.: Sir, should I take it?
P R Seshadri: Yes, go ahead.
Biji S. S.: Yes. So we are strong in certain areas in Ke rala as well, but the major cities and the major metros and all, actually, our base is low where we have a lot of opportunities to grow. So in terms of the secured retail, if you would consider the housing loans and the vehicle loans with a tie -up that is happening with the OEMs and the dealer side actually is helping us to scale up in terms of the auto part.
And coming to the housing segment with all the tie -up with -- which we are doing with the builders, wherever we have corporate relationships already tied up and everything, that is also helping us to penetrate to the builders. So these areas is helping us to keep us moving in all the major metros and the cities. And at the same time, the branches in the certain area is also focusing on. So it's the 2 -channel, you can say, through the DSA, DS T, builders and dealers and

everything the whole growth is happening. At the same time, the branches are also working with their own clients and all the new additions that is happening.
Prabal: Got it. And when shoul d we expect the retail book to start picking up?
Biji S. S.: Of course, it has already started growing, and auto has grown more than 30% in last year, and housing is also moving up. And we have Seshadri, sir, who was explaining, the growth has started happ ening in that area. The log -ins are improving, and our presence is also improving in all the major cities.
Prabal: All right. And the entire process of turnaround time and everything, that is in place, so the only push is required now.
Biji S. S.: Yes. And -- slight changes are required in the process part as all, which we are working upon straight through processes. Wherever possible, we are trying to make it also happen.
Moderator: Next question is from the line of Jai Mundhra.
Jai Mundhra: 2 questions. One is we had -- in the last month in the last to last month , we had said that we have to sort of stop credit card because of the regulation on co -branded products...
Moderator: Sorry, we are losing your audio. Can you speak through the handset, please?
Jai Mundhra: Yes. Sir, I wanted to check an update on credit card tie -up that we had because after RBI observation for whatever reasons, we had to discontinue that. So, a, if you could highlight what was the issue? And how far are we in the current setup to -- I mean, how far -- what is the progress on that front? And I'll ask the second question later.
P R Seshadri: So, Jai, with respect to the credit card, as of this

moment, we are not issuing any incremental
cards. We are continuing to manage the cards that we had at the time when the RBI request for us to stop issuing new cards came into force. The balance sheet continues to be buoyant. And, therefore, from a revenue perspective, we don't see any immediate risk.
With respect to the points that RBI want ed addressed, given that RBI's letter is not in the public domain, I'm constrained to not give you all the details. Safe to say that RBI wanted us to make a few changes, which we are working on. Currently, it is work in progress. We think that we know what needs to be done. Once -- we are also in dialogue with the Reserve Bank of India to understand whether our interpretation of their requirements is appropriate or not.

And once we get the concurrence from them that this is what they intend for us to do, w e will
ensure the implementation happens in quick order. And our current wishlist, and I'm not saying
that it will happen in that form, but our current wishlist is that we should be in a position to have
crossed all the T's and dotted all the I's and resta rt next quarter subject to RBI approval. So that
is the timeline that we're working on. Obviously, this is subject to RBI approval.
Jai Mundhra: Correct. So is it safe to say that -- I mean, all our credit card issuance are with the partner, right?
We don' t originate too much on our own.

P R Seshadri: No, we have zero card issuances on our own. It's all done through this single co -brand partner.
So as of this moment, there are no incremental credit cards being originated.
Jai Mundhra: Sure. Sir, my question is a bit of a follow -up on the -- someone had earlier asked, on the ROE
tree, right? So this quarter -- this year as a whole, this was a good year in the sense that there
was a good treasury income, which may or may not sustain. Asset quality has been goo d.
Probably it will sustain. But if from here -- I mean, you said that the endeavour will be to increase
margins by a few basis points. But -- I mean, what could be the o ther lever?
Because it looks like treasury may not see similar gains and OpEx -- henc e that OpEx because
of wage bipartite, et cetera, et cetera. Has that been -- is that already over -- OpEx as a percentage
of assets, should that decline? Or should that improve? And -- or how should one look at the
ROE tree? Sir, margins are more or less stable to rising. But because there is a treasury drag,
how should one look at, let's say, fee income and OpEx line item?
P R Seshadri: Good question, Jai. I wish I could answer that. I would need a crystal ball, which I don't have.
But let us assume, let us start with the basics. Our biggest challenge is -- as you rightly
mentioned, is on the expense side. We will do our utmost to ensure that the expense numbers
remain where they are and not deteriorate any further. And we will eke out a few extra basis
points on the spread side so that our revenues increase. So from the expense side, we're going to
manage it very tightly. We don't think that we should have a very substantial increase. There
will be some ongoing increase on account of inflation -related adju stments, but not of the same
order of magnitude that we current -- have we seen in the past.
We will get -- we will do our damn best to change our product mix in such a fashion that we get
some uptick on the spread side. And then finally, the wildcard is going to be what happens --
actually, there are 2 wildcards, what happens on our recovery side and what happens on the
treasury side. Treasury side for the near term, we don't see much visibility of profit potential
because the fixed income side, given tha t rates are back up to 720 and thereabout, there is limited
P&L that can come on the fixed income side.
There is still some money to be made on the FX and equity side, which we are c

ontinuing to
milk, but not of the same order of magnitude that we saw in Q3 of '24. So given all of this --
finally, on the recovery side, which has been helping us from a P&L standpoint very dramatically
over the last few years, we think that we still have another 6 to 9 months of runway where
recoveries will remain reasonably buoyant. And consequently, we have that time horizon to
actually change the asset mix.
So in the near term, as I had mentioned earlier, our ROAs will not rise from where they are at
this point. But we have levers in our hands that will help us smart -- to keep it where it is and
give us time to build the alternate revenue streams and increase our NIMs in such a fashion that
ROA growth is possible in the long run. I don't know if I've answered your question or not.
Jai Mundhra: No, no, that answers.
Modera tor: Next question is from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: I just wanted to understand on the current account, you've mentioned a 3 -fold rise in the balances
for the new customers. So I just wanted to understand wha t's driving that.
P R Seshadri: Partly driven by the new sales value -added tool that we created, which made it possible for us
to measure one branch against another. So in the past, when you were looking at branch
measurements, you had a branch profitabili ty report and you had a branch sales report. And the
brand sales report used to have multiple things in it, current account -- different types of current
accounts, NR accounts, savings account, different types of savings account, some asset products,
vault products, wealth management products, everything. And it becomes very difficult to
compare one branch with another.
The sales value -added metric enables us to compare one product to another. So last quarter, we

sensed an opportunity in the market on the current account side. And we incented our people from -- to go after current accounts. And as a consequence, we did open 20,000 current accounts last quarter, which is significantly more. Normally, in a month, we do roughly -- in a quarter, we do significa ntly less, so it was a huge increase for us. And it also increased the total amount of POS machines that we had in force. So all of that put together impacted the growth in CASA balances positively.
Pallavi Deshpande: That's a great performance there on th at side. Second -- my second question was on the NBFC. So what would be the share of lending to NBFCs right now of the total book?
P R Seshadri: No, no. Our total NBFC exposure, ma'am, can we tell you offline? I mean we'll just -- we will come back to you offline, ma'am.
Pallavi Deshpande: All right.
Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I now hand the conference over to the management for closing comments.
P R Seshadri: So I wanted to thank all of you f or being here. I think we've had a decent quarter. I mean, we've started making progress on growing our net interest margin. We've started the process of transitioning from an institution that was dependent largely on one line of business to having multipl e lines of business that contribute to it. Our journey of simplifying our processes and our journey of building world -class technology that supports our sales engines has begun. Our first fully automated product has gone live, and we are hoping that it wil l perform well.
We have an agenda of installing 6 or 7 similar products before the year is out, which, in turn, will change the way we do business and the change -- and the way we interact with our customers. So I think we are feeling reasonably good abou t the quarter that has just ended. We understand that the topline numbers do not show our achievements very favourably , but I think the underlying trends are reasonably good. And we are l

ooking forward to improving our performance as we go forward. So thank you very much, everybody, for being on this call. We really appreciate it.
Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank y ou.

Call: Jul 2024

DEPT.: SECRETARIAL

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Dear Madam /Sir(s) ,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30 ,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/99/2024 -25 dated July 15, 2024 and SEC/ST.EX.STT/108/2024 -25 dated July 19, 2024, we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Friday, July 19 , 202 4 at 16:3 0 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.com under the following link,

https://www.southindi anbank.com/userfiles/file/sib_q1 -fy24-25_earnings_call_transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above

REF. No. : SEC/ST.EX.STT/113 /2024 -25
DATE : July 24 , 2024

"South Indian Bank Limited
Q1 FY '2 5 Earnings Conference Call "
July 19, 202 4

MANAGEMENT : MR. P.R. SESHADRI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SOUTH INDIAN BANK
LIMITED
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR – SOUTH

INDIAN BANK LIMITED
MR. ANTO GEORGE – CHIEF GENERAL MANAGER , HR
AND OPERATIONS – SOUTH INDIAN BANK LIMITED
MR. SANCHAY SINHA – CHIEF GENERAL MANAGER
AND HEAD DISTRIBUTION AND BRANCH BANKING –
SOUTH INDIAN BANK LIMITED
MR. VINOD FRANCIS – GENERAL MANAGER AND
CHIEF FINANCIAL OFFICER – SOUTH INDIAN BANK
LIMITED

MODERATOR : MR. JAI MUNDHRA – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the South Indian Bank's Q1 FY '25 Results Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questio ns after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference ove r to Mr. P.R. Seshadri, Managing Director and CEO. Thank you. Over to you, sir.

P.R. Seshadri: Thank you very much, ma'am. Greatly appreciate it. At the outset, let me thank all of you who have taken the trouble to join us in this Earnings Call for South I ndian Bank for Q1 of FY '25. So thank you very much. I understand it's a very busy season when it comes to earnings being reported. And then we really do appreciate the fact that you've joined us.

I'm joined by my colleague, Mr. Dolphy Jose, who recently joined us as an Executive Director on the Board; Mr. Anto George, who is our Chief General Manager for HR and Operations; Mr. Sinha, who is our Chief General Manager and Head of Distribution and Branch Banking; and Mr. Vinod Francis , who's the General Mana ger and Chief Financial Officer of the institution, along with other senior executives.

Let me start with a few of the key highlights of the financial performance for the quarter that just ended. The bank declared a net profit of INR294 crores, which is a growth of approximately 45% compared to the prior year. Total deposits grew by 8% to INR103,532 crores from INR95,499 crores on a year -on-year basis. I'd like to highlight the fact that the current accounts and savings account balances grew very, very nic ely during the quarter, which is a significant area of success for us for this particular quarter.

Gross advances grew by 11% to INR82,580 crores. Total business for the bank grew by 10% to INR186,112 crores. Net interest margin for the quarter was 3.26%. It is a tad lower than the prior quarter. However, I think we have been working very hard to ensure that the cost of funds are managed very tightly. And we do think that we have an action plan that can continue to address this issue as we go forward.

Return on assets was 1% and return on equity was 12.9% for the quarter. Net interest income was INR866 crores as against INR808 crores in the prior quarter, that is Q1 FY '24. Capital adequacy ratio, the bank continues to be very well capitalized. We ended wi th CRAR at 18.11%. And against Tier 1 common equity Tier 1 -- sorry, this is common equity plus the Tier 1 bonds that we hold, it comes in at 16.71%.

CASA, as I mentioned, grew 7% year -on-year to INR33,195 crores. There is almost a similar growth on a Q -on-Q basis sequentially. Provision coverage ratio improved by 390 basis points to reach 69.05%. This is excluding technical write -off. And if you were to include technical write -off, it improved to 79.22%.

Overall gross NPA reduced by 63 basis points from 5.13% to 4.5%. But on a sequential basis, it remained static at 4.5%. And NPA reduced by 41 basis points to 1.44%. On a sequential basis, there was a 2 basis points reduction in net NPA.

Allow me now to take you through other operational and financial per formance of the bank. The Gold Loan business continued to grow very strongly, now stands at INR16,317 crores, average LTV of 72.25% excluding buyout and an average ticket size of about INR1.62 lakhs. Gold Loan grew on a year -on-year basis by approximatel y 13%.

Home Loan and Auto Loans are other areas where we've had some reasonable success. On a year-on-year basis, Home Loans disbursals grew 96% and Auto Loans disbursals grew by 161%.

Agri Loans d

isbursals grew by 108%. The Home Loan book for the quarter stood at INR5,138 crores. Auto Loans stood at INR1,741 crores.

With this, I'd like to throw the floor open for questions. I once again thank all of you for being here. My colleagues and I will try and answer your questions as well as we possibly can. So allow me to request the operator to sequence these questions. Thank you.

Mod erator : Thank you very much. The first question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: One of the challenges for the bank historically was a high cost -to-income ratio in which we wanted to improve and we believe we need to focus on NIM expansion. So the target we set was 3% plus and which we have been, quarter -after-quarter, you're able to achieve. But still, our cost-to-income ratio remains pretty high. On the income side, what more can we do to improve our cost -to-income ratio? So some of your thoughts there will be helpful and strategy on that one?

P.R. Seshadri: Thank you very much. So what we are trying to do is to rebala nce the portfolio. We currently have approximately 42% of our book in very high -quality corporate assets. Because these are very high -quality corporate assets that too on a very short duration type of structure, yields on those are quite low.

So the strat egy that we have to improve NIM is basically to grow Housing Loan, Auto Loan, Mortgage Loan and so on and so forth. These are retail or MSME type of products that we need to grow. A moment ago, I mentioned that Home Loan and Auto Loan had grown well. Home Loan, for instance, disbursals for the last quarter were 96% over the prior year similar quarter. So Y -o-Y, we had grown 96% in disbursals.

Similarly, for Auto Loans, we had grown 161% for disbursals. So loan origination on that front has increased. These are higher -spread businesses which will, over a period of time, increase the NIM that we have. And for that to happen, the structure of the balance sheet has to alter. So similarly, with Agricultural Loans, our disbursals have grown by 108% year -on-year.

So these are very significant changes, but for it to actually flow through into our P&L will take some time because those balance sheets have to grow. Disbursals do not immediately translate into growth because there is also a repayment that comes in. So over a period of time, as these

disbursal values increase, these balance sheets will grow. These have larger margins than the corporate book that we have.

So as that happens, automatically the NIM will shift upward. And that's what we are working to do. A nd unfortunately, that will take a little bit of time for us to achieve. We are trying to do it as quickly as possible by focusing all our attention on this business. But having said that, it is an endeavour that cannot be done overnight. It does take time for the structure of the balance sheet to be changed.

Himanshu Upadhyay: The follow -up on this is the Mortgage business or Home Loan business, what we are trying to build, what type of segment are we focusing on? Because in case of service -oriented, we do n't see that high a margins generally. So what would be the end customer whom you are trying to focus on for your Mortgage business? And the 3.23%, do you think that we will need to take it further to, let's say, 3.75% type of percentage? And would that be the strategy for u s?

P.R. Seshadri: So we, in the short run -- I mean, in the medium term, we want to get to about 3.5%. So from 3.26%, we want to get to consistently 3.5%. And thereafter, try and there's a lot of asset mix that need to be changed for us to get to 4%. But t hat will be a s you know there has to be a glide path to this. So in the medium term, we're talking about, say, 6 quarters , hence, we are hoping that we'll get to about 3.5%, and then ha

ve a glide path upwards.

The asset category that you're talking about, housing loan is actually a big category. There are the super -prime customers who are working for super CAT A type of companies, for whom interest rate -- the spreads on our current cost of funds will be nearer to 300 basis points. But then there are other s where the spreads would be closer to 400 basis points. And on the affordable housing end of the things, it will be closer to 600 basis points or so.

So we are operating across this category, and we are hoping that it will land us with something like 400 , 450 basis points or so, which is a significant increase over the spreads that we are currently getting on our high -quality corporate asset book. So over time, this should nudge the NIM upwards, but it will take time as the balance sheets build up.

Himans hu Upadhyay: Okay. And the second question is, we have old book, which is running down. Can we assume that the net, which is around INR22,000 crores will be completely running down in next 2 years? And secondly, as the new book is getting built, currently, we are seeing very low net NPA and gross NPA.

But can you give some seasoning aspects to it, that the book, which was built 3 years back, what type of gross NPAs are there in that book? Because the base is continuously increasing for the newer book and a lot of new loans are getting signed there. So how should we build our -- or

what is the bank business model, the new book is the base business for us 2 years hence?
P.R. Seshadri: So with respect to the gold portfolio, actually, it's been growing very nic ely. So we have grown 13% year -on-year. So our balance sheet is now INR16,317 crores. There are certain sub - segments of the Gold business, which is running down. But on an aggregate it -- oh, it's not gold. You were just talking about old, is it?

Himanshu Upadhyay: Yes. It was old, that INR22,000 crores, book?
P.R. Seshadri: Okay. I stand corrected. I heard you as gold book. So with respect to the old book, this is a book which is winding down. So with any book that is winding down, you will see an increase in -- as the portfolio matures, whatever loans are going to go bad, go bad, and then they stay there. And as there is no addition to the denominator, with the increasing numerator, it leads to higher delinquency levels. So I'm not fully if you could repea t your question, perhaps, I can come back.
Himanshu Upadhyay: So my question was the new book, which is continuously getting built, and the base is increasing at a quite fast pace. So how should we model the NPA levels in that book? And also, if you can give some seasoning of that new book, let's say, the book which was built 3 years back, What type of NPAs are in that book, which were -- the new book which was built 3 years back? So some agin g analysis and thoughts on that?
P.R. Seshadri: Oh, that? From the new book perspective, we are quite happy with the current performance. The book is roughly 3 years old. Currently, we have 37 basis points GNPA. We can go back and analyze which vintages these NPAs are coming from. We have very limited c ases of items in the new book becoming an NPA on an infant mortality basis. I mean, these are aged loans that are going bad. So even if you were to look at cohorts and look at cohort by cohort, I think the outcomes that you will see will be good.
Having s aid that, I do not have the data to answer that question straight away. We can try and provide you with this kind of information in our next investor deck. When we do bring it out for the next quarter, we'll try and give you further information on how the new book is performing and how the impact -- if you were to strip away the impact of the new bookings into that, how the numbers will look. So we'll try and see whether we can do that.
Himanshu Upadhyay: And one last que

stion. Can you give what is your asp iration for the bank and the top 3 focus areas for improvement in growth in next 2 years?
P.R. Seshadri: So we are working on two broad themes for the bank. One is to make our branches more efficient. So how do we allow our people in the branch -- because our branch is currently the only distribution channel that we have. How do we make the branches more efficient? How do we get them to be more receptive to our customers? And how do we get them to provide the highest quality of service to our customers, and consequently, we get more throughput from our branches? That is one key area of focus.
And for that, we are working on a set of system developments, which we hope will help us do that. So in our investor deck, we have a list of new systems that we intend to launch between now and February of next year. And we think that, that will substantially improve our capabilities to service our customers at the branch front end.
The other area of focus for us is to figure out how we can build digital assets, such t hat we transition from being a largely physical -based institution to one that is equally represented in the digital world. And thereafter, to use these digital assets as a method of acquiring fresh customers and servicing fresh customers.

So we've got two work streams that we are working on. One is on the branch side. We are trying to make the branches more efficient. There's a lot of detail in the deck on what we are doing there. On the digital front, we want to, a, create digital assets that can engage o ur customers. See, our customers, majority of them are from the Southern parts of the peninsula, and we think that we have a method of actively engaging with them appropriately.
And we want to use digital technology so that we can build relationships with third parties, which can be seamlessly integrated. So we have set up a team that is intent on doing that. We've had two new relationships on the relationships that we can use to acquire liabilities, which have gone live over the last quarter. Similarly, w e want to build these kind of pipes by which we can acquire assets. So these are the two areas that we want to work on.
From an aspiration point of view, the bank aspires to be an institution that is safe, that builds a balance sheet that is very high qua lity, ensures that the assets in the balance sheet are ones that are -- are those that are appropriate for an institution of our size and where we manage our risk in a very, very tight manner so as to return to our shareholders, and others who are our

constituents of this bank, reasonable returns as we go forward. So at this juncture, that is the strategy and two key areas that we are working on.
Moderator: The next question is from the line of Mr. Arvind Datta from Marigold Wealth.
Arvind Datta: For Mr. Se shadri, I've seen there's a marked improvement in the productivity metrics, be it business per employee or business per branch that you've delivered, and it's been growing pretty good. So I wanted to know what is driving this efficiency? What kind of strat egy changes you've made in the branch teams or any scorecard you introduced for people to be measured upon? And second question is, what is your aspirational number for the ROE and ROA for the next 2 years?
P.R. Seshadri: Thank you very much for the question. So let me answer the first question -- the second question first. From an ROE point of view, I think -- in the current scenario, I think our ROE will remain at this 100 -basis point level. In the short to medium term -- sorry, ROA will remain at 1 00 basis points in the short to medium term. Because for a structural shift in ROA to happen, the biggest change that needs to happen is that NIMs have to grow. And there, revenues have to start coming up very strongly. And that will happen once the ba

lanc e sheet structure starts changing.
So right now, we have a preponderance of lower -yielding, high -quality assets which, even though the balance sheet does grow, revenues need not grow commensurately. So our strategy is to grow higher -yield assets in a cont rolled manner so that the NIM of the institution, over time, changes. But that's not going to happen very quickly.
The business per employee has increased, a, because CASA balances have been growing and deposit balances have been growing as well as our lo an book has been growing. Now the strategy that we are following there is that we've put in place a system called SIB MAX. This is a method of measuring our branches for their throughput.
So in the old days, the way we used to measure a branch was we used to look at what all they sold. They could have sold 10 accounts -- 10 current accounts of a particular type, 20 current accounts of another type, 10 savings accounts of one type, 100 savings account of another type.

Now these are all disparate products, a nd it is very hard to figure out what the actual value addition from a sales point of view was.
So from -- for the last 2 quarters, we've been measuring sales value addition, which is basically we are trying to figure out -- we have created a program called SIB MAX that awards points for any product that is sold, and the points are correlated to the net present value of the -- that is created by the sale of that product, historical net present value that is created. And at the branch level, we have set goals for the branch to how many points are required. And any -- and if they achieve more than those points, there is an incentive program as well.
Most importantly, what this does is it allows us to compare performance across branches because it normali zes different products that are sold into one measurement metric, which is points. And therefore, branch A versus branch B can be compared even though the two may be different, and we know how much value addition there is from branch A versus branch B.
And I think that is one area where we are trying very hard to work on and push productivity from our branches. To a degree, it is working. And for the first time, we have a mechanism of tracking this, measuring this and getting people to be aware of the leve l of value addition at the branch, which, historically, was not otherwise possible. I hope that answers your question.
Arvind Datta: Yes.
Moderator: The next question is from Mr. Rohan Mandora from Equirus Securities.
Rohan Mandora: So I just want to under stand, in the other income, the o thers line item about INR208 crores, what's the spread there?
P.R. Seshadri: So allow me to turn this question over to our Chief Financial Officer, Mr. Vinod, to give you the answer.
Vinod Francis: Rohan, this is mainly rel ated to some recoveries, what we had from the written off accounts that amounts to around INR60 crores. And we have another PSLC sale income that is also amounts to INR60 crores. And another we have the recovery from the FLDG part, INR27 crores. These are the major items that becomes part of that other income thing and the rest are the regular items that comes quarter to quarter.
Rohan Mandora: Sure. And sir, what will the total written off pool right now? from which we can expect future recovery?
Vinod Francis: Sir, the recovery that -- out of that INR60 crores, the major recovery happens from the SR. So SR, we have the balance figure of around INR41 crores remaining to be provided. And the written off accounts, total amounts to, to INR1,820 crores.
Rohan Mandora: Sure, sir. And sir, secondly, on the AFS reserve, what is the total AFS reserve that we hold at the end of the quarter?
Vinod Francis: One second. Just allow me. It's around INR2.18 crores .

Rohan Mandora: INR2.18 crores. Sure. Second question, just want to mention the investment fluctuation reserve that we used to create earlier, that thing has moved to general reserve. But incrementally, will we continue to create investment fluctuation reserve or maintain investment fluctuation reserve? How does that piece work incrementally?
Vinod Francis: Sir, investment fluctuation reserve , we are keeping as it is only. Investment reserve, what we have, moved to the , general reserve. So the investment fluctuation reserve, that will be continuing.
Rohan Man dora: Sorry, sir. If you could just repeat that, investment fluctuation will continue as it is?
Vinod Francis: That will be continuing as it is. Investment reserve has moved to the general reserve.
Rohan Mandora: Got it. And so the INR2.18 crores that you' re saying is the total AFS reserve or net of all the movements that have happened?
Vinod Francis: Correct.
Rohan Mandora: Okay, sure. And on the agri slippages, there was an uptick this quarter. How are we seeing the traction incrementally?
P.R. Seshadri: Allow me to answer that question. On the agri front, we continue to work on the collection front to ensure that we moderate this. The agri portfolio across institutions, I think is an area of focus to ensure that we maintain portfolio quality. We think tha t a reasonable chunk of the pain that we've had is behind us. There is still some pain to be had, but we are working hard on ensuring that we manage to flow through as we go forward.
Moderator: The next question is from the line of Prabal from AMBIT Capita l.
Prabal: So my first question was on yields. So if you can explain why yield on advances went down? And why was there a sharp jump on yield on investments?
P.R. Seshadri: So yield on advances going down is because of the interest reversals, correct me if I'm wrong. This, basically, occurred on account of the increased agri slippage. And as you know, agri business, the accruals can go on for 2 years before the reversal of -- nonaccrual reversal of interest takes place. And since we had higher agri slippage this quarter, that ended up reducing the yield on advance considerably. That is the key culprit for this.
Prabal: Okay. Can you quantify how much was the reversal because of this?
P.R. Seshadri: So the reversal on account of this is roughly INR15 crores, as I'm being told here.
Prabal: And any impact of reversal of penal charges across other products?
P.R. Seshadri: The impact on penal charges will come more from this quarter onwards than from the prior quarter because of the nature of how this got rolled out. So deadline for new accounts is from now. And we think that, over time, this will start building up, the impact. There will be an impact.

We are trying to figure out how to minimize it, but it will flow through from this quarter onwards and not from the prior quarter.
Prabal: Okay. So would it be fair to say that yield on advances, say, for next few quarters could be under pressure for us? Or it could see a limited ?
P.R. Seshadri: Sorry, can you please repeat that? We couldn't hear you.
Prabal: I was saying that would it be fair to say that when these penal charges get reversed, our yield on advances could be under pressure for a few more quarters?
P.R. Seshadri: So basically, that is an area of concern, yes. The fact that the method of charging penal charges will we change this quarter is something that we are aware of. And the reason why I'm saying that the impact will flow through from this quarter is that the RBI circular says that for the older accounts, it goes live from this quarter. The newer a ccounts, it went live from the prior quarter. So because older accounts a re the preponderant share of our total advances, that's why this quarter is where you will get an impact.
Now we believe th

ere's a reasonable share of that revenue. Yes, we will be a ble to get back a reasonable share by a series of measures that we are in the process of taking. We don't think there is going to be a very substantial impact. Let me turn this over to Vinod who can perhaps give you a little bit more colour on current penal charges and where we see this penal charge going as we go forward.
Vinod Francis: Sorry, am I audible?
Moderator : Excuse me. There is sound disturbance in the line.
Moderator: Sir, there's a background disturbance from sir Vinod's line.
P.R. Seshadri : Can you put him on mute, please. Vinod?
Vinod Francis: Okay. Yes. So with regard to the penal charges, of course, there will be some pressure on the

income side going forward because that is the intent of the true spirit of RBI Circular. But however what we are expecting is that, going forward, we should be able to recover by the pricing. Adjusting the pricing also, we should be able to adjust that loss in the interest income. So we are not expecting much impact on the same in the coming quarters. .

Praba l: And sir, may we -- when we are discussing about this pricing, so it seems that your disbursement rate and repayment rate has increased this quarter. So have we reduced duration of loans or anything there that needs to be looked into ?

P.R. Seshadri: So the disbursement amount that you see are largely driven by corporate disbursements. And these are short -term loans that corporates borrow from periods from 7 days onwards. And given the fact that corporate India has now reasonable liquidity, and given the f act that we were coming out of the busy season and et cetera, et cetera, we had significantly larger churn. So the duration of our portfolio on the corporate side has always been short.

The duration on the retail and the wholesale -- I'm sorry, retail and commercial is significantly longer. So the quantum of disbursal that you see is driven by corporate disbursals. And maybe we should try and give them a breakup of corporate versus other disbursals as we go forward. We'll try and include those data points so that gives you a better idea of what those disbursals stand for.

Prabal: And sir, on yield on investments, if you can explain what led to the sharp increase in this?

P.R. Seshadri: Yield on investments has gone up.

Vinod Francis: I think the reason for increase.

P.R. Seshadri: The reason for increase is very simple. If you see that the total book, we have allowed it to shrink, which is where the lower -yield instruments matured, It came in. We stayed in other asset categories and did not build the investm ent book. So we're waiting for the appropriate time for us to build the investment book. Wherever we get opportunity to invest at an appropriate rate, we did, and thereby managed to get the yield on investments to go up. So there's been very active managem ent on the treasury part, as is very visible from the size of the investment book. So this has been actively managed to ensure that the total yield to us is reasonable.

Prabal: Okay. And sir, just last question. On the business loans, the slippage run rate seems to be around INR150 crores, INR160 crores on a balance sheet size of INR15,000 crores. Is that a normalized run rate? Or how do you see that number?

P.R. Seshadri: So on the business loan front, the NPA accretion for the quarter was about INR172 cro res, which, if you were to normalize, it's on a balance sheet size of -- it used to be approximately INR16,000-or-so crores. So this run rate does look a little higher than where we would like this to be. Largely, it is coming from the historic portfolio. And it's also a sign that the portfolio, by itself, is aging in the sense that the new book here is actually quite is not growing as fast as we would like it.

And consequently, we have since the denominator

is not growing, the percentage numbers look a little wonky. This is an area of focus, and we are hoping that we can get growth back. We want to focus in areas where delinquencies and loss rates are low. So we've had discussions with the credit bureaus, et cetera. We've identified locations where portfol io performance happens to be good. And those are the areas we want to focus on so that we can grow this book and, over time, bring the loss levels to acceptable parameters.

In addition, what we have done is we've started building scorecards so that the sm all end of the business loans can be automated as much as possible, and thereby, credit quality can be managed a little bit better and we get more consistency on the credit quality side. So I trust that answers your question.

Prabal: Sir, when you say this was a historical portfolio, meaning how long? Because, I guess, when Murali Sir was there in 2020, he also started implementing all these scorecards. So it's been 4 years or so. I mean, how do read in to these numbers?

P.R. Seshadri: No, good question. Good question. The INR600 crores on a portfolio of about INR15,000 crores has a 4% roughly slippage rate. It is, in our estimation, double of what we can afford and for the portfolio then to stay profitable. The loss rates are continuing to come from historical book. These are not assets that have been onboarded from 2020 onwards. These are historical assets that were on our books, which are now not performing the way they are supposed to perform. An asset that is onboarded, it is hard fo r us to get out of that asset. It's a little easier to get out of assets on the corporate side because there are other takers.

But on the consumer side, on the business -- small business side, given the small ticket size that

you very often have with these loans, it is a little harder to do because of the fact that monitoring of very small loans is done on a portfolio basis and no t on an individual basis. And when you're looking at portfolio statistics, you sometimes miss out these individual cases that are going bad. And for you to exit loans, you have to do it before they become bad. So there are issues here.
The good news is the newer vintages are performing better. The old vintages are not. We are hoping that this will -- the flow -through into NPA of the older vintages, that are of poorer quality, will peter off at some point in time, and the losses will stanch. But there is so me distance to go on that. So it will take us a little bit of time before that happens.
Moderator: The next question is from the line of Rakesh Kumar from B&K Securities.
Rakesh Kumar: Question is very similar, sir, here. So what I was looking at that for this quarter, the total slippage number is around INR340 crores -- INR341 crores. And if I look at March quarter presentation, we had a total old book of INR23,800 crores, out of which 41% -- 45% is basically A -plus written. So basically, 55% of the book, where the slippage might be coming from, and also in this presentation, like corporate slippages is zero .
So basically, INR341 crores is slipping from 55% of INR23,800 crores. As you also said that new book gross NPA number is somewhere close to 37 bps or something like -- you commented just now. Sir, just wanted to understand, is it the right understanding, is the slippages coming from the old book? It rather seems to be very high.
P.R. Seshadri: Okay. Let me just restate what you just said. Our total NPA for the quarter, slippage was INR341 crores, none of it was from corporate. Corporate is 40% of our balance sheet, 42%. So for the purpose of this argument, we'll say 40%, right? So 60% is the rest. 60% comprises roughly INR50,000 crores. From that, our s lippage is INR341 crores. So INR341 crores x 4 is about INR1,400 crores on INR50 ,000 crores. So that is running at a sign

ificantly higher run rate as you point out.
Now total slippage on the new book, live to date, gross NPA is INR223 crores. This is live to date. I don't have numbers for slippage this quarter on the new book. We will try and provide that to you as we go forward. But as you can see, the slippage, INR341 crores, is significantly higher than the live -to-date slippage on the new book. So the new book slippage has to be perforce at a significantly smaller number.
Do you have the deck for the last quarter? It will have the last quarter number, yes. So we can - - we just pull it out from the website, and we'll be able to g ive you the difference. Okay. The

slippage on the new book is INR87 crores in this quarter out of INR341 crores. So the old book slippage is INR254. INR87 crores on INR60,000 crores is still a reasonable number. I mean, you have less than 0.5% or near abou t 0.5% on an annualized basis.
So which I think is -- and this has a vintage now. It's not a new boo k that came yesterday. It has been there for 4 years now. That looks okay. Now INR250 crores of slippage of INR22,000 crores is a little bit of a challenge because it is 5%. But as you know, this is a book that is winding down. And the bad loans, loans that were to go bad, have gone bad.
The question is, how many more will go bad an answer that is a question for which we have very limited answers. But what we will try to do is try and give you a breakup of all of this so that it becomes a little clearer for you as to where the slippage is coming from.
Rakesh Kumar: Got it. So the thing is that I was doing a similar calculation, what you explained just now, t hat if you annualize this INR341 crores minus INR87 crores for this quarter, or if we try to see what is the annualized slippage rate, and obviously, this -- because, as you said, that INR87 crores is from the new book. So that number, I have reduced.
So I'm looking at INR341 crores minus INR87 crores. into 4 divided by INR23,800 crores, and of that, only 55%. Because 45%, the corporate book is not giving any slippage to us . So then this number is like mind boggling, actually. So I'm thinking that then thi s INR23,800 crores number, which was there on March, it will take a couple of quarters to run down actually. And this kind of slippage, it will continue that way.
P.R. Seshadri: So let me clarify. Apparently, either I have misspoken or there's an understanding error. So INR87 crores came from a portfolio of INR60,000 crores. That is the new book, right? There, the slippage rate is 0.5% or a little over 0.5% annualized, which is ac ceptable for a 4 -year vintage book. So if I were to remove INR87 crores from INR341 crores, I get roughly INR254 crores. INR254 crores on INR23,813 crores, that is about INR1,000 crores, INR1,200 crores -- no, INR1,000 crores. So that will be roughly 4% and touch So that is -- yes, go ahead.
Rakesh Kumar: Sorry to intervene, sir, Actually, we should not take this denominator as INR23,800 crores because the 45%, which is A plus, is not giving us any slippage. Corporate slippage is 0.
P.R. Seshadri: So the co rporate book, see, the old book contains the corporate book of the past as well, and it contains the new corporate. Majority of the corporate book will feature as new corporate, is my estimation. The old book perhaps contains more of the MSME and retail an d agriculture and

gold and so on and so on. Or maybe not gold because gold is short duration. So it will be MSME, agri and retail and some mortgage loans, loan against property and so on and so forth. I don't think the high -quality corporate is part of the old book.
Now that's a good question. We can peel the onion and show you what the numbers are. We don't have the data here right now. But in the next presentation that we make to you, we'll peel the onion and show you where the NPA is coming

. Very clearl y, the old book continues to build at a level which we don't like. We are doing our level best to do this.

I must make one point very clear. Q1 of every year, we see seasonally high NPA slippage, essentially because in the first , in the month of April, we have a change of approximately 30% or 40% of our branch managers. They change at that point in time. It takes some time to settle down. And some of our collections, especially for MSME, is branch manager -driven. So if you were to look at the last 8 quarte rs or 12 quarters, we always find the first quarter has the highest slippage. This will normalize as we go forward, at least, that is what we expect. So looking at this in isolation may not be appropriate is the point that I want to make.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Sir, so just to reconfirm. I have one or two clarification and then one question. So what we said is that yield on advances have gone down, but yield on assets have improved because there is a higher delta on yield on investment. That is the right understanding, right?

P.R. Seshadri: Vinod?

Vinod Francis: Sir, correct. There is yield on advances has gone down, and we have the yield on investments have gone up.

Jai Mundhra: Okay. And if you -- sir, if you have given any update on the affordable housing and the 1 or 2 new products that we had introduced recently or that we would like to introduce. Of course, we had thought on la st quarter, we had said that we will want these products to be approximately INR1,000 crores each. But is there any update on that as to how that is shaping up?

P.R. Seshadri: With respect to affordable housing, our progress is relatively slow at this poin t in time, Jai. We've launched the product. Unfortunately, we don't have a dedicated loan origination system through which it can be fed. So everything is manual. And being manual, it takes time for us to turn loans around. So as of now, we do not have a s ignificant -- we have not made very significant progress, but we are hoping that a new system to address this can come in place by February of next year. So it's going to take some time because we have a bunch of other things that we are working on.
With respect to Home Loans, standard Home Loans, we are making very good progress. So disbursal, growth is in triple digits or close to triple digits. Housing Loans, Q1 of this year was 96% more than Q1 of last year. Auto Loans disbursals were 161% greater than Q1 of last year. So those are growing nicely, albeit on a small base. Agri also, we had significant success. Because there, again, we had a bunch of new products, which were agri -based products, which we think are of better credit quality. There, again, w e've got 108% growth in disbursals when compared to the prior year.
So we are making progress. Some of these new products are taking a little longer. We launched a product called GST Power in April on the 30th of April this year, which is during this qua rter. This, we think, is an industry -leading product. We've got, I think, approximately 1,000 applications, if I'm not wrong. And that is doing well.

In addition to this, the supply chain business that we've been working on also grew 36% year -on-year. So there has been substantial progress in many of these products. The effect of all of this will take time because the balance sheet size is large, and the starting position of many of these products is small. So effect of compounding will only come over time , as you know, Jai.

Jai Mundhra: Right, right. Okay. And sir, so on slippages, right, so I take your point that first quarter is seasonally weak, and the new book continues to do very well. But ho

w should one look at the slippages? Is this, let us say, a n ew normal, like 353 -- I mean, 350 levels. Is that -- barring seasonal variation, how should one look at the full year slippages number?

P.R. Seshadri: Full year slippage, we think, will be INR1,200 crores or thereabouts. I mean that is where we think we should be. I mean from the current information that is available and visibility that we have, we say INR1,200 crores. So , which basically goes to show that INR341 crores is a little bit of an ou tlier. So we think that we should be under the INR1,200 crores number.

Jai Mundhra: And this will include everything from restructuring also, right? I mean there is no double counting?
P.R. Seshadri: Yes, everything together.
Jai Mundhra: Right, right. So in a way, so this is a seasonal thing. More or less, it looks like a seasonal uptick. Okay. So that is good. And lastly, on opex , sir. So other banks' commentary suggest that we are increasing opex , right, across banks cohort. But here, what we are trying to do is to cut or to contain opex on both staff and nonstaff. So I wanted to understand, sir, are we sort of underinvesting? Or you think there are some easy revenues, wherein you can cut costs an d still not impact the usual business growth etc.
P.R. Seshadri: So Jai, your business strategy is dependent upon where you are, your own current situation. So had our situation been that our cost -to-income ratio was 45% or 47%, our approach to business would have been different. And we would have said, "Okay, we are going to invest. We're going to put up new distribution channels. We're going to do a whole bunch of things so that we can grow business," which is front -loading our expenses and revenues will come later.
In our case, we are running well past 60% as cost to income. And consequently, our strategy also has to be moderated. So what we are doing is we are trying to invest in places where we can get disproportionate returns and manage expenses very, very tightly.
So our year -on-year expense growth is 15%. It is only quarter -on-quarter sequential where we are flat. So there has been a very significant growth in expense over the last few years. So what we're trying to do is juice out those expenses. W e're not saying we're not going to invest. Our strategy on the distribution side is still evolving. We will have to change our distribution. We cannot remain dependent only on the branch. And perhaps the approach that we had, saying that we will build non -traditional distribution using digital channels, may not be enough. So we may need to have other distribution channels, which will increase cost for us. But we'll have to do it judiciously and with time. So we are not cutting those off, but our focus rema ins on managing costs very tightly given our particular situation right now.

Jai Mundhra: Right. And sir, this 15% opex growth, is it like good enough estimate for full year as well?
P.R. Seshadri: I said 15 year growth. It is 15% growth on a year -on-year basis is what we have disclosed for this quarter. Last quarter expense and this quarter expense are roughly the same. There is not much movement, right? We will have some amount of expense growth from here as we go into future quarters, that is driven by i nflation on all the products that we consume.
So I think there would be in our case, we are trying to maintain that to monitor that and control it tightly. As you can see, our headcount is decreasing, which is the largest chunk of our costs. So doing all of this, we think that our total expense base growth for the year should not be more than 10%, at least, that is the aim. And we want to grow revenues more than that, so that we widen PPoP. That's the whole plan that we ha ve.
Moderator: I would now like to hand the conference over to. Mr. P.R. Seshadri for closing remarks.
P.R.

Seshadri: Let me take this opportunity to thank you all for being here with us today. We did have a reasonably good quarter. I think we are making progress on many of the strategic e lements that we've set out to do. We also welcomed a new addition to the Board, Mr. Dolphy Jose as an Executive Director. I think he brings a wealth of talent to our company, and we are very excited to work with him as we make this transformation journey f or ourselves. So allow me to thank you all for being here and thank ICICI Securities for hosting this conversation. Thank you very much.
Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and now you may disconnect your lines.

Call: Oct 2024

DEPT.: SECRETARIAL

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Dear Madam /Sir(s) ,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/162/2024 -25 dated October 10, 2024 and SEC/ST.EX.STT/176/2024 -25 dated October 17, 2024, we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Thursday, October 17 , 202 4 at 15:30 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.com under the following link,

https://www.southindianbank.com/userfiles/file/sib_q2 -fy24-25_earnings_call_transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above
REF. No. : SEC/ST.EX.STT/183 /2024 -25
DATE : October 22, 2024

"South Indian Bank Limited
Q2 FY '2 5 Earnings Conference Call"
October 17, 202 4

MANAGEMENT : MR. P.R. SESHADRI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – SOUTH INDIAN BANK LIMITED
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR – SOUTH INDIAN BANK LIMITED
MR. ANTO GEORGE T – CHIEF GENERAL MANAGER , HR AND OPERATIONS – SOUTH INDIAN BANK LIMITED

MR. SENTHIL KUMAR – HEAD OF CREDIT – SOUTH INDIAN
BANK LIMITED
MR. VINOD FRANCIS – GENERAL MANAGER AND CHIEF
FINANCIAL OFFICER – SOUTH INDIAN BANK LIMITED
MR. JIMMY MATHEW – GENERAL MANAGER AND COMPANY
SECRETARY – SOUTH INDIAN BANK LIMITED

MODERATOR : MR. HARDIK SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the South Indian Bank Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Hardik Shah from ICICI Securities. Thank you, and over to you, Mr. Shah.
Hardik Shah : Yes. Hello, everyone. Good afternoon. On behalf of ICICI Securities, we welcome you all to the Q2 FY '25 post Earnings Conference Call of South Indian Bank.
From the management side, we have with us MD and CEO, Mr. P.R. Seshadri, Executive Director, Mr. Dolphy Jose; Mr. Anto George T., CGM, HR and Operations; Mr. Sanchay Sinha, CGM, Head Retail Assets; Mr. Vinod Francis, GM and CFO; Mr. Jimmy Matthew, GM and Company S ecretary; and other officials. I now hand the conference over to the management for the opening remarks, post which, we will have the Q&A session. Over to you, sir.
P.R. Seshadri: Thank you very much, Hardik. Good evening to all of you, and thank you for j oining us for the South Indian Bank Limited Q2 FY '25 Earnings Conference Call . Good evening to all of you, and our apologies for this slight interruption that has occurred because of unavoidable technical reasons. Thank you very much for joining.
The Q2 FY '25 Earnings Conference Call of the South Indian Bank Limited. I'm joined here by my colleagues, Anto George T., Chief General Manager, HR and Operations; Mr. Senthil Kumar, Head of Credit; Mr. Vinod Francis, our CFO; and Mr. Jimmy Mathew, our Company Secretary, along with other senior executives.
Let me start with the key highlights of financial performance for September quarter FY '25. There's some background noise. Can we put that on mute?
Mod erator : Yes, sir.
P.R. Seshadri: Yes. Thank you. Let me st art with the key highlights of the financial performance for the September quarter FY '25. The bank declared a net profit of INR325 crores for the quarter, registering a growth of 18% compared to INR275 crores in Q2 FY '24.
Total deposits grew by 9% to INR105,451 crores. Gross advances grew by 13% to INR84,714 crores. Total business of the bank grew by 10% to INR190,165 crores. Net interest margin for the quarter was 3.24%. The bank was able to show a healthy growth in average advances during the period, w ith the growth on a Y -o-Y basis of average advances being 14%. The bank returned -- excuse me, ma'am, we still have some disturbance on the line.
Mod erator : Sir, I'm getting it checked and I'll get back to you in a few minutes.

P.R. Seshadri: Okay. The ban k declared a return on assets of 1.07% and a return on equity of 13.71% for the September quarter. Net interest income for the quarter was INR882 crores as against INR830 crores during the same quarter last year. Capital adequacy ratio of the bank is at 18 .04%, and Tier 1 ratio stands at 16.63%.
CASA increased by 8% Y -o-Y to INR33,530 crores. Provision coverage ratio, excluding write - off improved by 447 basis points year -on-year to reach 71.24%. And PCR, including write -off improved to 80.72%.
Overall, gross NPA reduced by 56 basis points from 4.96% to 4.40%. Net NPA reduced by 39 basis points from 1.7% to 1.31% on a Y -o-Y basis. So let me now take you through some other operational highlights. We continue to grow our gold loan business, which now stands at INR16,609 crores with an average LTV of 71.93%. This includes the LTV arising from portfolios that have been purchased by us with an average ticket of approximately 1.7

5 lakhs.
The gold loan book has grown year -on-year at 11%.
Home loans and auto loan s are other areas of focus in the retail segment. On a Y -o-Y basis, we were able to achieve 206% growth in home loan disbursals and 79% growth in auto loan disbursed. The home loan book as of the end of September 2024 is INR7,072 crores and auto loan book is INR1,828 crores. We've launched a series of new systems by which we are able to do our business. This is to enable faster processing and enabling to enable our branches as well as our other staff to become more productive.
These are listed in our inves tor presentation. But to name a few, we've launched a new system, which enables straight -through processing of auto loan applications called PowerDrive and another that enables easier processing of mortgage loan applications, or LAP applications, called LAP Power and both of these are now fully functional and live, and we are hoping that this will give us the requisite lift to increase our retail stroke MSME books.
So with that, I would like to open the floor for questions. Thank you.
Moderator: Thank you very much. The first question is from the line of Ravindra, who is an individual investor. Please go ahead sir.
Ravindra: Yes. So it's been a year, sir , you've assumed the office. And so the return ratios and the loan growth are exactly similar to what was 1 year before, right? And you have still not given the guidance for the future. So I just want to know like how it's going to look in October '26, 2 y ears from now? Yes, that's my first question.
P.R. Seshadri: In the near term, sir, we have basically said that our returns would be in the neighbourhood of 90 basis to 110 basis points. There will be some fluctuation. And as our strategy has been very clearly articulated that we have some advantages on cost of funds.
So if you were to look at our cost of funds and compare it with our competitors, you'll find that our cost of funds are slightly lower than those of our competitors. So we want to keep that advantage, which means that we have to grow strategically our deposits at the rate at which our natural growth is occurring, which is about 10% a year.

And we want to grow our balance sheet on the asset side between 10% to 12% a year, but we want to change the mix. We want to get out of corporate and we want to get into retail and MSME, which is slightly higher -yielding assets.
And in so doing, firstly, we want to get to NIMs of about 3.5%, and thereafter, in the longer term, get to about 4%. If we are abl e to achieve all of that, automatically, our return ratios will change and improve.
So right now, the mix change is at a very, very early stage. And given the fact that we have a very large balance sheet and we've just started this process of transforming ourselves from where there was a preponderance of corporate assets to one where we want to have a more balanced structure, the process is going to take some time.
So we are consolidating at this level currently. And I think over a 2 -year period, our return on assets will get closer. I mean, if I may hazard a guess, we've not done this analysis. It's easy to do these kind of analysis on Excel, but when reality intervenes, it becomes a little bit more difficult.
But from a point of view of having a go -to number, we would like to reach somewhere between 140 and 150 basis points over the next 2 -year period, that would be a good number to get to, but it does require a series of things to happen for us before those outcomes become possible.
Moderator: The n ext question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: Firstly, on the point of growing the SME book, which is a higher yielding book. So 2 questions here. If you look at last 2 quarters, we've been degrowing this book. So I just want to understan

d
the challenges in this right now. And also, if you look at the slippages, it's closer to 4%. So what should be the normalized level that we should assume here? That's the first question.
P.R. Seshadri: The challenge that we are hav ing is that we are a single distribution channel entity. So we end up distributing almost all our products to our branches. And we -- what we are trying to do is to grow the number of distribution channels available. So at the beginning of the year, in Apr il-May, we had created something called the Emerging Corporates Group, which is basically a set of relationship managers who will take over this business and who will relationship manage it going forward and also act as salespeople for acquiring new custom ers.
This is a new approach which gives us now 2 distribution channels, one acquiring from the branches and the second acquiring through these relationship managers. And given the fact that we are a 90 -odd-year-old entity, it does take time for the sales architecture to fall in place and start producing results. And it is that, that we are driving at this point.
In addition, we are also looking for alternate distribution channels to be established. And we think that as and when they do come on stream, we will start getting more throughput. The good

news is that we are seeing significantly enhanced disbursals on this front. But given the fact that the balance sheet was large, it continues to reduce in size, unfortunately, over the last couple of quarters, b ut at progressively lower or slower levels and consequently, we are reasonably

confident that we will either, this quarter or the following quarter, be able to stanch this and start turning it around and growing again.

So it's a long answer to your questi on, but we are growing our distribution network and channels. And we think with that we should be able to address this problem going forward. With respect to NPA. Majority of the NPAs that you are talking about is coming from the historical book, which is disclosed in our investor presentation. We've actually given you a breakup of where the NPA is coming from. And you will notice that the majority of the NPA is coming from the old book, the new book is behaving reasonably well.

So given our new underwriti ng standards and new underwriting mechanisms, we believe that this is a reasonably safe bet for us to take, and we want to double down and grow this book. Thank you.

Rohan Mandora: Sure. Sir, secondly, on the home loan piece, the disbursements that have in creased in the last few quarters, especially in the previous quarter. So if you can just touch upon how are you originating this? What is the average yield on this portfolio? And is there a DSA pay outcome structure that we are referring to? Or it is again a branch -driven origination that is happening on home loans?

And associated with this is LAP. So another bank, SouthWest Bank has also reported good growth in LAP portfolio. So where is the demand coming in, which are the sectors which are driving the de mand in LAP?

P.R. Seshadri: Okay. So let me answer the second question first. With respect to LAP, we haven't had that much success in this quarter. So we've got a new system. We've got a new process. We can sell it and we can process it much better than w e could in the past. But the system came live only in September. So we haven't had much time to use it and get significant sales. So I guess, where the demand is coming from and where we are finding those customers is a question that I'll be able to answer better during the next call.

With respect to housing loans, we have a breakup, 75% of our loans by value actually come from our branches, are originated from our branches where we are not paying any commissions. 25% are originated by DSA/builders where t here may be a commission that is due.

At this juncture,
the economics of this works reasonably well for us. I do not have the exact yield on this book, but we'll try and figure out if we are in a position to give that to you subsequently.

Moderator: The ne xt question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Sir, I just wanted to check on other income, right? So last 2 quarters, I mean, this line item has helped us in overall revenue, while the loan growth has been a little bit of muted. If you can throw some light, apart from the treasury, we can see some core fee growth also possible, I mean, also strong.

In the TV interview, I think you had mentioned that part of that is because of the penal interest getting booked here. So I wanted to check, sir, what are the 2, 3 key components here and about the sustainability of this line item?

P.R. Seshadri: So out of the total other noninterest income, which amounted to about INR449 crores, which is a 26% growth from prior year and it is a 6% growth quarter -on-quarter. So when you look at it sequentially, there isn't that much growth. But when you look at it on a year -on-year basis, there is a substantial growth. And if you were to compare it on a year -on-year basis, the big change -- there is -- of course, on the treasury side, there's quite a substantial pickup, which is very, very helpful because last quarter was very propitious both on the fixed income as well as on the equity side and we took full advantage of it. Obviously, treasury i ncome is volatile and nobody can guarantee that it will happen every quarter.

But having said that, we feel pretty good about it. So treasury is a large area of growth. The other is that there is this reclassification of certain interest income that used to come in the net interest income line, which has got reclassed and as -- from a penal interest, it's got reclassed to a penal charge.

It may or may not correspond exactly to what it was there in the past, but it is a shift from one line to another. This is the first quarter where there is any meaningful accrual on that front. And

we think that income is likely to continue, I mean, in the sense that it is likely to be repeatable, and it is not likely to shrink or change very violently as we go forward.
The other area that we've got increased earnings is on sales of third -party products where there was a certain amount of renegotiation of the rates plus a little bit more focus on selling them, which yielded reasonable returns. So from our point of view, if you were to look at the noninterest income lines, we think that aside for treasury, which is roughly 1/4 of our total income that is disclosed here; aside for this, the rest, there may be some movements, but it's not going to be very large fluctuations.
I think there are -- those are repeatable largely, but the treasury line is the area where we think that there will be -- there could be significant movements depending upon the environment that we are operating in. I trust that answers your question, Jai.
Moderator: The next question is from the line of Suraj Das from Sundaram Mutual Fund.
Suraj Das: Congratulations on a good set of numbers. Sir, a couple of questions. What could be the residual tenure of the old loan book? And this INR20,000 crores roughl y would be SME and corporate only?
P.R. Seshadri: We have a -- I think a reasonable chunk of it is overdraft. It's hard to hard to estimate a tenure for those. But -- and I'm not -- I don't have the exact breakup of the old residual tenure wise breakup, bu t we can give it to you offline. At this juncture, it's not readily available.
Suraj Das: Sure. Understood, sir. And what would be the net NPA on this old book or let us say, what is the provision that you have on this old loan book?
P.R. Seshadri: The -- we are holding -- as you know, the net NPA on an

aggregated basis is at 131 basis points.
So the net NPA on this book will also be if anything, slightly higher than that. So net NPA on this old book is -- we'll recompute and give it to you at this point be cause on the total book is 1.31% and on the new book, GNPA is at 40 basis points. So the old book will be slightly higher

what the higher number is. We don't have the net NPA number right here, but it can be recomputed because the –GNPA in the new book is at 40 basis points. So I think if we do a little bit of math, we should be able to get. The net NPA, the old book, I'm sorry, is about 5%.
Suraj Das: Okay. Understood. And sir, one, I mean, related question that in terms of if the old loan book is purely -- I mean, largely overdraft, then what we are seeing is that over a period of time, the GNPA levels in the old book is continually increasing and it is something like 16%, 16% or 17% as of now. I mean, when do we see that this kind of slip pages from the old loan book normalizing? What is your expectation?
P.R. Seshadri: See, the way I think that we need to look at it is on an aggregated basis, the old book is with us. And we have to live with it, and we have to go forward. On an aggregated basis, our total slippage is about -- for last quarter was 36 basis points, which is not annualized.
I mean this was slippage for that particular period. And slippage on a new book is very limited. So I think the near -term view should be that the slippage will remain plus or minus at this level for the near term. As the old book winds down, the slippages will improve as long as the new book continues to perform and holds out the way it is currently performing.
So the details are available. I mean we can d o a lot of analysis on how this thing is going to wind down and how this thing is going to move forward. But I think it's a little bit more useful for you as well to know that our slippages will remain in the same region or at least that's our expectation. And as the wind down happens, our slippages will start coming down and come.
As it is, I think our slippage rates are reasonably good compared to our competitors. I think over time, if our new book continues to behave that the way it is currently doing, we will then become one of the better portfolios on the street.
Suraj Das: Sure, sir. Got it. And one last question. In terms of yield, what could be the, sir, blended yield on the disbursement? And now since you are looking to focus more on SME and then p robably you are launching products and all that thing. So is there any scope for further improvement on that front, the blended yield on disbursement?
P.R. Seshadri: Can we give you those numbers...
Suraj Das: Sure, sir. Okay. Sure.
P.R. Seshadri: Thank yo u.
Moderator: The next question is from the line of Mr. Vivek Jain from Chanakya Capital. Please go ahead. Sir, there is no response, we'll move on to the next question. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead sir.
Rohan Mandora: Sir, this is with regards to the old book explanation that you had given to a previous participant. So sir, my understanding was that when a loan is renewed, especially in cases of OD kind of a thing and once that renew al proposal has been appraised, the loans were moving to the new book.

So since we have been maintaining this classification, a lot of overdraft book, which would have been good performance would have moved to new book. Would that understanding be correct ? And so what is remaining here is after renewal also we find -- and these are potential stress accounts, and that's where we are not moving into a new book. So how should one understand this?

P.R. Seshadri: My understanding is that whenever we change the produ

ct category, so supposing it was an overdraft and we changed it to term facility or we change it to a drop line OD or something of that kind and when the product category changes, then the loan moves to the new book or when there is an enhancement, su pposing we had given somebody INR1 crore and we now make it INR1.5 crores, then the loan moves to the new book.

Mere renewal does not change the loan from one to another. So wherever only renewals are happening and there is no incremental exposure being t aken on the overdraft, it continues to remain in the old book. It may be a performing asset in the old book. So the other point to note is our total SMA 2 now is at INR490 crores, which is about 60 basis points, which includes both the old and the new book , and therefore, whatever is going to slip is per force will have to be either SMA 1 or SMA 2 at this point in time and SMA 2 has been trending down nicely.

Rohan Mandora: Sure, sir. Sure. And just any guidance on the yields for second half and other cost of funds?

P.R. Seshadri: Our cost of deposits improved by 5 basis points from Q1 to Q2. See, strategically, we'd like to keep our cost of deposits as an advantage at 535 basis points. I think we have in our peer group, one of the better cost of deposit s. See, it depends on how the market is moving. Currently, the rates being offered by our competitors are still significantly higher than what they were in the past. And if we see that our flows at the current rates that we are offering slowdown, then we may b e forced to offer slightly higher rates.

So my view is that there may be a pickup in our cost of funds as we move into the next quarter, if the environment does not materially alter very soon. But the net impact on our P&L or on the entire balance sheet will be maybe 5, maybe 7 basis points even if we do increase it. And you know it depends on how the environment looks. Right now, the bias is that there may be some increase from where we are today.

Rohan Mandora: Sure. And on yields? Last quarter, you had guided that there will be an improvement in yields in 2Q, but we've actually seen a decline, so I just want to know the differences? Yes.

P.R. Seshadri: No, I think it's a very good question. The decline in yields that you are seeing are on account of 2 factors that we had not taken into account. One is, as I said, the reclassification of penal interest from one line to another, which has an impact on the NIM because the earnings then gets reclassed as other income as opposed to interest income.

The other area where we do have something that we a re still thinking through is that we had moved to putting our corporate balance sheet and linking our corporate balance sheet to treasury bills. And the reason why we did that was because we noticed that the correlation between our cost of funds and the ex ternal benchmark was highest with treasury bills and significantly lower than with REPO.

So that was a conscious choice. And once we made that choice, unfortunately, the view at that point in time was that REPO may change downwards, but REPO hasn't change d downwards and treasury bills have moved downward, and that has caused a part of our corporate book to get repriced downwards, and that's putting a little bit of squeeze on the aggregated yield on the portfolio.

While the retail business has grown, the r eason why our yields are holding at this level and not having -- not dropping further than this is because the proportion of retail and MSME assets has actually increased where the yield is higher. And as a consequence, the aggregated numbers are looking t he way they are. So had the treasury bill movement not been so adverse for us, I think you would have seen the increase in yields that I was talking about.

Rohan Mandora: Sure, sir. And sir, lastly, if you can quantify the impac

t of this penal interest on other income and interest income?

P.R. Seshadri: Penal interest as a proportion of interest income is roughly about INR20 crores.

Moderator: The next question is from the line of Harshit Toshniwal from Premji Invest.

Harshit Toshniwal: Sir, the question is that if you look at the old book and the new book of the INR20,000 crores and the balance of the new book, how much would be overlap in terms of the customers or basically the corporates to whom we have exposure if you can help that? And are there cases where for the same corporate we have different classifications? One is old book and the one is the new book. And what would that percentage be? And the second question, sir, if you can also help around the -- some kind of mix of the sector to which our corp orate loan book cater to, it would be very helpful?
P.R. Seshadri: Okay. Let me answer the second question first. The corporate loan book is -- we can give you the breakup separately. But the point that I want to leave you with is these are very high-quality corporates. We have a large exposure to government and quasi government in one form or another.
We do have some exposure to NBFCs. But within the NBFC, again, it is state -owned or state - controlled NBFCs form a reasonably large chunk of it. We will try and give you details as to where our exposures are for the corporate book as we come into the next investor presentation.
But we have given you details, our large exposure framework, 99.6% of the large exposure framework which is loans above INR100 crores, which amount to almost INR21,000 crores out of the INR33,000 crores that we have in corporate is to the entities rated A and above.
So this is a high -quality balance sheet. Approximately 2/3 of this large exposure is to AAA -rated entities. So t he rest of the details, we'll try and provide the next time around when we are preparing the investor presentation.
With respect to your first question, which is the degree of overlap between the new and the old, I think it's a very good question. I unfor tunately don't have the details at this point in time. We will run -- we can -- if we can give you an answer subsequently that would be very helpful.

Harshit Toshniwal: Got it. Sir, just if I may clear this part, so INR33,000 crores is the total corporate book, of which INR20,000 crores is the legacy book.
P.R. Seshadri: No, no, no. INR20,000 crores is not just corporate.
Harshit Toshniwal: Okay. It's including also. So within that, how much is the corporate, sir, the corporate part legacy?
P.R. Seshadri: That's what, the breakup is not immediately available to me. I'll make it available offline to you. The large corporate, which is yes, so we'll give this to you offline, if that is okay.
Moderator: Thank you very much. The nex t question is from the line of Chinmay Nema from Prescient Capital. Please go ahead sir.
Chinmay Nema: Two questions from my side. Firstly, regarding what you said that eventually, you would want to move out of the corporate segment and purely operate in the retail segment. Are we inte rnally following some time line or a long -term sense around when we would want to stop operating in this segment? That's the first question.
And secondly, if you could give some color on what is that improvement in cost to income over the last 2 quarters and the last year? And what is the steady -state number that we should look out?
P.R. Seshadri: So allow me to correct myself, if I gave the impression that we are getting out of the corporate business, that's not what I intended. I apologize if I conveyed that by mistake. What we are saying is the proportion of the portfolio that we want to have in corporate, we want to reduce. Currently, we are at 40%. And I also walked an earlier question through the quality of the corporate book th

at we have. So we have a large exposure framework. Almost all of it is rated A and above. And therefore, the returns that we get on lending money to them are quite low. So in order to improve the NIM, and in order to improve return metrics for ourselves, what we are intending t o do is have larger proportion of our balance sheet in MSME and retail.
Retail, we are seeing the growth. MSME, so far, we are not seeing the growth. It is not that we are exiting corporate. That is not the intent at all. We've worked very hard to build d ecent corporate franchise. We've built relationships in the corporate world, which we want to continue.
So we think that as our balance sheet grows, corporate will grow, but it will grow much smaller or much less than retail and MSME. And over time, we ar e hoping that we'll get to about 33% corporate and the rest being retail, commercial and agri that's the mix that we would like, and that's where we are working -- what we're working towards. And if we can achieve that over the next 2 years, we'd be very h appy.
With the second question, was very indistinct to me. I mean, were you asking about cost -to- income ratio? Is that what you're asking?
Chinmay Nema: Yes, sir.

P.R. Seshadri: So cost -to-income ratio, we've been highlighting the fact that we are a little bit of an outlier and that we have a higher cost -to-income ratio than many of our peers and that our aim was to ensure that we improve our operational metrics, start creating positive Jaws for ourselves, which is that we start creating an environmen t where our revenues are growing faster than expense so that our pre-provisioning operating profits can start growing.
So I'm very happy to note that this quarter, we have revenue growth of 12% and expense growth of 8%, leading to a significant growth in pre-provisioning operating profit. So currently, our cost-to-income ratio is 58.7%. Our stated goal was to drop our cost -to-income ratio by about 1,000 basis points over a 3 -year period. So I think we are continuing with that objective.
We don't know whether we'll get there or not, but we are going to give it a damn good shot. And to do so, we have ensured that we are managing our costs very, very tightly. As you can see, from Q1 to Q2, there is no change in cost effectively. And in Q1, all the costs a ssociated with the IBA settlement, et cetera, had come into our balance sheet and P&L. And those are getting -- are being carried through and by managing our staffing appropriately, we are keeping costs at the current levels. So if we can continue to grow our revenues and keep a tight lid on costs the way we are currently doing, we should be able to continue to keep cost -to-income trending downwards and that is the strategy for now.
Moderator: The next question is from the line of Himanshu Upadhyay from Bug leRock.
Himanshu Upadhyay: My one question was, our corporate loan book has grown pretty decently in last 5 years and is currently 40% of the loan book. At one point of time, the aspiration was that we should be able to get more allied business from corpor ates, okay, like general financing, salary account, et cetera. How successful have we been in our endeavors to get allied business from the large corporate customers we have right now?
P.R. Seshadri: I think we've had pretty mixed results, if I were to be honest with you, not as well we have been -- we've not been as successful as we would have liked to be. So that is one of the reasons why we want to grow other businesses because at the end of the day, we've ended up providing balance sheet without getting nonbalance sheet revenues. And this is something that we are continuing to work on, but the outcomes have not been as good as we'd like them to be.
Himanshu Upadhyay: And secondly, if we look at the loans less than INR5 crores, this is I'm talking

about S lide 9,
okay? So INR40,000 crores it has gone or increased to INR42,000 crores. And again, the mix is of personal category also, okay? We have added significant number of customers, okay? But loan book in SME segment is not growing. And one of the first pr oducts where we had changed our credit model and processes was the SME financing business, okay?
So why is still so slow growth means -- and about our employees, are they able to get it. Some thoughts on that would be helpful.
P.R. Seshadri: No, I think w e are completely seized of the fact that the MSME book has not grown. You make a good point in that the first automated product that we rolled out was a GST loan system, which is end -to-end automated. And we have not -- unfortunately, we haven't seen the t raction that we would like, and that's a fact.

Historically, our employees have believed more on service than on sales at the branch. So our customers love us. We are a nonthreatening bank. We don't try and sell you something or the other every time we ca ll you. We genuinely try and provide solutions for you.
But at the same time that kind of approach has resulted in lower than optimal sales for us, and we are aware of it, we are working on it. We now have a program of tracking the branches on sales. Aver age aggregated value addition from the branches still remain lower than where we would like them to be, but these are factors that we are aware of and working on.
So I think this is a 96 -year-old institution. It takes time for us to change behavior. I'd l ike to add that we have very high -quality people. They understand this business. We need to have a substantial shift in mindset that we are working on. And once that happens, aggregated delivery out of the branches will improve.
Meanwhile, we are also try ing to create new distribution architectures that will enable us to originate these loans without the branches being involved. And those are work in process, and we are hoping that, that will also prove to be another channel through which this business com es in.
But if you can see the financial parameters have started moving. You can see that our balance sheet structure has started changing. It's on the MSME side, there hasn't been as much traction as we have liked. But we -- on the retail side, that tract ion is visible and demonstrated in the

investor deck.
But this is something that we are looking forward to talking about as we go into Q3. Hopefully, then we'll have a different set of numbers, which will give you some amount of confidence that the dream of growing MSME in this organization can actually be met.
Himanshu Upadhyay: One question. When we started on this journey, one of the thoughts was that our employees should be on the business loans when they are giving, they should have a good understandi ng of a risk -adjusted return and the underwriting based on this risk -adjusted returns and how much return should be earned. So that sanitization process what we started, has it been -- is it still being followed and acceptance level has it increased quite materially or there is still acceptance is going to take more time?
P.R. Seshadri: No, I think there has been a substantial change in the way we are doing stuff. Our processes are much simplified. The total number of aggregated loans that we are booking today are significantly more than what we used to book about a year ago.
The branch staff, especially the branch managers have all been retrained. Not all, during this year, we are hoping that all 955 of them will go through a MSME training program, which is a 5-day residential program that we are running, where they will get indoctrinated on our principles, our policies and also gain system knowledge, etcetera, etcetera, so that they become more competent to answer questions that customer may have.
Just g

ive me one minute, we have a lot of noise here, which we are trying to find a solution for.
So we are working on retraining our staff. Exactly when that will start resulting in very

significant uptick in performance at the branch level is something that I find a little hard to answer at this point in time, and we are trying to insulate ourselves from that by creating alternate distribution channels. You must be cognizant of the fact that we have another challenge in that we do have higher cost -to-income ra tios than many of our competitors.
And therefore, the leeway that we have in terms of building alternate distribution architectures is a little less because that has an implication on cost. So we are trying to do a fine balancing act so that we get the ri ght outcomes for the institution and for the shareholders, while at the same time, creating optionality for the future.
Himanshu Upadhyay: No, I agree to it. See, on these employees and the cost to income, if you look at our peers, small banks, okay, and w here we are operating, the employees per branch is 9 to 10 and similar to us, okay? But their book is much more granular, okay? And has a higher component of the SME segment. So can we expect if once the segment starts improving, our cost -to-income ratios will start moving down and more...
P.R. Seshadri: The short answer is yes. Yes. As retail and MSME becomes a larger proportion of our balance sheet, revenues will rise because our NIMs will increase. You must give us a little bit of credit, our cost of fun ding is, I think, the lowest amongst our peer group. So we've done a very good job of keeping costs low. The disadvantage that we have is that we have a very large corporate book relative to -- as a smaller bank, we -- one would normally expect us to have more MSME and retail.
So had we had that our NIMs would have been significantly higher, and that would have aided in profitability for us. So as MSME starts growing -- retail has already started growing. As MSME starts growing and retail continues to grow , the balance sheet structure shifts. Our spreads on our corporate book will probably be 200, 250 basis points at best against the cost of funding that we are disclosing in the investor presentation.
Whereas, on the retail and on the MSME side, it will be closer to 400 basis points. That's the difference. And that's the type of shift that you can get, if you can move from wholesale into retail. And that's what we are hoping to drive. Historically, the bank has had a propensity to do loans which are larger in size because when you do a larger loan, the earnings are higher.
It takes the same amount of effort as doing a smaller loan, so there is a bias for size, which we are trying to correct. Now this is an evolutionary process. It will take time. It's not g oing to happen overnight.
Moderator: The next question is from the line of Arvind Datta from Marigold Wealth.
Arvind Datta: Congratulations on a good set of numbers. My question is what are the top 3 products in retail or consumer loans that you would be f ocusing on for the next 1 to 2 years to grow our consumer loan business? Second question is on home loans and LAP. Like are these fresh loans that you are generating from the market or these are buyouts or these being sold to the existing clients? And on t he third question is that what is the cross -sell opportunity available to you from your existing customer base?

P.R. Seshadri: Allow me to take number 3 first. As I said, 75% of these loans on the housing loan side are coming from our branches. And I expect a very large proportion of those are to our existing clients. So that is cross -sell to perhaps a liability customer or maybe he's a liability plus asset customer already. So a good proportio

n of our sales are coming as cross -sell.
On the home loan side, we track it actively. 75% of our home loans are coming from the branches and that is cross -sell. It could be both, a takeover of an existing loan that was there somewhere else or it could be a new purchase. The breakdown is not entire -- is not immed iately available with me, but we can provide those numbers to you subsequently.
Let me go to the first question that you asked, top 3 products. On the retail side, our product, we want to build a high -quality book that has low volatility. So housing loan is a place that we have started with and this is owner -occupied end user type of housing loans that we want to do largely. The full product set is available with us, but that's the product that we want to focus on and get some traction on.
We understand t hat this is a low -margin business. We also understand that it will create some form of what is called basis risk for us as an institution because these are all external benchmark linked and largely linked to REPO, which, as I said, is a measure which has v ery limited correlation with our cost of money.
But having said that, it has underlying characteristics, which are attractive from a risk -reward perspective and also from a capital requirement perspective. So home loan is 1 product. The second product is loan against property. We are not participants in this space. So our total portfolio today is a little north of INR3,000 crores. For a bank, which has an INR80,000 -odd crores book, we are underrepresented in this space. So we want our reasonable share of this. Maybe it is INR8,000 crores, maybe INR10,000 crores. So we want to grow that because there is, in our estimation, approximately 400 to 425 basis points of spread to be had in that particular product. The third product is a mix of personal loan to cards. Our current unsecured exposure as a proportion of our total -- retail unsecured exposure as a proportion of our total exposure is about 5%.
We want to judiciously grow t hat ensuring that a majority of the P&L remains with us. So we are working on a whole set of new systems and processes to make that happen. So I trust that, that answers your question. There was a middle question which I seem to have forgotten. So if you c ould remind me what it is, then I can answer that.
Arvind Datta: No, I think you answered all my questions. Thank you, and best wishes for the next quarter.
P.R. Seshadri: Thank you very much.
Moderator: The next question is from the line of Sai kiran, who is an individual investor.
Saikiran: Sir, just 1 observation is that you have consistently seen the reversal of provisions on the restructured advances in FITL. And at the same time, we are also seeing some reduction on the restructured assets in absolute rupee crores. So can you just please explain is there any

relationship there? And also how do you see the restructured advance of INR475 crores running down? If you can help us explain.
P.R. Seshadri: So restructured advances, as you know, sir, are advance s that are at some level weaker advances than normal advances. So my own experience 30 -odd years in the banking world is an asset that is restructured has a reasonably high chance of turning into an NPA over time.
The good news for us as an institution is that our total restructured advance today has come very low. I mean it's a little north of INR400 crores from where it used to be. And so if you look at our stressed book, which is basically restructured assets plus security receipts that we may be holdin g plus the unprovided NPA that we may be holding, the net NPA number, everything put together today is in the neighbourhood of INR1,500 crores, INR1,600 crores.
And when you compare that to our total capital, which is north of INR9,000 crores, our total stressed book as a prop

ortion of NPA is at, I would think, one of its lowest levels in recent times
or maybe even longer than that. I mean, we've looked at it for the last 3 or 4 years, and we know that we are at a very, very low number.
And we also know t hat we are in reasonable shape from a capital/risk perspective. Now what is going to happen to this INR400-plus crores that we have in restructured assets? I think a portion of them will continue to perform and there will be a portion that will become NPA as time progresses. Some of them, when they meet the RBI guidelines will get reclassed as regular assets

if they perform long enough, but a reasonable proportion will become NPA, and as a consequence, will fall off, and you will see this number continue to drop. I trust that answers your question, Mr. Sai Kiran.
Moderator: We will take the last question from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Yes, sir. And lastly, I wanted to check, sir, this quarter, we have seen a change in the gr owth constituent, right? So we have taken IBPC and we have not grown corporate. Would it be fair to say that now we have come to a stage where you don't want to grow corporate from, let's say, this quarter onwards and incremental growth as we have always s aid that it will be retail MSME. Have we reached that stage? And what is the total growth came -- I mean, what is the total number or quantum of IBPC, if one were to see what is the growth without the IBPC, yes?
P.R. Seshadri: So Jai, the IBPCs have been a round in the balance sheet for some time. We've cycled out of IBPCs that had corporate assets and got IBPCs which have retail/MSME type of assets. So the growth that we are seeing is real growth. It's not driven by IBPC.
So this balance sheet is largely i mmune to that. The reason why we've specifically mentioned the IBPC is because we have given numbers on the retail side, and we are saying that these numbers are growing and therefore, we had to actually give you the numbers and explain why it's growing so much so dramatically by saying that it is IBPC.
To the first part of your question, is that you're saying, "Hey, are you going to stop growing corporate?" No, I mean, we are not stopping the growth of corporate. If our balance sheet were

to grow by anoth er INR10,000 crores, we want corporate to go another INR3,000 crores. I want -- we want to have the corporate proportion to drop over time to 33%.
So we are not binding ourselves saying that corporate will not grow going forward. It will grow much slower than the rest. So over time, we are hoping that corporate as a proportion of total balance sheet will shrink to 33% and again, replaced by retail and MSME.
Right now, we have traction in retail. We unfortunately don't have traction in MSME, and we still h ave some work to do there. Once both are firing, then I think we'll have a little bit more wiggle room to act the way you mentioned that is we will not -- we will be much, much more choosy on which corporate assets to take. But right now, we don't have tha t luxury, unfortunately.
Jai Mundhra: Right. No, understood, sir. And just a small clarification. Have we -- are we done linking the corporate book to T -bills? So in case there is a REPO rate cut, we will be more influenced by that what happens to T -bills, right? Less to do with REPO. Is that transition over? I mean, is that the linking mostly over? Or would it be like done in, let's say, 1, 2 months?
P.R. Seshadri: No, about 6 months ago, we took the decision that all new corporate assets we link to T -bill because we were worried about what will happen is REPO were to be cut. And we wanted the basis to be something which we had a little bit more visibility on. We have not changed that policy.
So we continue to be on T -bill. Unfortunately, the loans that we gave 6 months ago that bet has

gone against us in the sense that while REPO hasn't moved, T -bill has moved, right? So we are -- but today, we haven't changed our stance. All these corporate loans have to be benchmarked to an external benchmark, and we are using REPO I'm sorry, using T -bill.
But -- and we are trying to contain the proportion of our portfolio that is REPO linked because of obvious reasons. But having said that -- yes, go ahead.
Jai Mundhra: Sir, if you have the number, let's say, loan book, how much is linked to REPO, how much is EBLR and how much is MCLR. I think that can make things easier if you have that bifurcation handy?
P.R. Seshadri: Yes, we can give you those numbers. Approximately 30% of our book is REPO linked. So let me just -- give me a minute, I'll give you the numbers. Yes, approximately -- yes, REPO -linked is about 1/3 of our book is REPO -linked. T -bill-linked is about 20%, approximately. I'm giving you approximate numbers. MCLR is about 10%, and fixed rate is about 1/3 of th e book.
Jai Mundhra: Yes, we have reached the end of the conference call. Thank you so much for giving us the opportunity to host the call. If you want to make any ending comments, sir.
P.R. Seshadri: Thank you very much, Jai, and thank you for hosting the call. We really appreciate it. From our point of view, we think that we've had a reasonable quarter. We have set ourselves a very demanding agenda. We want to actually change the way the bank has operated, changed the asset mix, change culture so that sal es as an activity becomes central to our branches, et cetera.

These changes are not effected overnight. These have to be worked on, and there is an action plan. We are trying to engage not just the management staff, but also every individual within the company and impress upon them the need to have a change in mindset. We are making progress. I think the financial results that you've seen for this quarter are demonstrative of the fact that the serious work has taken place.
We are reasonably confident that we can continue with this. I think from a technology perspective, there is enormous quantum of work that has taken place. We now have a Strategic Initiatives Unit that is working to build system -to-system connections with third parties that we can leverag e, which means that there's a lot of work that has happened to: a, make our branches more efficient; b, to derisk ourselves from the branches and have alternate systems through which business can be done.
All of this put together makes us reasonably confi dent that the progress that you see today can continue. Obviously, the proof of the pudding is in the eating and when we meet here the next quarter we should be in a position to demonstrate that some of the things that we are talking about are happening. A nd I look forward to meeting again 3 months from now, and hopefully, we have equally good news, if not better. Thank you very much.
Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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Dear Madam /Sir(s) ,
Sub: Conference call for Investors/Analysts –Transcript of the Conference Call
Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/239/2024 -25 dated January 16, 2025 and SEC/ST.EX.STT/250/2024 -25 dated January 22, 2025 , we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Wednesday, January 22, 2025 at 16:00 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.com under the following link,
https://www.southindianbank.com/userfiles/file/sib_q3 -fy24-25_earnings_call_transcript.pdf
This is for your information and appropriate dissemination .
Yours faithfully,
(JIMMY MATHEW)
COMPANY SECRETARY
Encl.: as above REF. No. : SEC/ST.EX.STT/ 253/2024 -25
DATE : January 28, 2025

"South Indian Bank Limited
Q3 FY '25 Post Earnings Conference Call"
January 22 , 202 5

MANAGEMENT : MR. P. R. SESHADRI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – SOUTH INDIAN BANK LIMITED
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR -- SOUTH INDIAN BANK LIMITED
MR. ANTO GEORGE T – CHIEF OPERATING OFFICER – SOUTH INDIAN BANK LIMITED
MR. VINOD FRANCIS – GENERAL MANAGER AND CHIEF FINANCIAL OFFICER – SOUTH INDIAN BANK LIMITED
MR. JIMMY MATHEW – GENERAL MANAGER AND COMPANY SECRETARY – SOUTH INDIAN BANK LIMITED

MODERATOR : MR. HARDIK SHAH – ICICI SECURITIES

Mod erator : Ladies and gentlemen, good day and welcome to the South Indian Bank Q3 FY '25 Earnings Conference Call hosted by ICICI Securities. As a remind er, all participant lines will remain in

the listen -only mode and there will be an opportunity for you to ask ques tions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Hardik Shah from ICICI Securities. Thank y ou, and over to you.
Hardik Shah : Thanks, Ryan. Hello, everyone. Good afternoon. On behalf of ICICI Securities, we welcome you all to Q3 FY '25 Post Earnings Conference Call of South Indian Bank. From the management side, we have with us MD and CEO, Mr. P. R. Seshadri , Exe cutive Director, Mr. Dolphy Jose ; Mr. Anto George T , Chief Operating Officer; Mr. Vinod Francis , GM and CFO; Mr. Jimmy Mathew , GM and Company Secretary and other senior officials from the bank.
I now hand the conference over to the management for the opening remarks, post which we will have a Q&A session. Over to you, sir.
P. R. Seshadri: Good afternoon, everybody and thank you very much for joining us in the South Indian Bank Limited Q 3 FY '25 Earnings Conference Call. We greatly appreciate the fact that you're all here. And it's a great pleasure to be with all of you. I'm joined on this call by a lot of my senior colleagues as the gentleman who introduced us said.
Let me start with the key highlights of the financial performance for the December quarter FY '25. We are reasonably pleased with the outcomes that we've had for the quarter. The bank declared its highest profit in a particular quarter to date at INR342 crores for the quarter, registering a growth of 12% compared to INR305 crores in Q3 FY '24. T otal deposits grew by 6% to INR 1,05, 387 crores from INR99,155 crores.
It would be appropriate to note here that this growth in deposits excludes a degrowth in bulk deposits of approxim ately INR1,000 crores during this quarter. So on a sequential basis, our bulk deposits are down as they are on a year -on-year basis. Gross advances grew by 12% to INR86,966 crores from INR77,686 crores. Total business of the bank grew by 9% to INR1 ,92,363 crores.
Net interest margin for the quarter was at 3.19%. This is static as compared to the net interest margin for the prior year same quarter. However, on a sequential basis, our net interest margins have dipped which is a consequence of increase s in cost of funds has also a small reduction in the net yield that we are receiving on the advances that we have put out . The return on assets stood at 1.12%.
So we're very pleased with the fact that we've now crossed the 1.1% hurdle and return on equity stood at 13.93% for the quarter. Net interest income for the quarter was INR 869 crores as against INR819 crores for Q3 FY '24. We as a bank, we are highly capitalized. Our capital adequacy ratio is at 18% and Tier 1 ratio is at 16.68% as on the 31st of De cember 2024.

CASA increased by 4% year -on-year to INR32,830 crores. Provision coverage ratio excluding write -offs improved by 465 basis points to reach 71.73% and provision coverage ratio including write -off improved to 81.07% during the quarter.
Overall gross NPA reduced by 44 basis points over the year to reach 4.3%. And net NPA reduced by 36 basis points to reach 1.25%. As you can see, there are year -on-year improvements as well as sequential quarter -on-quarter improvement on these numbers. Let me now take you through a few other operational parameters. We continue to grow our gold loan book and it now stands at app roximately INR 16,966 crores with an average LTV of 70.6% and th

is includes transactions
where we purchased portfolios with an average ticket size of approximately 1.8 lakhs, gold loan book grew by 10% year -on-year.
Home loans and auto loans are areas where we've been focusing on and we've had a reasonable amount of success. On a Y -o-Y basis, we were able to grow our housing loan disbursals by 112% and auto loans by 67%. Our personal loan book closed at INR2,249 crores. This is a marginal growth over prior year same time and the credit card book ended the quarter at INR1,486 crores. Both of these have not really grown very substantially on a yea r-on-year basis. We will continue to maintain this momentum in disbursals as well as ensuring that the collections that we have to carry out in our portfolio continues to meet the standards that we've set for it. With this, we'd like to open the floor for questions. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. Th e first question co mes from the line of Nemin Doshi from Geojit PMS . Please go ahead.
Nemin Doshi : Congratulations on great results. I ha ve a few questions. Firstly, within the credit -- within the retail credit segment how is the housing and the mortgage business have been growing at a faster pace? So do we pursue any decline in yields as we see rate cut during this calendar year? And woul d there be pressure on NIMs coming from the retail segment?

P. R. Seshadri: I think that's a very good question. These loans are by and large linked to repo. So the external benchmark that we use is repo. And consequently if repo rates were to go down, the yield to us will also go down. Our total book which is linked to repo we are trying to contain i t at a level where the effect on us can be managed. But having said that, there is still a substantial book that is repo -linked.

On the corporate side, we writ e loans linked to T -bill, which unfortunately for us has moved in a direction which is against us. But having said that in the long run, we are hoping that that will help us man age volatility on the repo side, b ut to answer your question, yes, there will b e an impact on NIM if repo rates were to drop tomorrow.

Nemin Doshi : Fair enough. Secondly, sir, during this quarter which segments constitute the incremental slippages within the new book, especially in the personal segment? Is it that the vehicle loan segment which has been showing quarter -on-quarter good amount of disbursement? Are we seeing any pain with resp ect to that segment o r is it more related to personal loans and credit card business which is showing some...

P. R. Seshadri: It’s largely personal loan. Sorry, go ahead sorry, please.

Nemin Doshi : I'm done. T hat's it.

P. R. Seshadri: It's largely credit cards and personal loans. Auto portfolio is behaving well. So we are not seeing any signs of distress there.

Nemin Doshi : Okay. That’s it f rom my side. Thank you.

Moderator: Thank you. T he next question comes from the line of Prashant Kumar from Sunidhi Securities and Finance. Please go ahead.

Prashant Kumar: Thanks for the opportunity and congratulations for the good set of numbers. So my qu ery i s regarding operating expenses a nd it has been observed that personnel expenses are consistently declining and due to I think a reduction in the employee reduction and approximately around 500 employees have exited over the last four to five quarters.

So this trend appears unusual and particularly as attrition level are reportedly increasing. So sir, could you clarify whether the reduction primarily involves in mid -level or lower level?

Additionall y, if you could provide any insights into the departme nt experiencing the highest churn?

P. R. Seshadri: Okay. So we had a strategy of trying to ensure that we managed our costs very tightly. This is the second quarter runnin

g where we have positive operating leverage which is basically revenue has grown fast er than expenses which has opened up the jaws and our pre -provisioning operational profit has increased. So strategically, we took a decision to ensure that costs were managed very tightly.

And one of the ways of doing that in our case was to allow for at trition without replacement and try and get productivity enhancements so that othe r people within the company could cover for the folks who are leaving either by way of technology or by way of realignment of work or by elimination of work.

So I'm happy to note that it has worked so far. We have had no growth in expenses on a year - on-year basis. And I think we are very clearly an outlier when it comes to that in the banking industry as of now. Most of the departures that we've had and I don't have the full list here with me, but these tend to be at the lower levels of the organization.

And they also tend to be more customer -facing levels where we've lost a few people which is why if you see our tooth -to-tail ratio has actually worsened this q uarter, we used to be at 79% customer -facing to 21% noncustomer -facing. We moved to 78% customer -facing and 22% non - customer -facing.

So there is a -- we've lost a few more people on the customer facing end. Your question was a little indistinct to me. I'm trying to answer it to the best of my abilities. If I have not answered your question, please do ask me again and I'll try and provide a better answer.

Prashant Kumar: No, it is fairly -- I mean I got it, sir. So second is on margin front. Obviously, you have discussed about the margin. But NIM has decreasing and is trending contrary to your provided guidance. Your guidance was in last quarter around 3.25 to go up in the trend around 3.5. So yield has also dropped significantly on both as a Y -o-Y basis and Q-o-Q. So despite the strong retail loan book growth. So is this decline actually alluded to the growth in retail loan book, which we used to driven predominantly by lower yield mortgage loan this quarter?

P. R. Seshadri: So the yield decline. And you're right. I mean we directionally we want to move to higher yields because we are at the yields that we are operating, there is substantial room to improve. So our strategy is to move out of lower yield businesses and into higher yield businesses. So we want to grow the retail business and the MSME business and over time cycle out of corporate and into MSME and retail, that's what we want to do.
While our retail and MSME businesses -- the disbursals have increased quite considerably, the impact on the balance sheet is not that large as yet. And the total size of our low -yield book hasn't really declined very dramatically. So that's one reason why you're seeing that NIMs have not gone up. The other reason why the NIMs have actually gone down is that we've had a 7 basis points increase in our cost of funding .
And this is in spite of the fact that we have arguably the best cost of funding amongst the peer group. But in spite of that, in spite of us trying very hard to manage this at a level that we -- that is appro priate for us, we nevertheless had to concede higher rates in the marketplace. And that's given the fact that the portfolio structure hasn't moved the way we would like it to move, has led to this which is a NIM compression of 5 basis points on a sequentia l basis.
So our strategy going forward is to try and more aggressively grow our higher -yielding books .
Moderator: Ladies and gentlemen, we have lost the line of the management. Please stay connected while we rejoin. Ladies and gentlemen, we have the manag ement line connected. Prashant Kumar:, could you please restate your question?
Prashant Kumar: Yes. So actually my question was on the NIM. Is it because of the higher growth in lower yield mortgag

e segment because this quarter was highly impacted on margi n-wise, actually?
P. R. Seshadri: So I think it's a very good question, Prashant, you're asking. Our margin NIM compressed 5 basis points for the quarter. And one of the big reasons for that is the increase in cost of funding, funding co st increase d by 7 b asis points, b ut in spite of the increase, we have much lower cost of funding than most of our peers.
So something that we want to preserve as a strategic advantage. And that we were unable to pass on in equal measure to our borrowers essentially because the size of our low -yield book did not materially change during the quarter. So even though our housing loan and auto loan disbursals increased quite nicely, the impact on the overall aggregated balance sheet was not enough for it to counteract this.
So no w strategically, we have -- we are now beginning introspection to see whether we should be looking at our low -yield book and instead of prioritizing growth, we prioritize the transition

from low yield to high yield and this is something that we are working on. We remain committed to growing our yield. It is work in progress as I had mentioned in the last calls also. It will play through as the balance sheet structure changes.
Now to your question whether the home loan is low yield, in the context of our bal ance sheet it is higher yield than the short -term and corporate assets that we have. And therefore, even housing loan gives us a yield bump upwards. And the reason why you're seeing it is for the reasons that I just mentioned.
Prashant Kumar: Okay. And las tly, sir, just we have taken various initiative on technology from especially in SME segment. So when do you think that it will start to work in actual numbers. This is my last question ?
P. R. Seshadri: It's a very good question. We've done a lot of work on the technology front to make our processes much more simple, much easier for our employees to use. Last quarter we had a reasonable quarter on the MSME front. For the first time, we grew quite nicely a cross both our small ticket MSME and the medium ticket MSME which is a break from a few years of the portfolio actually declining in size.
So we are hoping that, that is an indication of where things are going and we are doubling down on this. An area whe re we need a little bit more success, we have what I think is an industry - leading product where we can do smaller ticket working capital facilities and approve them within the day. Not all our branches have proven to be competent to sell it yet and 750 of our branch managers have underground a 5 -day residential training program to teach them about MSME and how these should be sold.
And we are hoping that, that will change the dynamic. And those products sell at 10% interest rate and over. And that's an are a where, while we have now a INR300 crores, INR400 crore s book, that needs to multiply 4 x, 5x for the impact of that book to flow through as NIM increased in our balance sheet. And that is something that we are working on. When exactly we'll get success is something that I cannot really comment upon, but we are working on it very hard.
Prashant Kumar: Thank you so much sir.
Moderator: Thank you. Th e next question comes from the line of Kunal Sukhwani from Indvest Group.

Please go ahead.
Kunal Sukhwani : Hi, sir. Thank you for the opportunity. I have two questions. First is on our deposit growth, which has been low at 6% and is taken by you that it also includes that bulk deposits going down by INR1,000 crores odd during this quarter ?
P. R. Seshadri: Kunal, w e're not able to hear you. Sorry, we can't hear you. Can you speak into the mic, please?
Kunal Sukhwani : Yes. Is it better?
P. R. Seshadri: Little bit better.

Kunal Sukhwani :

Yes. Sir, first question is on our deposit growth which has been lower at 6%. So as we have already stated that it was also on accou nt of bulk deposits going down, but we could do it because our CD ratio was also low. So my question is what would be our strategy going fo rward? Will the growth pick up o r do we have some more room on CD ratio on deposit?
P. R. Seshadri: So, I mean, to rephrase your question, you're saying my outlook on deposit growth and where you think this is heading. So if you see our deposit growth, we've been consistently maintaining that we want to keep the cost of funding advantage that we have. And we are constraining asset growth because our natural rate of growth of deposits given the pricing that we offer seem to be between 8% and 10%.
This is what I have been consistently maintaining on every call that I've been on. And that's why we said that we grow our assets between 10% and 12% in that neighborhood. And that really hasn't changed for us very much. So if yo u see year -on-year, our CASA growth on an average quarterly balance basis roughly about 5% where CA has done better than SA.
Time deposits have net off the bulk deposits have also grown at approximately 8% year -on-year. And we deliberately kept our deposi t rates at a level where our growth rate would be in this 8% to 10% level. And we consciously allowed some of our wealth deposits to get paid off because they tend to be higher cost. And that's how we manage this because we had the leeway of having lower C D ratios.
So we've now hit CD ratios of 82.5%. And some of the advantages that we had from a lower CD ratio is no longer available to us which means that we do need to grow deposits. And luckily for us, we think that we are entering a period where both ou r non -resident Indian deposit flow as well as CASA flows should improve very dramatically given the nature of our customer base.
So we at this juncture are reasonably confident that we can manage deposit flows to the extent of asset growth and to ensure t hat our CD ratios remain in the neighborhood of where we are at this point in time. So for us the good news is also that the non -resident Indian portfolio is behaving much better than it was in the past. It's grown almost INR2,000 crores year -on-year for u s.
And as a share of the total deposit base, it's gone up to 30%. It was at 29%, it has moved up 1%. So we are hoping that the actions that we take in that front continue to grow that. We think that there is a percent perhaps 2% growth there. And with gre ater focus on the domestic side, we should continue to have lower cost of funds. And at the same time we should be able to meet the requirements from the asset front using the deposit franchise that we currently have.
Kunal Sukhwani : Sure. Thank sir. Sir, second question is on our credit cost which has been quite low as in comparatively to other banks. So any guidance on credit costs will we maintain this here or it will go up a bit from here?
P. R. Seshadri: Our slippage ratio was 33 basis points not annualized, quarterly basis that's about 1.42% annualized. And the credit costs are a direct function of that. So it's at about 8 basis points. So if slippages were to increase which we don't see increasing in the near term, I don't have visibility for ver y long on this front because that is a factor of where , what's happening in the environment.

So from our vantage, our high -risk books which is basically unsecured credit cards and, let's say, microfinance these are very limited in our balance sheet. So we think in the near term, there is no risk of this number moving very dramatically.
Kunal Sukhwani : Sure. That’s it from my side. Thank you.
Moderator: Thank you. The next question comes from the line of Arvind Datta from Marigold Wealth. Please go ahead.
Arvind Datta: Thanks for taking m

y question. My question is first question is, we've seen employee costs been declining and down by around 9.7% Y -o-Y in this quarter. Is it possible that we will see further reduc tions in the upcoming quarters a nd could this reduction in employee negatively impact business and revenue growth in the near future? That's my first question.

And second question is on the bank's cost -to-income ratio which is down by around 220 basis points to 59.8% over the past 1 year. Could you el aborate on the strategic initiatives you've been implementing to further im prove the cost -to-income ratio a nd what is the target CI ratio? And by when do you expect to achieve it? These are the two questions from my side?

P. R. Seshadri: Thank you very muc h. Both are very good questions. Let me answer the first one -- second one first. We had set ourselves a goal of reducing our cost -to- income ratio by 1,000 basis points over a 3 -year period. And we're also on a previous call, mentioned that most of our co sts are fixed. So if you want to break up our costs between controllable and non -controllable, the portion that is controllable is actually quite small.

And non -controllable constitutes approximately two-thirds of our total cost. And this is in the nature of employee costs, the nature of DICGC premiums, those kind of things where we have very limited leverage. There's nothing we can actually do. And given the fact that the controllable cost is so small, our focus has been to ensure that the aggregated cost s remain where they are and at the same time, grow revenues.

So if we can keep a tight lid on costs and grow revenues, over time the cost -to-income ratio will improve. So I'm very happy to place before you the fact that over a 1 -year period, our costs hav e remained essentially static. Now, how much further can we go along this path, how long can we keep the costs here is a good question. And in part, it depends on the answer to the first question that you asked.

You said, "Hey, you lost a bunch of people. How much more can you do? And is it impacting your business?" So our belief is that the reduction in headc ount that we've seen in hitherto has not impacted our business very much. And we do believe that there is a little bit more headroom where we can los e a few more people and where we have fixes in a sense that there may be certain things that we can stop doing.

There may be certain things that we can do differently, certain things that we can automate, where the absence of human be ings does not really i mpact us, b ut there is a limit to that. And I suspect that we are closing in on that limit. We are perhaps not at that limit yet. So there's not much leeway. I think till March, we think that we can have expenses at around this level.

As we go into the new year, we will have to more actively manage our revenue lines to ensure that the cost -to-income ratios continue to decline. I don't think we have much leverage more leverage on the expense front. So that's our position. I trust I've answered your questi on.

Arvind Datta: Yes sir. Thank you and best wishes for the future.

Moderator: Thank you. The next question comes from the line of Bunty Chawla from IDBI Capital. Please go ahead.

Bunty Chawla : Thank you for giving me the opportunity. As we are seeing now the old book is just INR19,000 crores, but still fresh slippages seems to be around INR165 crores during this quarter as well. So when can we expect this in a very low number as such? And along with this as we have shared the major gross NPA numbers from the old book only, are we expecting any kind of recoveries from this in a medium to short term. This was my first question.

Secondly, on ECL provision ing have any kind of a rough calculation number we have done , if the ECL provision comes into the pi cture, what will be the impact o r

what will be the extra provisioning which we will be requiring? Yes, that's it from my side ?

P. R. Seshadri: So basically on the old book actually the old book NPA accretion this quarter is significantly lower than the prior qua rter. So we are seeing trending downwards of the old book NPA accretion, it is still a material number given the small size of the old book. The prior quarter, our NPA accretion was INR218 crores, this quarter it's INR165 crores. And our hope is that t his trend line continues.

So there is an improvement in performance vis -a-vis the prior quarter. With respect to recoveries actually our story on recoveries has been a good story over the years. Total recovery for the year so far is about INR 1,025 crores. Las t quarter the recoveries were about I think INR30 0 crores or so, which is equal to or if not a little greater than the NPA that accrued, including interest recoveries our recoveries last quarter of INR 364 crores .

So on the recovery front, we believe that we have a world -class operation as good as any on the street. We think that this will continue to give us elevated recoveries as we go into the new year as well. And combined with the fact that the old book NPA acc retion seems to be dropping off I think this will be the good sign as far as we are concerned for the future. With respect t o ECL, are you still there?

Bunty Chawla: Yes, sir. .
P. R. Seshadri: Okay. With respect to the ECL -- yes, go ahead.
Bunty Chawla: Sir, on recovery part which you have shared, if you can bifurcate between the write -off and recovery and upgrades and also between new book and old book, that will be much useful, sir ?
P. R. Seshadri: We will give you the new book versus old book recovery in the next quarter. Meanwhile, if those pieces of information are required, I guess, you can touch base with our folks on a one -on-one basis. We'll try and provide this information in the investor deck going forward. And with respect

to the ECL question, I will turn it over to our CFO, Vinod Francis: for a quick answer on that one.
Vinod Francis: So with regard to the ECL provision, we don't expect much impact on the ECL computation compared to the IRAC provision . Maybe because if you see our new book tha t is behaving quite well and also with the good traction in the recovery also of PD and LGD has a positive impact on that. So we don't expect any much impact with regard to that ECL provision .
Bunty Chawla: And lastly, if you can share a break up of other i ncome into T WO from FLDG, et cetera?
P. R. Seshadri: Why don't we take that off -line? And in the next oncoming presentation, we will ensure that we give you a greater description of where this income is coming from. We will provide this information as we g o forward, if that is okay with you in our investor deck.
Bunty Chawla: No problem, sir.
Moderator: Thank you. Th e next questio n comes from the line of Chinmay Nema from Prescient Capital. Please go ahead.
Chinmay Nema : Hi, sir. Thank you for taking my question. My question is on the corporate, on the specifics on the new corporate book. For the last three, four quarters you've reported nil slippages on this book. I think this is the first quarter where you reported any slippages on this INR29 crores. Just wanted some color on is this a particular account or some particular sectors, anything on this?
P. R. Seshadri: These are , we've had a few instances where corporate accounts has slipped into NPA. There is no commonality between a ll of these. And there are no trends that we can see. It's just that in the aggregated book that we currently have, a few items became the cash flows on those loans of those customers deteriorated over time and they were consequently unable to make the repayments that were due.
One customer was in the automobile trade and another was in a c

ommodities business. There is no commonality. There is nothing that we can make out that says that there are stresses in the corporate side. So there is nothing to note. This is a one -off. We do not think that this will be repeated going forward. We have, of course, taken a look at our entire corporate book to see whether there are other areas of incipient stress.
And wherever we think there are those kind of issues, we h ave tried to take preventative action at the earliest. So from our perspective, this is not something that is particularly eventful. It is something that we have taken note of. We think that this is a one -off and we hope that once this falls away, our tota l NPA accretion on a quarterly basis drops off quite sharply.
Chinmay Nema : Understood sir. Thank you.
Moderator: Thank you. The next question comes from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Good evening sir. C ouple of questions, sir. First, on gold loan . So ove rall gold loans have increased t hat is what we are showing at 10% roughly, b ut it looks like there is a dip in the retail

gold. Along with that, if you can also highlight, was there any impact of the recent RBI circular which had come to the industry level asking for tightened practices in the gold loan book?
P. R. Seshadri: So with respect to gold loan, Jai, we've grown as you can see 10% and the gold , the growth rate has actually dropped off a little for us as you would notice. We think that there will be some impact with respect to the RBI policy changes. And that depends on what the changes are.
So at this juncture, it's not entirely clear as to what the RBI wants us to do. I mean there are various discussio ns that are underway with the Reserve Bank of India. We are awaiting further responses from them as to what they would like us to do. And if the pronouncements are such that they are not in line with our current business practices that may impact us negati vely. So we think that we will get to know that over the next quarter or so.
And we expect our portfolio for the next quarter or so to be in line with where it is at this point in time or show a slight marginal increase. And basis the pronouncements of th e government --

pronouncements of the Reserve Bank a future course of action can be planned. But I think over the long run, this will continue to grow.
These are -- this is just a temporary blip I would say. And we have a strong franchise of this -- for this product and we have branches which can tap the large markets quite effectively. So we expect this to continue to grow. But I think the growth rate initially in the near term would be slower than what we've seen in the past.
Jai Mundhra: And sir, is it because you have some amount coming from third -party origination or that portion will be slightly more impacted o r it will also impact your in -house origination o f gold loan also or maybe agri?
P. R. Seshadri: Third -party origination we have actually incre ased our third -party relationships. So we -- initially we used to have a third -party origination mechanism which we were working with IIFL.
Now, we also have Fedfina which is the Fed bank outfit also. In the near term, actually, we will get some growth on the third -party side.
And we may get lesser growth on the internal in -house side. And then over time, the in -house has to move back into the growth mode that it has displayed for all these years.
Jai Mundhra: Okay. So you may have to tweak some product, s ome processes and ma ybe the products itself, that is under the new circular ?
P. R. Seshadri: Yes. Basis what the RBI's pronouncement is, we'll have to adjust ourselves appropriately.
Jai Mundhra: And there is no asset quality implication, right? It is only the growth which may be impacted ?
P. R. Seshadri: There is to the best of

my knowledge, no asset quality implication of this.
Jai Mundhra: Okay. Secondly, sir, in your -- I think in response to earlier question, you had mentioned and also -- we can also s ee that MSME growth after multiple quarters have seen an uptick on a Q -o-Q basis, we also mentioned that there are two products which are outstanding, INR400 crores,

INR500 crores outstanding, but these are recently launched and response has been reasonabl y good.
And with time, we should also gain some traction. If you can elaborate, I mean, what are those products? Are these like industry - specific or these are digital only? I mean, what kind of these produ cts are if you can just help us?
P. R. Seshadri: So basically, these are quite simple products. One is using the GST framework to lend money.
This we launched in April of last year, April end of last year. It's a fully digital seamless flow where we hit the GST portal, we hit the tax portal, we hit CIBIL and we hit the account aggregators to a bank and get bank account details and then we process this and hit CIBIL and other folks and run a scorecard and say yes or no.
And if all the information is available and all the linkages wor k, the process takes be tween half an hour and an hour. And if the customer is a good customer, at the branch level, the approval can be accorded . So this is an overdraft facility which means that we are not competing against the NBFCs because NBFCs can't write an overdraft. And this is a product that we are trying to sell out of our branches so that we don't -- the cost of sales is low and therefore the entire economic value is captured by us.
And there the total lines outstan ding are in the neighbor of INR350 crores or INR 400 cr ores at this point in time. The other product where we were not participating is the loan against property.
So our loan against property portfolio was very small. And that again we have a fully automated solution, digital, end -to-end seamless and that was launched, I think if I'm not mistaken in September of this year.
And, so both of these are the key -- and there we can do term facilities, we can do overdraft facilities, declining balance overdraft facilities, a whole lot. The other thing that we are goin g to go live very soon is a fully digital again process where we can set up term facilities and overdraft facilities and also non -funded facilities for a regular business account, this is a seamless process.
Hopefully, and using a scorecard which we shoul d be abl e to approve within an hour or two . So all of these are either live or very near to go live. So two of them are live. One is very near to go live. And as of this moment, traction on these products is increasing, but it is not sufficient for us to m aterially change the balance sheet structure of the bank. And that is what we are working because that's where the NIM expansion will come from.
Jai Mundhra: Right, sir. And lastly, sir, I think while the proportion is very small in PL and credit card, an d then the slippages as you mentioned that some proportion of the personal loan retail slippages have come from unsecured. But we also have FLDG arrangement. So if you can maybe quantify that what was the sli ppages and maybe over the next four quarters?
I mean what could be the kind of -- what could be the eventual credit cost net of FLDG and how should one think of this? Is this the P&L more or less insulated till maybe 5% slippages happen and are the delinquency likely to remain below that and hence P&L ideally should be insulated.

Is that the right way to think about that?

P. R. Seshadri: So the way the situation stands right now, Jai, is that the P&L that you see today has a construct, which is not going to change going forward. So in a sense that whate v

er are the cash flow streams
that accrue to us will continue to accrue to us in the future. Therefore, the credit costs are not going to materially change on account of the existence or non -existence of an FLDG.
In our case, in any case, the credit card portfolio does not have an FLDG now, given the clarification that we had received from the Reserve Bank of India last year as part of the classificatory note. From our perspective, we have very few or a very small portion of loans we have an FLDG component, but that's not material. In a materiality threshold, it will not meet.
So if I were to answer your question very briefly, the structure of our balance sheet now is such that the impact on us on account of FLDG b eing there or not being there will not be material.
Jai Mundhra: Thank you so much sir and all the very best.
Moderator: Thank you. The next question comes from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: Sir, just have a c hecking sir, the Slide #37. So we have given personal loan segment of such delinquency from the new book at INR36 cro res. And if I look at the like one -fifth roughly is the old book now and four -fifth is roughly the new book now of th e total loan book. And if we take similar kind of composition of retail loan book approximately 23%, delinquency rate annualized appears to be higher. So any clarity that we can offer?
P. R. Seshadri: So the breakup of the per sonal segment is not in the deck . The loss rate on o ur card portfolio continues to remain more elevated than we would like, that is a reality. Ou r in-house personal loan book, l oss rate is s uch that it still leaves a very large positive carry as far as we are concerned. So -- and since the personal loan boo k is being -- personal loan is being sold almost entirely to our own customers, the experience has been quite good.
So it's not that we are selling it externally. We are just -- we are launching a new product very shortly. In fact, the system is ready whe re we can give you a seamless personal loan journey, which I guess, not many Fintechs can match. I mean, ours goes through everything including an account aggregator with a seamless underwriting, that is just going live and that is something that we will b e offering to non -customers as well because that's an income -based underwriting program.
Well, that's while the system is ready, it is going user testing, et cetera, b ut to answer your question, the loss on the personal loan side is acceptable. I would say in the 4% -ish range. On the card side, we have higher losses than we expected, largely on account of the fact that the portfolio is winding down because we have not issued credit cards for the l ast 11 months or 10 months.
So we've written to the Reserve Bank of India. We have completed whatever changes they wanted us to make so that we can start reissuing cards with One card and I think that number will start moving. We've also built our own scorecards in the interim because we had a large

number of custo mers and we have a large number of bags and it allows us to actually build a scorecard. That's all done.
So we are just waiting for disposal of our applications for the Reserve Bank of India and we'll be back live on that product assuming, of course, that everything that requires to be done has been done by us. So to answer your question, majority of it this is from the new book, the personal segment includes mortgages and housing loans and other things of the past. And those would not have contributed ver y much.
So basically our total losses here out of the INR87 crores, INR80 crores comes from credit cards and personal loans . And personal loan is roughly a third of that. So that gives you a breakup of where we are at. So personal is behaving quite well. On the credit card side, we do have

elevated
losses that we are dealing with.
Rakesh Kumar: Got it, sir. Sir, another question which I'm unable to understand like in the Slide #22, disbursement figure for FY '24 is INR95,000 cror es. And for 9 months it is INR1,22,000 crores, 41% is the composition for our corporate loan book, remaining is retail and MSME. So with 41%, 42% of loan book in corporate, should we have so much of churning of the book l ike gross

advance is around INR85,000, INR 86,000 crores. And d isbursement is like INR122,000 crores.
P. R. Seshadri: So this is a structure of the portfolio that we have deliberately kept. So basically these are very short -duration loans to our corporate, the converse of this is that rates are very stretched. So basically, we d on't get paid very much for it, b ut it gives us the ability to actually move out of this book as and when we grow the other asset classes enough.
So the reason why we have such large disbursal amount is that, let's say, we disbursed INR1,000 crores to an entity which is a very high -quality entity. And it pays me back in 15 days or 30 days and then we put the money out again it's counted twice. And that's the reason why that is happening. It's largely coming from the corporate book. And it's deli berately kept this way. It adds a little bit of volatility to our balance sheet, but it gives optionality.
I mean if tomorrow our retail business really starts picking up and our MSME business starts picking up we will not have trouble winding this down a nd swapping low -cost assets for higher price or higher -- more highly priced assets. So that's the reason that you see this number there.
Rakesh Kumar: Got it, sir. Sir, just one last question, if I could ask.
Moderator: Rakesh, if you could please join ba ck the queue.
Rakesh Kumar: Sure. Thank you.
Moderator: Thank you. We move on to our next question, which is from the line of Prakhar Agarwal from Elara Capital. Please go ahead.
Prakhar Agarwal: Hi, sir. Thanks for this opportunity. Just a couple of que stions. One in continuation to Jai's question in terms of gold loans? So is that an industry -level discussion which is going on with RBI or it is...

P. R. Seshadri: Yes. Sorry, I can't hear you. It's very indistinct. Can you speak into the mouthpiece, please? I mean for whatever reason, can't make out what you're saying. My apologies.
Prakhar Agarwal: Now is it better, sir?
P. R. Seshadri: Yes. Now it’s better.
Prakhar Agarwal: So just in continuation to Jai's question the discussion with RBI on gold lo an is industry -specific discussion or is pertaining to you first? And second, when you're talking about certain changes which probably may happen, is this pertaining to maybe structure of the gold loans wherein there could be a possibility of turning it in to an EMI product o r is it related to the concentration which probably is the RBI probably may want the concentration of portfolio to come within a certain limit? So what is the direction of those conversations?
P. R. Seshadri: So to the best of our knowle dge, this is an industry -related issue. It is not related to us alone. We are not an outlier in any form of activity that we undertake. If anything, we are a little bit more circumscribed in what we do and how we do it. So this is an industry - related issu e and it deals with things like how you renew facilities and certain other activities that you have to carry out.
So -- and these were standard practices that the industry was using, especially the older generation private sector banks. So in light of the RBI letter of the 30th of September last year, which went to all banks, we've taken that on board. We have compared it with our own processes . And then we have responded to them detailing our processes and asking for clarification wherever it is necessary which is why I said that -- and

in response my understanding is that the Reserve Bank of India is taking note of all the responses received from all the industry participants.
It's in the process of formulating policies that can be used on an industry -wide basis. And any impact of the new policy that come out will not be restricted to us, but will be industry -wide. So I trust that answers your question. I'm sorry, I forgot your second question.
Prakhar Agarwal: No, sir, it answers both th e things. Thank y ou so much.
Moderator: Thank you. L adies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.
P. R. Seshadri: We just wanted to thank all of you for being here. We greatly appreciate it. From our perspective the Q3 FY '25 was a seminal quarter. Across almost all business lines, our numbers were reasonable. We are making significant progress in reengineering our business and making ourselves more relevant, more granular and significantly mo re profitable institution. So thank you all for being here. Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

DEPT: SECRETARIAL

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Dear Madam /Sir(s),

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuatio n to our letters SEC/ST.EX.S TT/17/2025- 26 dated May 12, 2025 and SEC/ST.EX.STT/25/2025- 26 dated May 16, 2025 , we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Friday, May 16, 2025 at 16:00 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.com under the following link,

https://www.southindianbank.com/userfiles/file/sib_q4- fy24-25_earnings_call_transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above

REF. No. : SEC/ST.EX.STT/ 27/2025 -26
DATE : May 20,2025

"South Indian Bank Q4 & FY '25 Post Earnings
Conference Call "

May 16, 2025

MANAGEMENT : MR. P. R. SESHADRI - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , SOUTH INDIAN BANK
MR. DOLPHY JOSE - EXECUTIVE DIRECTOR , SOUTH INDIAN BANK
MR. ANTO GEORGE T - CHIEF OPERATING OFFICER , SOUTH INDIAN BANK
MR. VINOD FRANCIS – GENERAL MANAGER & CHIEF FINANCIAL OFFICER , SOUTH INDIAN BANK
MR. JIMMY MATHEW - GENERAL MANAGER & COMPAN Y SECRETARY , SOUTH INDIAN BANK
MODERATORS : MR. HARDIK SHAH - ICICI SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the South Indian Bank Q4 & FY '25 Post Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Hardik Shah from ICICI Securities Limited. Thank you and over to you, sir.
Hardik Shah: Yes, thanks, Navya. Hello, everyone. Good afternoon. On behalf of ICICI Securities, we welcome you all to Q4 FY '25 Post Earnings Conference Call of South Indian Bank.
From the Management side, we have with us MD & CEO – Mr. P. R. Seshadri ; Executive Director – Mr. Dolphy Jose; Mr. Anto George T – Chief Operating Officer ; Mr. Vinod Francis – CFO and Mr. Jimmy Mathew – GM & Company Secretary and other officials of the Bank .
I now hand the conference over to the Management for the opening remarks, post which we will have a Q&A session. Over to you, sir.
P. R. Seshadri: Thank you, Hardik. Good evening to all of you and thank you very much for joining us at the South Indian Bank Limited Q4 FY '25 Earnings Conference Call .
I am joined by a set of my senior colleagues as was announced a little earlier. I would like to start by updating you on the key highlights for the performance that we had in the quarter that just gone by and for the last financial year.
As a Bank , we are quite pleased that our net profit ended at Rs. 1,303 crores for the FY '24-'25 registering a growth of 22% when compared to Rs. 1,070 crores in the prior fiscal. Total deposits grew by 6% to a Rs. 107,526 crores from a Rs. 101,920 crores on a YOY basis. Retail deposits excluding bulk deposits grew by 7%. So as an institution, we did m oderate the total quantum of bulk deposits and bulk deposits as a percentage of our total deposits is now close to about 2.5% or thereabout. So retail deposits grew to Rs. 104,750 crores from Rs. 97,743 crores. Gross advances grew by 9 % to Rs. 87,579 crores from Rs. 80,426 crores.
At this juncture, I would like to point out that this includes the impact of technical write off the extent of Rs. 900 crores. So if you would add back the assets written -off, technically, the total growth would be clo ser to 10%. Total business for the Bank grew by 7 % to conclude to reach Rs. 195,105 crores. Net interest margin for the year was at 3.24%. The Bank was able to show a healthy growth in the average balances during the period with a growth of 10%.

The Bank declared a return on assets of 1.05 % and a return on equity of 12.9 % for the financial year. Net interest income for the year was at Rs. 3,486 crores. The capital adequacy ratio of the Bank at the end of the year is at 19.31 % and the tier one ratio stands a t 17.98%. Casa amount increased by 3 % year on year to Rs. 33,730 crores from Rs. 32,693 crores. Provision coverage ratio excluding write -off improved by 311 basis points to reach 71.77 % and PCR excluding write -off improved to 85.03%. Overall gross NPA reduced by 130 basis points from 4.5 % to 3.2%. Net NPA reduced by 54 basis points from 1.46 % to 92 basis points. Slippage ratio for the year was at 1.31%.
Now, allow me to take you through the financial performance of the Bank in the quarter that just went by :
Bank's net profit for the quarter was Rs. 342 crores compared to Rs. 288 crores during Q4 FY '24. Net interest income for the quarter was Rs. 868 crores. Operating profit for the quarte r was Rs. 683 crores as against Rs. 434 crores, an increase of 57 % on a year -on-year basis. Net interest

margi

n for the quarter was at 3.21%. The return on assets was 1.11 % and return on equity was 13.74 % for the quarter. Slippage ratio for the quarter was at 24 basis points. We continue to grow most of our business lines.

Our gold loan business now stands at 16,982 crores with an average LTV of 61.88 % including buyout. And this number includes buyout and an average ticket of about 1.88 lakhs. Gold loan book grew by 9 % year-on-year. Home loans and auto loans are another major area of focus in the retail segment.

On a YOY basis, we are able to achieve 55 % growth in home loan and 24 % growth in auto loan. We will continue to maintain the momentum in disbursemen t and collections in the coming quarters to achieve our desired targets.

With this, allow me to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Darshan Deora from In dvest Group. Please go ahead.

Darshan Deora: Yes, thank you for the opportunity. Sir, my first question was regarding the other income line item within the non -interest income for Q4 FY '24. It seems to be on the higher side. So any additional color you can give on this other income line item?

P. R. Seshadri: Sure, thank you very much for the question. During Q4 '25, we were helped by strong revenue accruing from our treasury o perations. So the treasury side, we got some very significant growth in revenue. We also got income on account of recovery, which amounted to about Rs. 177 crores during that quarter. So these are the two big lines where there was an uptick in revenue.

Darshan Deora: Got it. I just wanted to ask you, with respect to the MSME loan books, I know the Bank has put into place a lot of initiatives and we really appreciate that, especially on trying to re -equip the branch managers and staff at the branches to h andle MSME customers. But in terms of the loan growth that you have outlined the presentation, it seems a bit on the lower side. So any color you can give on the MSME book specifically?

P. R. Seshadri: So the MSME book, actually, after a long time, we stabilized the book. We didn't grow very much during the year, but we stabilized it. There was no shrinkage. The reason why the numbers in the deck seem as though appear optically as though the book has actually shrunk, is that approximately Rs. 546 crores of that was written -off technically. So if you were to add it back, it is closer to where it should be. And there was some reclassification of these assets out. So we are quite happy with what happened in the year. We have put in place the distribution architecture that enables us to get these accounts. We have now got a reasonable method of onboarding them. The rate at which we are able to onboard them increased quite considerably as we went through the last year from one quarter to the other. Quarter 4 was our best. Obviously, it's also the busiest season in the Indian calendar. So we are actually quite happy. We think that this year that you will see a very significant growth. As far as we are concerned, we think that this is the year of growth for us as an institution. We put in place the underlying tools that we need for us to grow. And we are reasonably confident that you will see a substantial growth in the MSME balance sheet as we go through this year.

Darshan Deora: Got it. And any guidance you can give for the Bank as a whole for FY '26 in terms of the advance growth as well as the profitability or the ROA?

P. R. Seshadri: So with respect to the last year when we were asked this question, we told people that we would be at the 10 % level and we ended up at that level. We think that our growth, we will be growing faster than last year. The environment is an important imponderable that we are not entirely s

ure

as to how it is going to behave. But I think that, 20 %-30%, maybe 40 % incre ase in our growth rate is feasible, and we now have the tools to get there. So I would say that we would be north of 12 % growth assets for the year. Our hope would be that we beat that number by 3 or 4 percentage points. But as of now, we are targeting nor th of 12%. But with the change in the asset mix, the growth coming largely from MSME and retail and other such asset categories.

Darshan Deora: Got it. So we have , I mean effectively higher yield essentially ?

P. R. Seshadri: Yes, that's right .

Darshan Deora: Got it. in terms of NIM s or ROA if you could give any guidanc e?

P. R. Seshadri: NIM s, I am a little hesitant to give guidance on NIM s because the full impact of all the changes to the reference rates and how they will impact us is a little difficult for us to compute at this stage because it's not known when those changes will occur. Roughly 40 % of our balance sheet

is exposed to external factors. I mean, in the sense that they are linked to either repo or to T -bill. And therefore, the impact of all of that is very hard to estimate. So I don't want to give a view on what the NIM will be because it's difficult for me to do that. The point that I would like to make is in Q4, we actively manage NIM. I mean, in the sense that we decided to prioritize NIMs over balance sheet growth. We could have grown the balance sheet very easily more than what we finally ended at. But we chose not to and that's why our NIMs expanded in the last quarter. So we do have tools to manage the NIM. So therefore I don't want to give a number and then miss it. With respect to return on assets, we think we will be in the 1% ballpark. I think we have other revenue sources that we can manage. There will be stress coming in because of the fact that the NIM s will be stressed, at least to begin with. I think over a period of time, the cost of funding will also drop and the basis risk that we are dealing with at this point in time will play out So w e are reasonably confident that we should be in the 1 % range as we go forward with respect to return on assets. On the NIM front, a little harder to predict.
Darshan Deora: Got it. Thank you so much for answering all my questions. We really appreciate it. And best of luck.
P. R. Seshadri: Thank you.
Moderator: Thank you. We take the next question from the line of Arvind D atta from Marigold We alth. Please go ahead.
Arvind Datta: Hi, good afternoon and thanks for the opportunity. My question is related to the retail consumer business. What's the cross -sell opportunity available to you in you r portfolio currently? And what's your current cross -sell ratio for the consumer business? That's my first question. And second question relates to, are there any plans to distribute third -party products like mutual funds to existing clients ? These are the two questions from my si de.
P. R. Seshadri: Thank you very much. So on the retail side, the cross -sell so far we do have an active cross -sell program. Our personal loan book is about 90 % of the book is cross -sell. So it's to our own existing savings accou nt base that the product has been sold. On the housing loan side as well, we do periodic campaigns to try and sell people housing loans . Of course, housing loan will only be attractive when somebody is actively looking to buy a house, which is not every da y and personal loan is a more appropriate product to be targeting them. as a cross -sell, as a feature is something that is now embedded in the DNA of the institution. We do it all the time. We have not given you details of exactly what proportion of this balance sheet is actually cross -sold. We will try and give those details as we go forward. I am sorry, I've forgotten your second question. If you could just repeat it,

maybe I can answer that as well.
Arvind Datta: Related to distribution of third -party products like mutual funds, you are existing savings account or other loan product customers?

P. R. Seshadri: So right now , we offer this on a completely self -service platform, and we have an AUM of about a Rs. 1,000 crores o r so. We are in the process of thinking through whether we should set up an arm of the institution that actively makes available wealth products to our customers. So this is something which is in the works. Our first area of focus last year was on the asse t side where we thought that we had to do a lot of work. We have done that. This year is when we will be focusing on liabilities, stroke, wealth. Those products are areas that we will be spending a lot of time on. Our intent is to make available all the products that our customers will need and not have to hand them over to other people. So to try and satisfy them as much as possible. So this is something that we will do this year. I trust that answers your question.
Moderator: Thank you. W e move to the n ext question from the line of Himanshu Upadhyaya from BugleRock PMS. Please go ahead.
Himanshu Upadhyay: There is this question. In the previous call, we talked about automation even on LAP products. Can you just explain what gets automated because what we understand valuation of property, physical verification, documentation, these all are manual processes in which are generally takes a lot of time. So what processes get automated here? And secondly, are we doing cash flow backed loans where collateral is security in form of property and not just doing loan against property? So is that understanding right? And the ticket size and average loans as a percentage of property value means what you are targeting in that segment, what we stated on LAP in last quarter. So some more idea on that product and how is it scaling up will be helpful ? Thank you.
P. R. Seshadri: To answer your second question first, we do not use collateral as a crutch to lend. That is our first principle of lending. Everywhere we do cash flow based, the only exception being gold, where we are doing gold loans where it is principally driven by the collateral that is accepted. So all LAP loans are based on the cash flows of the individual and all LAP loans are underwritten as term facil ities. So no LAP loan is underwritten as a n overdraft. So overdrafts tend to have a relatively liberal underwriting standard when compared to term. So these are underwritten at the…the scrutiny of these loans is the highest that we can bring for a product of this nature. With

respect to loan to value ratios, on an average the loan to value ratio would be in the neighborhood of 60 % to 70 % on average. And the average ticket size would depend upon the segment that we are targeting. So there are two seg ments. There is the mass market segment and then there is a segment which is the higher ticket segment in places like Bombay, Delhi and so on and so forth where property valuations are higher. So , our minimum ticket size would be in the neighborhood of app roximately Rs. 50 lakhs and it will go upwards from there. So we don't operate on the lower end of the market. These are all full, the paperwork associated with these loans is a full document and the underwriting, they're all underwritten as term facilitie s, which means that the individual must have the ability to service both interest as well as principal. So I trust that answers your question.

Himanshu Upadhyay: Yes, and how much the growth is visible in that product or are we seeing now the product stabi lizing and growing because it is one of the important products for on MSME side. We have been working lot on automation. So some thoughts on what… automation?

P. R. Seshadri

: With respect to automation, what we have automated is the credit underwriting pie ce, which is basically to understand the income and cash flows of the individual and figuring out income and cash flow of the individual can support the loan in question. That bit is automatable because information sources are available. We can hit the tax department and pull the tax returns and all the other details associated there with including the balance sheet and P&L and we can look at it in an automatic fashion. We can hit the bureau automatically. We can do all of that and we can run scorecards aut omatically. The point that you made that title papers and other such things are by definition requiring manual intervention, that is true. But that's the second step. So we have automated the first step. The second step is a process that unfortunately is m anual and along with the rest of the market, we have to do it manually till such time as the environment changes. But the first step for also was also manual for us, which we have now automated. Trust that answer your question . And yes, the volumes have increased. In fact, they are on an increasing trend. We think that they will continue to increase because we are on a very low base. So I think if you were to hold this question and ask me this question two quarters from now, I th ink the numbers by then would have reached a level where it would make material difference to the balance sheet of the Bank . So as of now, we have approximately only Rs. 3,000 crores or so of LAP assets on a balance sheet of 88,000 crores. So as an institu tion, we are very underrepresented in this asset category.

Himanshu Upadhyay: Okay, ye s, That’s helpful. And secondly, if we want to grow, over the last few years, the thought was of, we wanted to maintain decent margin and low cost of deposits, okay . And what we have seen is our CA has not has not at all grown last year, and SA also has grown very marginally. So are we trying to now get more into deposits or a faster growth on deposits so that it helps us in growing our assets or you think the deposits will remain at a low growth. The first focus would be moving from low margin corporate loans to SME or a private, let's say the personal loans segments. What would be the strategy on that side and it will be major ? So some thoughts here will be helpful.

P. R. Seshadri: So our view is that last year was an unusual year for, on the liability side of the house, essentially because interest rates were very high. And consequently, the desire of customers to move from current or savings account s into those deposit accounts was higher. As the reference rates start dropping and interest rate regime in the market drop s, then the difference between CA and SA and time deposits will also drop. And therefore some amount of inertia will come into custom ers who the opportunity cost of not moving the money is not as much. So, our view is that the market will grow CA and SA faster than this year than it did last year. So the fact that our CASA balances did not grow more than what they did right now is becau se of two factors. We had one particular account which had at the end of the prior year, a very large balance which went out and then we had to claw our way back and cover all of that and then grow by three percent. So

none of those challenges exist this y ear for us and we expect next year to be significantly better from a CASA growth perspective. So we are not changing our mix, we are not saying that we will give up our low -cost strategy and go into only deposits. That's not it. We want to grow CASA as muc h as we wanted to grow CASA in the past. We think that we have hit a bottom as far as the CASA percentages are concerned. And we have a strategic view as to how to maintain this here as well as try and grow this as we go forward.

Himanshu

Upadhyay: So can we expect the liability side to now increase by 10 % overall also because even if we look at the TDs or retail term that increased by 9 % type of thing but overall do we expect now the overall deposits on the retail side can grow by 10 %-12% in near future so that we maintain our .
P. R. Seshadri: Yes, it will grow. T here is a natural limit to how much we can grow our assets. So if our assets are going to grow north of 12 %, our deposits will have to grow north of 10 at the very least. Because otherwise the C D ratio will move adversely against us. And at this juncture, we don't think that tapping the CD market or other such markets are appropriate. So we'd like to fund ourselves from retail deposits.
Himanshu Upadhyay: Okay. And we are not thinking of producing our large corporate loans which are a pretty large proportion, low cost, large corporate loans what we have, short term large corporate loans currently. They will continue to grow.
P. R. Seshadri: Yes, the rate of growth of those will be much slo wer. So the whole thing is to cycle out of those and cycle into the new, I mean into the higher yielding retail and MSME, which we need to do properly. So we need to get this MSME and retail to come in in large enough quantities and then gradually wean our selves off the low yielding corporate book that we have. Luckily for us, most of those are in the nature of very short duration assets. So we should be able to manage that. So the first order of business is to get retail and MSME to grow very considerably so that most of our growth challenges are addressed from those two engines. And at that point in time, we have the optionality as to how much of the corporate we retain and how much we give up. So that's how we are playing this, we are not hidebound and saying that we will reduce the corporate first and grow the other later. We are trying to manage the balance sheet dynamically. So if more and more retail and MSME come in, we will start figuring out what to do with the corporate at that point in time . I trust that answers your question.
Himanshu Upadhyay: Okay, ye s, that's helpful. I have a few more queries, I'll join back in the queue . Thank you.
Moderator: Thank you. We take the next question from the line of Ja y Mundra from ICICI Securities Limited. Please go ahead.
Jay Mundra : Yes, hi, sir. A couple of questions from my side. First is, sir, on MSME, right? So you have given a new disclosure. I mean, you have said that there is some group remapping, etc ., and the re is a write off also. So what is the li ke-to-like growth? I mean, it is not very clear, so I just thought

of asking that Rs. 13,464 crores as of April 1st, '24. Is that comparable to Rs, 12,686 crores or there is some adjustment here? And what is this ot hers because what is this others in MSME, SME?
P. R. Seshadri: Thanks , Jay. So MSME was, we ended the year marginally up. That was the number that we had in the internal MIS structures. It was a marginal growth. And then subsequently we did this cleanup of our balance sheet. As I said, we technically wrote off Rs. 900 crores of assets. A majority of those were actually MSME assets. So in the number that you're seeing in this page, which is page #15 of the deck, it is Rs. 12,686 crores . You have to add 546. And then there was some other remapping exercises which were carried out. The exact number is not with me. We will come back to you with it if at an appropriate point in time. So net -net, the message is that we were flat. We didn't grow very much. But as y ou know, Jay, we have been shrinking this book for a long while. It's slowly, you know, reducing. That has stopped. The quantum of business that we booked in Q4 was the highest that we have ever done in the history of the Bank , or history in the near, in the recent past, that is. And

we think that we are on the right path to get
MSME growth going very considerably. Now the d ivision between MSME and others is, the others refers to a book which is a low -yield bills book. So this is LC -backed bills that we dis count for our customers, which historically is driven more by yield than by anything else. So if you offer a good price you can get more business. If you offer a higher price, you lose business. So we took the decision that we wanted a particular rate below which we are not doing this business during the last quarter. And as a consequence Rs. 700 crores of those assets were lost. They were all paid back. The existing assets paid back because our risk is on the other Bank , which is the LC issuing Bank . And what you see in MSME, SME, that is core MSME, SME lending, where we have lent money directly to the MSME and SME. And that's what we intend to grow. And the Rs. 546 crores of write -off that you see is pertaining to B-Segment lending . So I trust that that answers your question, Jay.
Jay Mundra : Yes, sir, that does. Secondly, sir, I mean, this quarter, Rs. 900 crores write -off, that seems a bit accelerated. Of course, the PCR is same and hence the credit cost uptick that one can see is, I mean, that is because of the accelerated write -off. But is there any policy change? Is there anything that has caused this write -off because nine-month write -off was lesser and even on a full year basis, I think FY25 write -off is muc h higher versus F Y24 even though the slippages have come down. So, view on , is there anything to read into write -off, higher write -off and maybe the slippages, how do you see the slippages?
P. R. Seshadri: There's nothing to read into this. Effectively, we started our balance sheet clean -up a little later

than other banks. And as a consequence, the gross NPA for us was higher . Now we have done a very good job of recoveries as you can see. But having said that, we still had elevated GNPA numbers while our pr ovision coverage ratios kept rising. So over the last few years, we have been providing as much as is possible and taking those numbers up. We had come to a point where we had very high provision coverage ratios and also very high GNPA. So we took the call during this quarter to actually write off a bunch of assets that are 100% provided and ensure at

the same time that the provision coverage ratio without technical write off is maintained at the level at which it was earlier. So in order to do all of this, we had to provide a little bit more on the assets that we currently have, which is on the NPA book. And also, so the outcome was optically that the PCR hadn't moved, but the GNPA came off very sharply. These assets were anyway 100 % provided. So there is n o policy change. Going forward, we intend to continue to do technical write -offs and bring the GNPA numbers down as and when the opportunity provides itself.

Jay Mundra : Right, thank you. And sir, on gold loan, I think last call there was an RBI draft circ ular and there was a bit of uncertainty in case, I mean, we may have to tweak the product, etc. This quarter gold loan growth is more or less stable. How do you see this gold loan book ? Is there anything that you need to change or this is more or less sett led? How should the gold loan growth be similar to loan growth? How should one look at it?

P. R. Seshadri: The RBI's most recent draft circular has a few points that we need clarity on and we have written to RBI and we have sought some changes to the new draft circular. If the draft circular were to be implemented in total as is, it would require pretty substantial change at our end. We are hopeful that that would not be the case and we are awaiting feedback from RBI. So it' s a little early in the day for us to comment. As of this moment, business as usual conti

nues. But if RBI's
circular were to come in with pronouncements which are in line with what was there in the September, I mean the more recent circular there, there wi ll be some changes that we will need to make. So we are waiting and watching.

Jay Mundra : Okay, sure. And last question, you have added this branch value added, same store sales . So I was just thinking that, the number shows that Q4 is now 50 % higher than last year, whereas the NII growth is flat. And other income, if I remove this Rs. 170 crores of TW recovery, that also looks flat tish. So while you have mentioned that this number is of course, include some estimates and some assumption. But the revenue number does not seem to imply this 50 % growth. So what is the and There is no material addition in the branches also. So how to look at this 50 % growth in the SVA ? And w here would it be reflecting when will it start getting reflected? Thank you.

P. R. Seshadri: Thanks. I think that's a very good question because that's a slide that we added this time around. We were trying to figure out how to measure our branches and understand how much value addition is happening in the branch. The wa y we see it, the branch does two things. The branch does service to existing customers and the branch sells new products to existing and new customers. The sale of new products could also include things like getting new balances into current accounts, exis ting current accounts or new balances into existing savings accounts. So we started looking at… we looked at our historical trends. Every time we sold a new product, how did it behave? So we went back our decision , science people looked at the historical t rends and tried to compute for a particular type of product , what is the net present value that it generates, historically ? And we set in place a system that every time the branch sold a new product, we computed the expected value over its lifetime and the net present value thereof. And

over time, we kept changing... correcting it because we have been doing this now for the last five quarters. Every quarter, we get some additional information and we are able to correct it and then we recast for the prior quarter using the new knowledge that we got. So, this has helped us to look at how much value addition is happening in the branch, in rupees terms actually. This represents the net pres ent value of future cash flows.

So, if I give a housing loan today, we are going to get a set of interest receivables, which are over a period of time, the net present value of that is x today. This will drip through our P&L. So it won't come through our P&L all at once. These are future cash flows that will come piece by pie ce by piece over time. So as the SVA increases , the cash flows that are coming through to us will increase as well. So this is the only way to do it in a Bank . In any other retail kind of chain, it's much easier to measure this because all you have to do i s tally up the sales for every day and say how much are you selling in a particular branch or store. It's the same thing but in the Bank , we have to do all of this, complex jugglery because all our assets have a time dimension to it as well. So to answer y our question as to why our net interest income did not grow, while the sales have grown, the answer is that we have had a very significant impact on our NIM during this period. Cost of funds went up, the yield on these assets came off and even though our a ssets grew by 10%, NIM s shrank to such an extent that the total net interest income did not move. So we have to grow faster than this. We have to add different types of assets which we sell at the branch. So I need significantly more throughput to come thr ough the branches. And over a period of time, that will start impacting the total revenue. And that's the.

.. at least
that's the logic that we have been using. I trust that answers your question.
Jay Mundra : Yes, surely. Thanks a lot. So I mean, if I were to conclude, then you're saying that these are the value added, which, of course, you have approximated given that any product that you sell has an inherent duration. The quarterly number captures only the current quarter, whereas this SVA captures a lifet ime maybe value addition broadly. If that is the…?
P. R. Seshadri: That's right. Absolutely right.
Jay Mundra : Thank you so much, sir.
P. R. Seshadri: Thank you.
Moderator: Thank you. We take the next question from the line of Aryan Jain from Lotus Wealth . Please go ahead.
Aryan Jain: Thanks for the opportunity. So I've noticed that there's a change in other income from about Rs. 40 C r to Rs. 120 C r, mainly on the treasury side. So is this a one -off sort of gain or do you see some growth coming from the treasury segment going forward ?

P. R. Seshadri: We have had a good year in treasury last year. We had a reasonable year in the prior year as well. Between last year and the prior year, the difference is perhaps 15 % incremental revenue for this year. So far as the way we see it, the treasury revenues are reasonably... at least for the last two years have been pretty consistent. Now, treasury by definition need not always be consistent because the opportunities will come and go. In the case of other income this time around, there are... there is the impact of recoveries which is also flowing through into the other income line . I am looking at the other line. Below treasury and FOREX , there is a line called other with an asterisk, right? And that has a n impact of recovery, which is flowing through into the interest line, which needs to be taken into account. Does that answer your question or is it still…?
Aryan Jain: Definitely. I just had another question. Currently, I think we are standing at a return on asset percentage of 1.05. So do you think that we can maintain it till 2027? Or what's the guidance about the return on assets by 2027?
P. R. Seshadri: The interest rate movement in the environment is adverse at this point in time. So our cost of money is not redu cing as fast as some of our assets are repri cing. So I think the entire industry is facing some amount of NIM pressure. So we think that that's a temporary phenomenon, which will be felt during the first half of this year. We think that we have enough leve rs to ensure that our return on assets is in the neighborhood of 1%. We have reasonable expectation of it being in this 1% range in the near term. And then as the environment changes, and the interest rate cycle moves in the opposite direction and as our retail book grows, retail and MSME book grows, we expect gaps to widen. So we expect that to become one, go closer to 1.15, 1.2, but that's in the future. Right now, this year, we have reasonable expectation of being at the 1% ballpark.
Moderator : Thank you. We take the next question from the line of Aditya from Securities Investment Management. Please go ahead.
Aditya: Hi sir, thanks for the opportunity. Sir, if you could just share the mix of floating and fixed rate loans for us ?
P. R. Seshadri: Can you repeat the question because we have some background noise from your end.
Aditya: Sir if you could share the mix of f ixed rate loans and floating rate loans?
P. R. Seshadri: Fixed rate is roughly a third. The floating rate loans are roughly about 4 0%. Then the rest are all other references like MCLR, different other product categories . So credit card can probably be classified as fixed rate. So we have got a fixed rate, which is roughly a third excluding credit card. We have a credit card, which is roughly about 2% of our balance sheet, I guess, which is fixed rate. So if you add that, you get to

35 % fixed rate. Then you have MCLR. Then you have
the old base rate. All of that put together comes to closer to about 8%-10% and then you have foreign currency loans, etc. So the variable rate loan here is roughly 40% of the book is variable.

Aditya: So now for the corporate loans, how does the interest reset happen since they are shorter term loans?
P. R. Seshadri: We can't hear you very well because we are hearing somebody else in the background. We are just asking the operator to put the other people on mute while we speak. So, to answer your question, the shorter duration loans, we basically set the rate at every d isbursal. So, if money has been given out for 30 days, when it gets repaid after 30 days, at that point in time there is an agreement between us and the borrower as to what the new rate will be. And that is the new rate at which the disbursal happens. I have some further color on the earlier question that you asked. Our fixed rate book is about 44% of the total. And the variable rate book is about 42% of the total. So that's it and then we have MCLR and other such things, other asset categories, dollar linked, etc. which make up the rest.
Moderator: Thank you. Next question is from the line of Vidhi Shah from C . R. Kothari & Sons. Please go ahead.
Vidhi Shah: Hello sir, can I get a guidance on your revenue from deposit for the next year? I mean the deposit growth ?
P. R. Seshadri: We will be north of 10 % ma'am deposit growth, total deposits, CASA as well as time deposits. We think we will be north of 10 % next year.
Vidhi Shah: Okay, and for loans?
P. R. Seshadri: We will be north of 12%, madam.
Vidhi Shah: Thank you .
Moderator: Thank you. Next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.
Himanshu Upadhyay: Hi. Any idea on how has been the attrition rate at lower level employees? Because last quarter, we said that we ha ve lost front facing employees and which had led to lesser tooth -to-tail ratio. So any numbers there? What are we doing to retain the customer -facing level? And how that program which we launched of branch -level incentives and branch internally deciding the incentives or not the incentives, but the bonus pool, e tc., impacting the morale and all these things, some thoughts on the branch level and how are you doing or changing the branch activities will be helpful ? Thank you.
P. R. Seshadri: So with respect to the branch level incentivization program that continues, more than last quarter, a fair chunk of our branches qualified. The mechanism of sharing the reward amongst the workers within the branch continues, which means that they all sit together and dec ide how they

should do this without there being the incidence of rank, etc. At least that is in theory, that's what we want. All of that is continuing. We are seeing gradual change in the mindset of our staff. Gradual increase in sales -related activities being performed by people within the system. All of that is happening. With respect to attrition, our attrition rate is actually quite low. Our total attrition is 4% or 5% a year. Our total headcount has dropped a fair bit since we deliberately have not hi red incremental people for a variety of reasons. That's because we wanted to get a fix on our revenue expense ratio. We wanted to ensure that our costs were appropriate for the business that we are doing. So during the year, we have managed to reduce our c osts or rather ensure that it did not increase very much. So I am sure we are an outlier when you were to compare us with other banks. There's been very tight cost control. So while we lost some front - facing people, our tooth -to-tail ratio has been kept at the level it was. So it hasn't improved. We are at 78 :22. By pull

ing people out of the back offices and putting them into the front customer - facing offices. The fact that more people quit who are customer -facing continues to be the fact, but we are able t o replace them from internal resources. And, our aim is to continuously work on training the front office staff so that they can do a better job at whatever it is that they're intending to d o and equipping them with the appropriate tools so that they can d ischarge those duties better. So I think over the last year, we have made a lot of progress on all of that. You can see that we have launched 12 new systems and processes. We are quite happy with the progress on that front. Now we have got to get our peopl e to use it and get a significant increased throughput. we believe that once the throughput starts increasing very significantly our attrition in the front end will also reduce. So that's what we are working at.
Himanshu Upadhyay: And one small thing, branch level distribution between the bonuses. So are we seeing a ratio of, let's say, the lowest getting x and the best are getting around 3x or 4x in the same branch? So is the big variation what we were aiming for? Is it really happening? Anything you h ave seen, can you just elaborate on that? You are still seeing equ al distribution?
P. R. Seshadri: I will come back to you and answer that question. We will do the analysis and come back. I haven't been looking at it at that level of detail, but I will com e back to you. We will respond to you and give you that information. We don't want to hazard a guess , so we will leave that with us. We will come back to you.

Himanshu Upadhyay: Okay. Thank you so much.
P. R. Seshadri: Thank you.
Moderator: Thank you. We take the last question from the line of Rajiv Agarwal, an Individual Investor. Please go ahead.
Rajiv Agarwal: Thank you for the opportunity. My question is regarding this Slide #35, GNPA movement. In this quarter, you have shown of 1,1 48 crore. So this is quite a large amount. So I want to know the breakup between upgrade and recovery in this?

P. R. Seshadri: You are looking at the number , deductions of Rs. 1,148 crores, is that what you are talking about?
Rajiv Agarwal: Yes.
P. R. Seshadri: Out of that Rs. 1,148 crores, sir, Rs. 900 crores is write -off. And the rest is recovery, sir.
Rajiv Agarwal: Okay.
Rajiv Agarwal: And this recovery you are showing in other income, right? So in other income I think you mentioned Rs. 177 crores.
P. R. Seshadri: That's right.
Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.
P. R. Seshadri: Thank you very much to everybody who joined the call. We really appreciate it. Thank you to ICICI Securities for organizing it. Just as a closing comment, we are very pleased with the results that we had during Q4. We think that we put in place a lot of effort, has gone into bui ld new systems, new processes, so that the transformation of this organization from what it was in the past to a more modern, customer -focused entity can take place. So we believe that we are at a juncture where all the investments that we have made over t he last 18 months or so should begin to start paying off, and we are looking forward for a bright future ahead. Thank you.
Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

DEPT: SECRETARIAL

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Dear Madam /Sir(s),

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/54/2025- 26 dated July 14, 2025 and SEC/ST.EX.STT/66/2025- 26 dated July 18, 2025, we wish to inform you that, the transcript of the c onference call for Investors and Analysts held on Friday, July 18, 2025 at 16:00 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.com under the following link:

https://www.southindianbank .com/userfiles/file/sib_q1 -fy25-26_earnings_call _transcript.pdf

This is for your information and appropriate dissemination .

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above
REF. No. : SEC/ST.EX.STT/68 /2025 -26
DATE : July 23, 2025

"South Indian Bank Q1 FY26 Earnings Conference Call "

July 18 , 2025

MANAGEMENT : MR. P R SESHADRI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , SOUTH INDIAN BANK
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR , SOUTH

INDIAN BANK
MR. ANTO GEORGE T – CHIEF OPERATING OFFICER ,
SOUTH INDIAN BANK
MR. JIMMY MATTHEW – GENERAL MANAGER &
COMPANY SECRETARY , SOUTH INDIAN BANK
MR. VINOD FRANCIS – GENERAL MANAGER & CHIEF
FINANCIAL OFFICER , SOUTH INDIAN BANK
MODERATOR : MR. JAI MUNDHRA – ICICI SECURITIES LIMITED

South Indian Bank
July 18 , 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the South Indian Bank Q1 FY26 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone p hone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ja i Mundhra from ICICI Securities. Thank you and over to you, sir.
Jai Mundhra : Hi, thanks , Vishaka , thank you everyone , good evening, everyone and thanks for joining this call of Q1 FY26 Post-Results Call of South Indian Bank.
We have from the Bank Senior Management including Mr. P R Seshadri – M.D. & CEO, Mr. Dolphy Jose – Executive Director, Mr. Anto George T – Chief Operating Officer , Mr. Jimmy Matthew – GM and Company Secretary and Mr. Vinod Francis – GM and CFO.
I would hand over to "M.D. & CEO sir for his Opening Comments " after which we will open the floor for "Q&A." Thank you and over to you, sir.
P R Seshadri: Thank you very much, Jai, and thank you for organizing this call. We really appreciate it. Good evening to everybody on the Call and thank you very much for joining us for the South Indian Bank Limited Q1 FY'26 Earnings Conference Call.
As Jai has said, by a number of my colleagues, Mr. Dolphy Jose, Mr. Anto George, Mr. Vinod Francis, Mr. Jimmy Mathew, and a few other senior executives.
Let me start with "Key Highlights of the Financial Performance for this Quarter." The Bank declared a net profit of INR322 crores for the quarter, registering a growth of 10% compared to INR294 crores in Q1 FY'25. Operating profit for the quarter increased by 32% from INR508 crores to INR672 crores.
Total deposits grew by 9% to INR 112,922 cror es from INR 103,532 crores. Gross advances grew by 8% to INR89,198 crores from INR82,580 crores.
Total business for the Bank has crossed the landmark figure of INR 2 lakh crores and grew by 9% to INR2,02,119 crores .
South Indian Bank
July 18 , 2025

Our average advances for the quarter gre w 6%. Return on assets for the quarter was 1.01% with a return on equity at 12.41%.
Capital adequacy of the Bank as at the end of the quarter was 19.48% and Tier 1 ratio was 18.25%.
CASA grew very nicely at 9% year -on-year to INR36,204 crores against INR33 ,195 crores during the prior period.
Provision coverage ratio, excluding write -off, improved by 988 basis points YoY to reach 78.93% and provision coverage ratio, including write -off, improved to 88.82%.
Overall gross NPA reduced by 135 basis points from 4 .5% to 3.15% . Net NPA reduced by 76 basis points from 1.44% to 0.68%. Slippage for the quarter was 20 basis points in the amount of INR182 crores.
Let me now take you through "Other Operating and Financial Parameters of the Bank":
We continue to grow our gold loan business, which now stands at INR17,446 crores with an average LTV of 61.99%. This includes certain portfolios that we have acquired and an average ticket of about INR1.9 lakhs. Gold loan book grew 7% year -on-year.
Home Loan and Auto Loan also gr ew quite considerably on a YoY basis ; they grew 66% for home loans and 27% for Auto Loan s. The home loan book as at the end of June 2025 is INR8,518 crores and Auto Loan s is INR2,217 crores. The personal loan book is at INR 2,132 crores.
During this period , we have built out several new systems, rolled out several new processes that enabled us to become more efficient in dealing with our customers and eased the method of doing business and enabled us to acquire customers more easily. So , we are confident th at we will continue to maintain momentum in disbursements and collections in the coming quarters to achieve

the results
that we desire.

With this, I woul d like to open the floor for questions. Thank you.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Jai Chauhan from Trinetra Asset Managers. Please go ahead.
Jai Chauhan : Good afternoon. Thank you for the opportunity. So, my first question is on the cost /revenue ba lance. The Bank has done a commendable job of maintaining flat operating expenses largely through 5% reduction of headcount over the last year. In the Q3 call, you mentioned that you are closing in on the limit of how much you could cut without impacting b usiness given that most attrition has been in customer -facing roles. How do you plan to balance the need for continued cost discipline with the

imperative to invest in sales capacity to drive the high -yield loan growth that is central to Bank strategy?
P R Seshadri: It is a very good question. So, we have been reasonably disciplined in managing our costs, for which I want to thank all my colleagues here on this call as well. And a significant portion of the cost management has come in by way of not replacin g employee attrition. We have reached I think the limit to how far this can be taken. So , we are now contemplating renewed hiring, but we are confident that renewed hiring will also come with revenue growth for the simple reason that over the last 18, 20 m onths , we have been able to build out new systems and new processes with which we have made the process of acquiring and onboarding new customers. Given all of that, we think that as we go in and hire more people, especially on the customer -facing areas, w e can get them productive relatively quickly and therefore contribute to earnings more aggressively. In addition, the format of hiring that we've chosen is going to be slightly different from what we would normally do where the economics are a little bit m ore favorable. And that is the route that we are taking as of this moment. And we are hoping that, that will work out and that will give us the incremental headcount that is necessary for us to actually get business growth as well.
Jai Chauhan : Understood, understood, sir. A very well explained answer. I ha ve just one more question where management has rolled out an impressive suite of digital lending, right, like the GST Power and LAP Power over the past year. However, the core MSME loan book ha s remained largely flat ending Q1 at INR9,700 crores similar to the start of last year. Could you elaborate like on the early stage adoption and utilization rates of the new platforms at the branch level , and more strategically, what are the key learnings on this technology -led approach?
P R Seshadri: So, the adoption has been reasonably good. So, our first product that we put out was GST Power. All our people in all our branches are reasonably conversant with it. And subsequent products came in later. So, LAP Power came in September of 2024, and the rest of the products came in, in quick succession thereafter. So, the good news is that finding adoption is not that much of a problem. We have early adopters and then we have slightly later adopters. But by and large, that's not proving to be the challenge that we initially thought. What we are trying to do is to try and get increased traction on products that we have already adopted and have got to know reasonably well. And that is where we are having conversat ions with our people. Our branch productivity, the way we measure it using our branch value addition metrics , are trending very nicely. So, against Q4 of FY'24, our branch productivity has increased 60%, the way we measure it. So, if that trend line were t o continue and improve further, I think you will see that the complexion of the portfolio that we have also changes with time. The point that you made saying that look, our MSME portfolio has n

ot really budged in
spite of all of this , is a valid one. But I think as we go through this quarter, you will see that change happening. Let me just hand this over to Dolphy, my colleague, to weigh in on whether the MSME business how it is going to do going forward since he is spending a lot of time looking at it.

Dolphy Jose : Thank you, Sesh. I am glad you brought that up. So, this is the first quarter in several years where both our MBG and ECG, which is MBG stands for our MSME business group and ECG stands for our emerging corporate portfolio. This has turned decisively positive in net accretion in this first quarter. And the earlier drag was largely due to legacy cleanup and cautious stance has now transitio ned into a positive cadence mode. So , we are seeing a strong demand on the MSME across the mid -market, and emerging corporate segment. And very visibly seen in our portfolio mix today in overall advances, a lot of growth has come from outside of the state of Kerala. And in fact, our overall advances, 30% is still in the state of Kerala and 70% comes from outside of Ker ala. And for MSME specifically, around 61% of our overall MSME business comes from outside of Kerala. The turnaround is not just numeric. It is a strategic shift towards reshaping our overall portfolio mix. We are proceeding towards improving the blended yield then keeping our customer franchise e in the coming quarters. So , on the MSME segment per s ay, what would we do differently? If you ask us to have better representation outside of the state of Kerala is what we did consciously. And we split our MSME businesses into two zones, particularly, one, which is South where we have a separate regional person who manages South, excluding Kerala, specifically, which covers four states other than Kerala , and we have rest of India as another zone. So, this has given us in getting the right person behind the wheel and the right talent behind the wheel is what we did, and that is working perfectly well. And the positive cadence is actually coming from those geographies where we thought we should repres ent ourselves better. So, that is clearly visible. We have also done further for overall advances, we have typically two verticals which we run today, which is one is the branch channel, which is our largest franchisee, which takes to the customer all our products except the corporate banking as a product. And we have non -branch channels. So, we have these two verticals primarily which looked at our advances business separately and evaluated and measured separately. In our non - branch, we have two channels, of course, the DSA and the alternative channel and the digital acquisition channel, which also includes co -lending and co -origination and partnerships . This is how we are proceeding and the accretion is very visible. And it is a positive pulse, and we intend to move forward in this direction .

Jai Chauhan: Got it. Thank you so much for a very detailed answer. That is it from my side.

Moderator: The next question is from the line of Sneha Gan atra from Star Union. Please go ahe ad.

Sneha Ganatra: Hello! A couple of questions, sir, from my side. First is recently the new additional steps which have been taken on the MSME and on the corporate side, how do you expect that the overall operating leverage to benefit? And how do you see that the overall ROA numbers to be kicking in? And what are the strategy on the branch expansion side? And one more question is how do you see the overall credit cost and any internal target you have set to maintain your PCR ?

P R Seshadri: I could not hear you very well. So, I will try and answer the portions that I heard reasona bly well. So, the last question was how do I see credit costs? So, credit costs were elevated for this quarter as we continue to build incremental pro

visions to bring down our overall net NPA numbers, whereas the net slippage, the slippage for us for the q uarter came in very low at only 20 basis points. So, on an annualized basis, our slippage was 80 basis points. Our sequentially previous quarter, slippage was 24 basis points, so annual ized is 96 basis points. So, we have now consistently been lesser than 100 basis points. We expect in the remaining three quarters to not have to build provisions in the same measure as we have done this quarter and therefore help the P&L appropriately. I mean, therefore, given the fact that our net NPA number is at 68 basis points, which is perfectly respectable, the pressure on us to continue to provide incrementally to what is required under IRAC reduces that much and therefore, credit costs should trend down very considerably as we go forward unless there is an eventuality that we are not able to foresee at this point in time. Now , you were talking about operating leverage. From an operating leverage point of view, this quarter, we again have positive operating leverage ; our revenues grew 13% , expenses were flat and therefo re, pre -provisioning operating profit grew 32%. So , as we go forward, we think that there is going to be some amount of pressure on the expense front as we hire incremental people to bolster our sales forces. But at the same time, we want to front -load it with as much revenue as is possible. So , we continue to think that we will have positive operating leverage as we go through this year. We are reasonably keen on ensuring that we end this year also where the rate of growth of revenue is higher than the rate of growth of expenses . That is an aim that we have. We hope that we are able to achieve it and which in turn will enable us to have reasonable buoyancy at the pre -provisioning operating profit level. We are little challenged from the perspective of NIMs because the interest rate regime has been quite unfavorable. As the e xternal benchmarks have reduced, our cost of money has not moved with sync, and that has not yet fully flown -through our P&L. So, that is a key monitorable . We need to manage that aggressively. And the way we are trying to address that is to see if we can grow our higher -yield books a little bit more aggressively than we were in the past and try and restore this as quickly as is possible. But having said that, in the near -term, those challenges will continue to remain. So, we are cognizant of it, and we will try and manage it the best we can. The first part of your question is not audible. Branch expansion. As of this moment, we are not considering branch expansion. We want to wait for a more appropriate point in time when our revenue expense mix is a little bit more favorable before we start expanding branches. And when we do, our branches will be more in Peninsula r India, Maharashtra, Gujarat, and the National Capital Region . So, at this immediate juncture, we are not looking at any branch expansion. We jus t want to sweat our branches more so that we can get greater throughput from our branches.

Sneha Ganatra: Any number you would like to assign on credit growth as well as deposit growth which we are targeting?

P R Seshadri: We will grow credit at north of 1 2% for this year. Deposit growth will be in accordance with credit growth. What do you think, Dolphy?

Dolphy Jose : Deposit growth has been fabulous so far and I think we will continue that kind of growth cadence for sure. So, I do not think it is an issue. Also , on the deposit side, we should know that we are pretty well poised on the NR segment and around (+30%) of our total deposit base is coming from NR. And that is predominantly SA, that is a low -cost deposit which we have in favor of us. So, we have al so taken a lot of new initiatives to increase this space and continue to pursue the NR deposit base and

that we will see progressive impact on our deposit base in the future.

Sneha Ganatra: Sir, one more question. How do you see the overall return ratios to be moving on for this fiscal as well as the next fiscal? Any target further to maintain an RoA?

P R Seshadri: The return on assets for this fiscal, I mean, as long as the net slippages remain in these levels, we should be able to accommodate, and we sho uld be able to return RoAs in the 100 basis points neighborhood. As the environment becomes a little bit more benign, i.e., our cost of funding reduces in line with the repo rate cuts that have taken place, the return on assets will improve in the coming year. We think that at that point in time, we will be closer to about 115 basis points or thereabouts.

Sneha Ganatra: Okay. Got it. Thank you so much and all the best.

P R Seshadri: Thank you.

Moderator: The next question is from the line of Darshan Deora f rom Indvest Group. Please go ahead.

Darshan Deora : Yes. Thank you for the opportunity. So, is it fair to say that in this quarter, we had some treasury income, which we sort of have used to increase our PCR ?

P R Seshadri: Okay. It is a right assertion. We had INR256 crores worth of treasury income during the quarter. And we use that opportunity to ensure that whatever incremental provisioning we needed to make so that our books are completely clean is done.

Darshan Deora : Got it. Got it. So, that is a good initiative. The second question I had was, generally speaking, as M.D. sir has outlined very eloquently on earlier occasions the need for moving more into high yielding loan products. But obviously, this quarter, when you just look at the numbers, I mean, I know you spoke about looking at it qualitatively. But just quantitatively, the MSME numbers do not look very encouraging. And just as investors, I guess, we would like to see more progress there. But the second question I had was regarding the home loans . We seem to have been getting reasonable growth on the home loan side. Is this a mix of prime and affordable or is it primarily prime home loans, which I would assume would be fairly finely priced, right?

Dolphy Jose : This is prime home loans. I mean we have just about started with the affordable home loan vertical, and that is probably about a couple of months old, and we are still yet to see some good accretion there. But to answer your question, yes, this is dominantly primary.

Darshan Deora : And what w ould be the average yield on these home loans?

Dolphy Jose : So, our average yield is at around 8.3% to 8.5%. It ranges there. That is a ballpark average. But I can say around 8.4%, you can keep it as our average.

Darshan Deora : So, just in terms of our overall strategy of moving towards more high yielding products, I mean, I know the home loans bring with it some other benefits, right, like probably more savings balances by the customers. But I just want to know how that sort of fits into our overall goa l of increasing the overall yields on the book.

Dolphy Jose : Yes. Good question. I would like to answer this specifically because this is what is the current challenge, not in a very isolated way that it is specific or unique to our Bank . But this is the i ssue, I think across fraternity, I think this is what the issue is. Now you are right about home loan. I mean, sometimes we do have debates on the economics of home loan, how is it going to really shape up unless I can double down or triple down the volume s, which will actually give me the NII effect. So, having said that, I would like to correct you here . It is not higher yield, but better yield business is what we want to get into because the underlin e is that we do not want to compromise quality for sure. So, better yielding is where we want to progressively move forward, and that would be primarily the MSME LAP, and we are looking at

gold loan pretty seriously to scale it up. And these are primarily secured and in fac t, gold is 100% liquid collateral secured and all of that. And post complete clarity from the regulator side on the policy and for gold loans, I think we are very much geared up to scale it to the next level. So, gold loan, LAP and , MSME retail , we have done a lot of progress in the sense we have backed it up with product with processes for the MSME retail segment. And I think we are doing very positive progress there. So, I think that is what our primary focus is going to be, and which will hel p us to reshape our portfolio mix.

P R Seshadri: To answer, some of this is not entirely visible largely because our MSME book has two components. One is the high yield bi t and the other is a low yield business, which is largely LC -backed bills.

Darshan Deora : Your voice is breaking up. I am not able to hear you clearly. Can you just repeat?

P R Seshadri: Our MSME business has two components. One is the high yield component, which is where we do the ODCC and other such facilities and the other is an LC -backed bill component. So, where we are discounting bills drawn on other institutions , that has very low capital charge, but it has very tight spreads. So, where you are seeing declining balances is on the LC -backed bill side, whereas in the core areas that where we want growth, we have had reasonable growth in the first quarter, which is a change from the past. In the past, this portfolio, we were struggling to get growth. So, we have got in the areas that we do want growth, we have g ot it in the first quarter, and we are reasonably confident that it will continue as we go into Q2 and Q3. We do have large chunks of our portfolio, which are low yield, but low risk. So , as our marketing capabilities and sales capabilities and our process ing capabilities improve, we have to cycle out of these low risk, low yield businesses into higher yield, but manageable risk businesses. And that is when the NIMs will start growing. It is unfortunate that the repo reduction has happened when it did becau se structurally, as we get into this quarter and the following quarter, that is when we would have been able to see some amount of movement in that direction. But unfortunately, all of that is going to now get a little impacted by the changes in the benchm arks and the issues arising there from. So, I trust that answers your question.

Darshan Deora : Yes, yes, it does. Thank you for that explanation. I really appreciate it.

Moderator: The next question is from the line of Mr. Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora : Good afternoon, sir. Thanks for the opportunity. Sir, firstly, I just wanted to understand what is the outstanding AFS reserve ?

Vinod Francis : It is close to around INR8 crores.

Rohan Mandora : Okay. Second, in this quarter, we have seen healthy growth on the current deposits. I just want to understand what changed in this quarter. And how sticky will this be? And secondly, on the term deposits also, we have seen a good sequential growth of 3%, 3.5%, plus we did some CDs I think. So, in a quarter where we knew that the deposit rates are going down, was there any specific thought process behind raising the deposits more in this quarter than waiting for maybe one or two months and then going aggressive on deposit growth? Because when we are onboarding retail deposits, the cost gets locked in for almost 15 to 18 months .

P R Seshadri: So, our peak rates are offered at 12 months and 7 days. We do not offer peak rates at the longer end of the curve. Deposits, when you have a customer franchise, and we are priced lower than our larger peers. So, till this morning, we were priced 10 basis points lower than our larger peer in the same geography. And only this morning, our larger peer has reduced its pricing

on deposits to our level.

So, consistently over the last quarter, we were priced between 10 and 15 basis points lower than competition and yet our time deposits grew. That is because we have a decent liability franchise. We have some kind of relationship with our customers, and they do not mind placing money with us even if it is at a lower rate than some of the larger institutions in our neighborhood. So, the thing is it is not possible to turn these things on and off at will. You have a relationship; you have to maintain those relationships. When those deposits become available, you cannot deny those deposits. You can only price those deposits appropriately. So, liquidity in the environment improves . We reduced our rates quite early. You can see that our cost of borrowing has been coming off quite nicely. In spite of

that, deposits came in . I think there was some amount of management action to say, hey, let us focus on this a little bit because in the prior year, we had problem s of availability, and therefore, we did not want to be in a situation where deposit growth becomes a limiting factor on portfolio growth. So, consequently, we are where we are. There is no particular reason why we have raised this. On the current account and savings account side, we have a very good mix of retail customers, TASC customers and government customers. And some of the customers that we have has cyclicality in their business, and they tend to have current account and s avings account growth that comes in, in Q1 and Q2, which was particularly visible during this year. And the fact that rates in the environment had come off as well also helps in current accounts , savings account growth because alternate methods of deployin g the money become a little less attractive. So, all of this comes together to give us the outcomes that we got during the last quarter.

Rohan Mandora : Sure, sir. And sir, on the corporate book, the rating profile has tilted towards AAA, while we are trying to onboard customers which are higher yielding to have NIM expansion, but the share of AAA is going up. So, what is the strategy there or thought proc ess there?

P R Seshadri: See, on the corporate side, we are not going down the chain very aggressively nor are we enhancing tenors. On the corporate side, we have a double disadvantage in some senses. We are very rating sensitive in the sense that we prior itize higher ratings over lower ratings. So, we have a very large chunk of our book, either AAA or AA. And also, we prioritize shorter duration. So, a very vast part of this book has very low duration, which is why the total disbursals are very high. So, those give us flexibility, and we are not tied in for a long duration loan with most of these corporates. But having said, it has the flip side of having significantly lower NIMs. The idea was that as our ability to originate MSME and retail increases, at t hat point in time, it gives us the flexibility to dial down the corporate. Unfortunately, we have not got the level of growth that we wanted, but the situation is becoming more and more encouraging as we speak. And we think that this temporary disadvantage that we have , will turn into an advantage as we go forward. I mean that is the strategic intent in any case.

Rohan Mandora : And sir, lastly, of the 100 bps of repo that has happened on a portfolio basis, blended impact, how much would we have already passed on and how much do we expect to pass in 2Q?

P R Seshadri: We passed on the entire 100 basis points.

Rohan Mandora : Okay. So, 100 basis points has been passed on T+1?

P R Seshadri: Yes, T+1.

Rohan Mandora: Sure. Thanks.

Moderator: The next question is from the line of Subhanshi Rathi from Anand Rathi. Please go ahead.

Subhanshi Rathi : Hello, sir. My question would be what is the write -off pool for th

is quarter and income from this pool during the quarter?

P R Seshadri: Sorry, Subhanshi, can you repeat that? We could not hear you very well.

Subhanshi Rathi : Sir, could you please share the write -off pool amount and the income that is recovered from this in this quarter?

P R Seshadri: Amount written off since recovered for the quarter was INR37 crores. So, that is the income that has come from amounts written off which has since been recovered.

Subhanshi Rathi : Yes. And what was the amount written off?

Vinod Francis : It is around INR2,4 00 crores.

P R Seshadri: It is INR2,400 crores approximately.

Subhanshi Rathi: Okay, sir. Thank you.

Moderator: The next question is from the line of Himanshu Upadhyay from Bugle Rock. Please go ahead.

Himanshu Upadhyay : Yes, hi, good afternoon. My first question was on this branch value addition you gave region wise, okay, and consolidated, okay? If we look at the branch value addition that region wise, over a period of time, there is a big difference which is coming between Kerala and outside Kerala, oka y? And what would be the reason for that? And secondly, we have a large chunk of branches in Kerala. So, how do our overall numbers improve over a period of time if we do not see much of value addition happening at Kerala branches , some thoughts will be helpful on that ?

P R Seshadri: I think you asked a very valid question. The reasons for lower value addition are man ifold in the sense that our branches in Kerala tend to be staffed more and therefore, the base level of value additio n tends to be higher to start with. The opportunity space in Kerala is different from the opportunity space in other markets. So, some of the things that we can do in other markets where large manufacturing entities exist, let us say, you are operating in Tamil Nadu in Coimbatore, for instance, there are large number of MSME units , that luxury does not exist in many parts of Kerala. And therefore, there is this difference that comes about. So, we are very c onscious of this. We are tracking it. We are trying to get these numbers to go up. The drivers of productivity are also different. In Kerala, we get a lot of value addition on the liability side, whereas outside of Kerala, we get more value addition from the asset side of the book and both of which are cri tical for us. So, we are very

conscious. We are trying to get all our regions to perform the way at the highest level. So, I trust that answers your question.

Himanshu Upadhyay : And secondly, though what we are seeing is a mean, okay? How fat are the tails, okay? So, regions or branches which are doing extremely well and are much higher and some branches which may be near than 100 only. So, are we seeing fat tails or you see the clustering is happening with the mean only because if the tails are fat -?

P R Seshadri: It is a very good question. I will be honest with you. We can give you those details since all of it is available. I suspect that we will have a reasonable tail, fat tail. But I do not have the answer readily off hand. But it is a good question. We can come back to you subsequently with an answer as to what the distribution of these numbers are, the mean of which is on the chart.

Himanshu Upadhyay : And do you think that improvement would remain on the South and rest of India only majorly over next two years also or the trend will remain similar, or you think Kerala will start having in next one or two years means the improvement what we were expecting?

P R Seshadri: I am confident that we will get value addition growth both in Kerala and other parts of India. The rates of growth may be different, but I think the trend lines will be that definitely value addition will grow. And since we now have the tools to measure it, and the incentive structures to support grow th, we are reasonably confident that these numbers w

ill show an upward movement as we go forward.

Himanshu Upadhyay : And we had this branch level incentive scheme , okay, where all employees get benefit based on how they try to distribute. So, this branch value addition, is it happening or it is getting implemented in terms of incentives also or are we continuing with that scheme and branch value addition as a key driver or how is it?

P R Seshadri: Yes, it is implemented, and incentives are bein g paid on a quarterly basis. That is helping us grow productivity. As you can see, I mean, it is a pretty significant growth, 60% growth. Quarter 1 is actually normally a historically weak quarter for us , because there are lots of transfers and all of that happen, and it tends to be a difficult quarter. In spite of all of this, for the first time, we have had a bunch of positive outcomes in the first quarter and which we see as a very, very positive situation. So, the incentives at the branch level are being paid out quarterly.

Moderator: The next question is from the line of Mr. Rajagopal Ramanathan from Sada kush Please go ahead.

R Ramanathan : So, you did indicate that aspirationally, say, in the next three years or so, you would want the Bank to have an RoA of around 1.5%, but please help me understand how is this going to be possible given that your loans liquidate so quickly? And I would presume that your operating cost intensity is also slightly on the higher side because of this very reaso n. You need to keep originating a large quantum

and almost an equal quantum gets repaid in the same year. So, if operational cost leverage does not come through, it seems to be a very, very difficult task. Would you not agree?

P R Seshadri: A very good que stion. And there is a germ of truth in it, but it is not fully accurate. The simple reason that operational costs for us are largely human being costs. These are fixed costs. And the huge churn that you see is on the corporate book. So, the number of trans actions are not that many . The value of each ticket is very large. And therefore, they are not very cost accretive. Now the question that you ask, saying that, hey, if you are going to lend money, very short duration, how are you going to get higher yields ? That is a very, very valid question. And for which the answer is that we have to cycle out of this and get into MSME, retail, affordable housing, personal loans, the higher yield products have to come. We have to get growth there so that we can then star t slowly getting out of these corporate loans that we have, the shorter duration corporate loans. And that is why we are saying that over a period of time, if we are able to do that, automatically, spreads will improve and consequently, your return on asse ts will improve because the cost will be by and large where we are at this point in time. There may be some marginal increase, but we have proven that we can manage these costs reasonably well over the last two years and therefore, we should be able to get the outcomes that are favorable. So, the transaction intensity in this product in the corporate side is not really that much of a problem nor is it costing us a great deal of money. I mean, obviously, it will be cheaper if we had fewer transactions, but i t is not structurally impairing us very dramatically. The bigger problem that we have is the slow pace of growth of our retail and MSME books. The higher yielding books are not growing as fast as we would like. And the moment that growth starts coming thro ugh, which is what we think will happen over a three -year period, that is when you will see significant accretion to our P&L and that in turn will drive an increased return on assets. Does that kind of answer your question?

R Ramanathan : It does. But I jus t have one final follow -up. What is constraining this growth? Because see, we have to all accept that

as a system, we are no longer going back to the 20%, 25% loan growth days, okay?
So, those days are gone. You had banks which had 50%, 60% CD ratios. Now you also are operating at closer to around 78%, 80% CD ratios. So, clearly, we are not going to go back to those days where we are going to be hitting much, much higher levels of loan growth. What constraints are currently there for you? And realistically, with this cost base, do you think this aspiration is achievable in a three -year period or maybe you think you might have to probably elongate this goal to maybe say a five, seven -year period?

P R Seshadri: Good question again. See, I mean, whatever be the systemic growth rate, since we are a small player, our growth rate does not need to be tied to the systemic growth rate. The reason why we were not able to grow was internal to us, not externa l to us. And one of the issues that we had was that our systems and processes were non -industry standard, and we were doing things differently, and we were not doing them efficiently. So, over the last 12, 15 months , we have been building out new

systems, new journeys, new processes, if not industry standard at least as good as the best in the industry. I mean we are trying to get them to a place where we do things as well as anybody else who is really competent in this subject can do it. And that, to my mi nd, gives us a right to actually grow reasonably well. And since we have the raw powder, which is basically we have the liquidity, we have the distribution, we have eight million customers , we have the right to actually, I think, grow a little bit perhaps faster than what other people are growing. And our historical impediments having been taken away, we think that we should be able to grow significantly faster than before, even though the entire environment may not be growing that fast. So, you are right, “Can we do it in three years ?” “Will it take longer than three years ? I do not know. I mean, on an excel spreadsheet, it is very easy to put numbers and come up with outcomes. As of this moment, we still think that a three - year time horizon, we should be able to change the internal dynamics of this place in such a manner that we can get closer to 1.5 than we are. If not to 1.5, we get to 1.4 or thereabouts over a three -year time horizon. We have demonstrated that we are abl e to manage costs. So, over the last 18 months or so, we have not really grown our costs very much. We have demonstrated that we can get revenue growth. Even if under certain circumstances, the revenue growth is predicated on treasury revenues and so on an d so forth. So, I think there is a reasonable amount of mindfulness in all of this. I think we have a shot at doing what we have set out to do. It is not easy by any means, but nor is it completely far-fetched. So, I do not know if that answers your questi on.

R Ramanathan : It does to a degree. I would just want to wish you all the best, but I still believe it is a tough ask. It is a tough ask, and I hope you and your entire team manage to come as close as possible to your aspirational goal.

P R Seshadri: Thank you very much.

Moderator: The next question is from the line of Mr. Jai Mundhra. Please go ahead.

Jai Mundhra : Sir, just continuing from the previous question , so I wanted to check, we have introduced new products, especially on MSME side, right? I c an see there are a lot of digitally enabled product s and I think system s, processes, most of that, we have seen a decent, let us say, traction or timeline , but the MSME growth is still flattish. What is your sense , I mean, when can we get, let us say, a 10% growth in MSME , is it like going to take within this fiscal year, can we get a 10% growth in MSME or that may take even longer duration? And is there anything specific which is hindering this?

Dolphy Jose : Hi Jai, Dolphy here. In co

ntinuation to the pr evious question also, it was a very elaborate question where highlighting that the way ahead of course it is going to be challenging. And I think it is going to be challenging for the entire fraternity. Let us agree to that. When we categorize banks, we ha ve small banks, we have mid -sized banks and we have large banks. And all the three differentiated bankers has very specific strategic challenges. For a small Bank , there is XYZ as a challenge and a mid-size and a larger. Where I would rather answer this question is in a comparable standard, where

do I stand and what is my advantage and how am I going to leverage? So, if I broadly say this is the scope where I am going to answer this question, I think I stand in a good st ead. So, being a small Bank , we have certain agility, being a small Bank with a good liability base, we have that as an advantage. If I want to go today, if anything is tabled on an overly price -managed situation, I can. I would no t let go competition for pricing today because I have that advantage of low-cost liability. Whether I will publish my rates tomorrow and say that, yes, I am going to be at this price. And if I have the cloud to pull and demand volume, I may not. But I will not let go any competiti on on pricing on the table. So, that is what my advantage is and I will continue to be a Bank which want to consistently deliver double -digit numbers. And I would concur with our growth guidance and probably try and do it better. And I think we are well -poised in a situation like this in compared to the other three differentiated Bank sizes which I mentioned. Your question is on the MSME side . We are looking at close to about 15% to 18% growth in the MSME side, not 10%. And I think we are in a good st ead. Our denominators are not that challenging . So, we can easily look at those double -digit numbers and go for it. We have just started getting good a ccretion on the outside of Kerala geographies, and we have got our arms and legs there and we are really worki ng hard on the distribution side. We have also come out with certain hub -and-spoke model, specifically catering to the geographies like Karnataka, Maharashtra, Gujarat, and Tamil Nadu, where we have a hub -and-spoke model on both distribution as well as on credit underwriting. So, this is to basically go deep down and start acquiring on a field underwriting kind of a model where we can deep dive, get into deeper buying and we intend to cater to the MSME segment far more . I would not say aggressively, but bet ter and deeper. So, that is the idea. And the opportunity is at large. And as I told you, to get a double -digit 15% to 18% kind of growth consistently is not a large task for us.

Jai Mundhra : Sure. And lastly, sir, if you can give the breakup of your loan book by benchmark, I mean, how much is repo, T -bill, and MCLR? And a related question, how do you see NIM progressing? We have seen 18 basis point s decline and you have already let us say, passed on whatever on a T+1 basis. When should the NIM bottom? I me an, does it bottom in Q2, or do you think there is a chance that it may still go down in Q3 or Q2 should be bottom and Q3 should be moving upward?

P R Seshadri: So, let me try and answer that. Roughly 40% of our book is either repo or T -bill, okay? The res t is either MCLR or fixed rate, almost 50% is fixed rate. So, our structure of our balance sheet is not that adverse. I think the bottoming out of all of this is going to happen in Q2 unless RBI changes repo rate again in Q2 at some point in time, in which case, the impact of that will carry through into Q3. If there is no change, the repricing on the existing deposit book will take place. And actually, the spread will start widening again in Q3 going forward unless there is market disruption. Now in Q1, there was complete madness on pricing, especiall

y for large corporate transactions. I think there was a dearth of assets, and the banks were scrambling and offering pricing on assets, which were significantly lower than the prior quarter. Now assuming th at kind of scenario does not continue and assuming some kind of normality returns to the pricing sphere in the marketplace, I think Q3 onwards, you should see some normalization of all of this happening. So, I do not know . Jai, does that answer your questi on or is there anything else you woul d like to -?

Jai Mundhra : No, no. That answers, yes. Thanks a lot, sir.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

P R Seshadri: We woul d like to thank all of you for being here with us today. We really appreciate the time that you have spent with us and the penetrating questions that you have asked us. I think we have had a decent quarter during the first quarter . It was difficult, but the outcomes have been reasonably good for us. We are hoping that the actions that we have taken thus far will help the Bank grow from strength to strength as we go forward. Thank you, ladies and gentlemen, for being with us.

Moderator: Thank you, lad ies and gentlemen. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2025

DEPT: SECRETARIAL

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Dear Madam/Sir

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/116/2025- 26 dated October 13, 2025 and SEC/ST .EX.STT/126/2025-26 dated October 17, 2025, we wish to inform you that, the transcript of the conference call for Investors and Analysts held on Friday, October 17, 2025 at 16:00 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.com under the following link:

https://www.southindianbank.com/userfiles/file/sib_q2- fy25-26_earnings_call_transcript.pdf
This is for your information and appropriate dissemination.

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above

"South Indian Bank Q2 FY '26 Earnings Conference Call"

October 17 , 2025

MANAGEMENT : MR. P R SESHADRI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , SOUTH INDIAN BANK
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR , SOUTH
INDIAN BANK
MR. ANTO GEORGE T – CHIEF OPERATING OFFICER ,
SOUTH INDIAN BANK
MR. VINOD FRANCIS – CHIEF FINANCIAL OFFICER ,
SOUTH INDIAN BANK
MR. JIMMY MATTHEW – COMPANY SECRETARY ,
SOUTH INDIAN BANK
MODERATOR : MR. HARDIK SHAH – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the South Indian Bank Q2 FY '26 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Shah from ICICI Securities. Thank you and over to you, sir.

Hardik Shah : Thank you. Hello , everyone. Good afternoon. On behalf of ICICI Securities, we welcome you all to Q2 FY '26 Post Earnings Conference Call of South Indian Bank.

From the management side, we have with us MD and CEO - Mr. P R Seshadri ; Executive Director - Mr. Dolphy J ose; Mr. Anto George T – COO ; Mr. Vinod Francis – CFO ; Mr. Jimmy Matthew - Company Secretary, and other senior officials from the Bank .

I now hand the conference over to the Management for their opening remarks, post which we will have a Q&A session. Over to you, sir.

P R Seshadri : Thank you, Hardik. Good evening to all of you and thank you for joining us for the South Indian Bank Limited Q2 FY '26 Earnings Conference Call. I am joined by a host of my colleagues as Mr. Shah just pointed out.

Let me start with the key highlights of financial performance for September quarter FY '26:

The Bank declared a net profit of Rs. 351 crores for the quarter, registering a growth of 8% compared to Rs. 325 crores in Q2 FY '25. Total deposits grew by 10% to Rs. 115,635 crores from Rs. 105,451 crores on a Y-o-Y basis. Retail term deposits grew by 11% during the same period. Savings accounts balances grew by 10% and current account balances grew by 11% in the same period. Advances grew by 9% to Rs. 92,286 crores from Rs. 84,714 crores on a Y-o-Y basis. One must take into account the fact that in March of this year, at the end of the last financial year, we had taken a technical write -off of Rs. 900 crores. So, if you were to correct for that accounting policy, our gross advances for the year grew at approximately 10%. The total business for the Bank grew by 9% to Rs. 207,921 crores.

Operating profit for the quarter came in at Rs. 535 crores. Net interest margin for the quarter stood at 2.8%. The Bank declared a return on assets of 1.02% and a return on equity of 13.11% for the September quarter. The capital adequacy ratio of the Bank is at 17.70% and the Tier-1 ratio stands at 16.79% as at September 30, 2025. CASA balances , as I mentioned earlier, increased by 10% year-on-year to Rs. 36,841 crores versus Rs. 33,531 crores at the end of the prior period. Provision coverage ratio, exclud ing write -off, improved by 1,005 basis points to

reach 81.29% and provision coverage ratio, including write -off, improved to 90.25% during Q2 FY '26. Overall, gross NPA reduced by 147 basis points from 4.40% to 2.93% on a year -on-year basis. Net NPA reduced by 75 basis points from 1.31% to 56 basis points.

Let me now take you through the other financial and operational performance highlights of the Bank :

We continue to grow our gold loan business, which now stands at Rs. 18,845 crores with an average ticket size of approximately Rs. 2.71 lakhs. The gold loan book grew by 13% year -on-year. Home loan and auto loan, another area of focus for us in the retail segment , on a Y-o-Y basis, they were able to achieve 25% growth in home loans and 25% growth in auto loans. The home loan book, as at the end of September 2025, stood at Rs. 8,849 crores and the auto loan book, as at the end of September 2025 at Rs. 2,288 crores. As at the end of September 2025, our personal loan book had crossed Rs. 2,209 crores.

This quarter, we have been seeing good traction in the disbursal of MSME and retail loans, including gold. On a Y-o-Y basis, our MSME business disbursement has grown by 127% when you compare the disbursals for Q2 of this year versus Q2 of the prior year. Retail loans grew by 51% against the same time last year. As a consequence, corporate advances as a percentage of total advances reduced from 42% in the preceding quarter to 40% now.
With this, we open the floor for questions. Thank you.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session . The f irst question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.
Digant Haria : Hi. Thank you for giving me the opportunity. Sir, the question is that if I look at our net interest income line, we are back to where we were say around 10 quarters back, like Rs. 808 crores and if this looks like the other income line item that has done the heavy lifting over these 8 -10 quarters? I would just want to understand from you if it was just this environment which led to this particular thing in the net interest line item that our yield dropped and competitio n was very high or was it some thing else? And just that in the other income line item, is it recurring? That 1.6% of our assets, is it something that can continue or there has been windfall gains over the last 8 -10 quarters in this line item? That is my question, sir.
P R Seshadri : Thank you very much. I think that is a very good question. So, I will try and answer the first question first. The net interest income, the yield compression that you saw was an account of the reduction of the external benchmark rates. So, when RBI announced the 100 basis points cut during the first half of this year that is what is going through now. In our case, we ensured full transmission as quickly as possible so that we got to the bottom of the rate cycle. So, what you see now at 2.8% is, to the best of our knowledge, the lowest ebb in terms of interest rates from a NIM perspective. We expect NIMs to recover going forward. And the reason why we are a

little bit more impacted than other banks is that we had a large corporate book and within that corporate book, we had a large preponderance of very short duration assets, and you can see that in the quantum of disbursal. So, every quarter we tell you how much we disbursed, and we put out numbers like Rs. 50,000 crores of disbursals. A large component of that is actually disbursals to corporate accounts for 15 days, 30 days, and so on and so forth. So, when the repo rates came down and there was significant infusion of liquidity into the system, the short end of the assets actually yield dropped significantly more than in the longer end. And since we were overexposed to that, we got impacted than some of the other institutions who have actually come out with their results so far. But during this quarter, there have been some secular changes in the construct of our balance sheet. If you have our investor deck, you can see that the quantum of loans that we are doing both on retail and MSME has risen very dramat ically. And the total proportion of loans to corporate, after a very long time, has actually started moving in the direction in which we wanted it to move, i.e., to reduce. So, our view is that this 2.8% that you see right now is perhaps the trough that we have hit. And going forward, you would see NIMS expanding. So, that is our view. With respect to other income, I will turn this question over to our CFO to answer as to how predictable and repeatable this is. Our own view is that if you were to look at ou r income over the last 10 quarters , we ha ve been in the same ballpark number for a long ish period of time. And at a preliminary level, we don't see very significant issues with that. So, over to Vinod, our CFO, to give

you more detailed answer.
Vinod Francis : Yes, good evening. So, a question on other income. We have been almost in the same line for the few quarters a nd the extra income that has one -off item that has come in this line item is hardly Rs. 50 crores. So, except that everything are repetitive in nature, which we can expect in the coming quarters also to flow.
Digant Haria : Sir, you mean it is more transaction, it is more recurring in nature, and it is linked to the balance sheet growth or the services that we provide. Is that and then we don't go back to what we were 2 years back, say just 1.2% of the assets, we don't go back to those numbers again, right? Is that the right assumption?
Vinod Francis : Yes, we don't expect to go back to that level. Because hereafter the incomes what we see is a repetitive of nature and we expect that to come in the coming quarters also.
Digant Haria : Right. S ir, thank you and t hat is a very detailed explanation. Sir, last one small question I had is on the gold loans. We have almost reached Rs. 18,800 crores , but sir, if you just see the gold loan market in general, it is exploding like most of the NBFCs are doing something like 7 %-8% growth Q-o-Q, not Y-o-Y, quarter -on-quarter . So, I just wanted to know that do we still do it more like an agri loan product or we are genuinely putting our energies in it as a retail /SME product where we can probably charge more also, but we have to be a little faster in giving and disbursing the loans and stuff?

P R Seshadri : So, I think we are as good as the best of them in terms of having a process that is simple, quick and easy when it comes to customers. We also have an income generation product, which is allowed by the new RBI regulations. So, we have got every product that the street actually needs. I think we have some leeway on the pricing side, which we have yet to sort of explore. So, from our point of view, there are limits to how much the gold can actually grow. As a Bank , we will start hitting prudenti al caps at some point. At this point in time, we are about 20.4% of our balance sheet is gold. So, it is not possible for us to expand this indefinitely. So, I think we have had approximately Rs. 1,800 crores or so of very significant growth. We think that will continue in the near term. But at some point in time, we will have to pull back and see what is appropriate for a balance sheet of this size. And we think that there is an upside on the yield, which we hope to capture during this quarter.

Digant Haria : All right. Thank you so much and all the best. Thank you very much for the detailed answer.

Moderator : Thank you. Next question is from the line of Aditya Mundra from My temple Capital. Please go ahead.

Aditya Mundra : Yes, hello. Are you able to hear me?

P R Seshadri : Yes, go ahead.

Aditya Mundra : Thank you for the opportunity. Just a couple of questions. Sir, typically our yield on funds, not advances, the fund is about 7.13%. So, just to clarify, what do you take in the denominator on the fund side exactly ?

P R Seshadri : Let me turn this over to Vinod Francis – our CFO, to answer that in detail.

Vinod Francis : In the case of cost of funds, we have the denominator with the treasury operations also. So, that also comes as a denominator .

Aditya Mundra : Sorry, sir. If you could just come again, I missed it .

Vinod Francis : Yes, with regard to the yield on funds, the current number is 7.13%, but the denominator includes treasury operations also , the funds raised and lent by the treasury. So, that yield generated by the treasury also flows into that yield on funds.

Aditya Mundra : So, along with your other liabilities, which is deposits and Tier-2, it is the treasury liabilities, treasury funds raised also, which is included in that ?

P R Seshadri : Yes.

Aditya Mundra : And both on the cost of funds side and yield on funds side ?

Vinod Francis : Correct.

Aditya Mundra : And sir, like you mentioned, the NIM will bottom out most likely with 2.8%, but RBI recently was a bit more dovish in the sense that we can expect some more cuts. So, in spite of that, do we expect the NIM to stabilize here and then maybe improve?

P R Seshadri : I mean, if RBI were to cut. Yes, go ahead.

Aditya Mundra : And just for the credit cost guidance also, because I think it is probably the lowest credit cost that, so what is the annual credit cost stabilized number that we should take? So, these two were the last questions ?

P R Seshadri : So, with respect to NIM, it is hard for us to , if the reference rates were to drop again, there will be an impact on our NIMs. We are not insulated from that. And the way we have been sort of passing on these expeditiously , I suspect we are one of the banks where the entire transmission has already taken place. And from our point of view, it is better for us to have visibility on the underlying rates, as opposed to trying to stagger them over a period of time. So, therefore, as long as there i s no incremental change to the reference rate, we are reasonably confident that our NIMs will only recover from here. However, if there is a change to the reference rate, the impact will be reasonably quick on our P&L. So, there is this possibility. If RBI ‘s tone is dovish , there could be an impact. We have a few levers, which we will try to mitigate that best we can. But having said that, those impacts will flow through. With respect to cost of NPA or cost of credit, our slippage ratio was at 21 basis poin ts. Last quarter, it was at 20 basis points. Our portfolio continues to be in good shape. Our SMA2 is at about 30 basis points. SMA1 +2 is well shy of 100 basis points. So, we are reasonably confident that the cost of credit in the near term will be very contained and at levels that you are seeing at this point in time. I don't think there is much challenge on that. Let me just turn this over to our CFO for a more detailed answer.

Vinod Francis : So, nothing to add more on to what our MD has mentioned. So, we expect that in the coming quarters, the yields to pick up and the NIM to get improved in the coming quarters.

Moderator : Thank you. Next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

M B Mahesh : Greetings. Two questions. One is on the ECL guidelines. If you could just kind of give us some numbers around what is the current stock of SMA 0, 1 and 2? And how are you looking at the

guidelines from a P&L impact ?
P R Seshadri : So, thanks , Mahesh. Our SMA 1 and 2 is about 80 basis points. 0 is in the neighborhood of about 200 basis points. I don't have the exact number with me. It is in ballpark in that level. So, we are moving from about 40 basis points to 500 basis points. The Stage-II assets is defined as 30 plus and above, right? Not SMA 0, 30 plus and above. So, basically, I have to keep 460 basis points

incremental provisions over less than 100 basis points of assets. So, we don't think that i s going to be a very big challenge, Mahesh.
M B Mahesh : Sorry, you have to go through some numbers. I think it is a bit fast for me. What is 500 basis points and 460 basis points?
P R Seshadri : So, basically, the , ECL norms that RBI has just said, basically says that in Stage-II assets, where we were keeping 40 basis points of reserves, that has to move to 500 basis points. So, there is a 460 basis point delta there . So, that delta will get applied to a portfolio which is a little less than 100 basis points. Ballpark is SMA 1 and 2 for us. So, if you apply this 460 basis points on 80 basis points, it is not a very material number in terms of impacting future credit costs at t

his
point in time. And we are holding on an experienced loss basis, we are holding fairly conservative leve ls of provisions because our provision coverage ratio, including write -off, is north of 90% and excluding write -off is north of 80%. So, we don't see very significant impact, frankly, at this point in time, because the portfolio is very tightly controlled.
M B Mahesh : Perfect. And this is your second question. On the cost of funds, how do you see cost of funds kind of moving over the, or cost of deposits moving in the next 2 quarters, I think, if you have visibility of that?
P R Seshadri : See, we are seeing some tightening of liquidity. I think there is, but as of this moment, we are not seeing any movement by anybody to increase cost of deposits. We have been trying to manage our cost of money as tightly as possible. We don't, I think, as of this moment, our going in hypothesis is that it is going to be benign and there will not be very significant change going forward. As of this moment, our peak rate at which we borrow is the same as some of the large PSUs in this country. So, we are priced lower than some of our larger private sector peers in terms of peak fixed deposit rate offerings. So, if the rates were to drop and our competitors were to drop a little bit, we will also follow and drop our rates even more. But right now, we think that status quo will be preserved. If anything, there may be a bias towards, unless there is a very significant infusion of liquidity, there may be a situation where it gets a little tighter. But right now, our operating principle is that it won't c hange and this is the status quo that will preserve.
M B Mahesh : And last question, in terms of near -term visibility, any worry on stress on any of the portfolios, or it looks absolutely clea n?
P R Seshadri : As of this moment, we have no indication of stress anywhere. Of course, we have a large corporate book. And with corporate books, you have event risk. So, those will come from left field, but we are not seeing anything material at this point in time.
M B Mahesh : Thank you.
P R Seshadri : Thank you.

Moderator: Thank you. Next question is from the line of Rohan Mandora from Equir us Securities. Please go ahead.
Rohan Mandora : So, sir, during the quarter, we can see there is a sharp increase in both borrowings and investments. So, is it a call that we are taking on the interest rate, or is there something else we should read into this?
P R Seshadri : See, we have grown our HTM book a little bit, because we do believe that we are hoping that interest rates are headed in our favor in the future, which at some level is a call on the interest rate. We have also grown our AFS book. So, if there is a change in the interest rate regime, it will give us a trading opportunity subsequently. And we have used some of this excess SLR to actually borrow and do some treasury -related lending activities so that we can make a little bit of arbitrage on the treasury side. So, if you were to try and summarize it in one line, perhaps, there is a view that interest rates would soften going forward.
Rohan Mandora : Sure. So, that is one. Second is, sir, on Tier-1 capital, what is the AFS reserve movement for the quarter? How much did it decline?
Vinod Francis : So, as on 30th September, AFS reserve is in debit balance of Rs. 10 crores.
Rohan Mandora : Debit of Rs. 10 crores. And so, the Tier-1 capital in absolute terms has declined too. So, is it largely due to AFS reserve?
Vinod Francis : It is not because of AFS reserve. Ye s, it is not because of AFS reserve. That is a point only

comes around, say, 25 basis point s. But the thing is that we have increased our investment book over there. Al most Rs. 7,000 crores have increased. And in the case of the bond repayment, we have repaid the Tier-2 bonds also. So, both

has contributed for the entire capital adequacy ratio to come down a few basis point s.

P R Seshadri : No, but what has moved? Investment fluctuation reserve has moved from Tier-1 into Tier-2.

Vinod Francis : Yes. We have created the investment fluctuation reserve. So, that has moved the Tier-1 capital by a few basis points ..

Rohan Mandora : Got it. And lastly on the slippage guidance for the full year, FY ' 26?

P R Seshadri : So, slippage as of this moment has been , our total slippage for the first 2 quarters is about Rs. 380 crores or so. We think that full year , if all goes well, we will be double of where we are at this point in time. So, we don't see any material degradation from the level that we are currently at.

Rohan Mandora : Got it. Thank you.

Moderator : Thank you. Next questio n is from the line of Utkarsh Ke dia from BFS. Please go ahead.

Utkarsh Kedia : Yes. Sir, thank you so much for the opportunity. Actually, most of my questions are already answered. I just want to ask about the auto loans. So, as the government are reducing the GST rate, so I actually want to know can the GST rate cuts and easing of regulatory can increase the demand for auto loans?

P R Seshadri : That is our going in hypothesis that it will increase sales of automobiles and it will have a very positive impact on the lower end of the auto market, which was struggling in terms of the ticket sizes, the lower, the smaller cars. Unfortunately, in the month of September, for which we have full data, which is all completely disclosed, for the early part of September, the market was frozen because people were waiting for the GST cuts to take effect. And therefore, we had only 10 days within wh ich, transactions happened. Our view is that momentum continues to remain really strong. And we have visibility to only what we can see through our flows and we are seeing very strong flows on the auto loan side. And if that is an indicator of how strong the market is outside, I would think that the auto sales will be very buoyant as we go into Diwali and post Diwali and so on and so forth.

Moderator : Thank you. Next question is from the line of Rakesh Kumar from Valentis Advisors. Please go ahead.

Rakesh Kumar : Yes. Thank you, sir. So, firstly , pertaining to slide number 13 , there has been improvement, like , across the states of the geographies that branch value added that we see. But if we try to see the corresponding number in the P&L, either margin or the core fee number, the percentage to asset or maybe the PPOP as a percentage to asset. So, what could be the corresponding number of this branch value addition?

P R Seshadri : It is very hard to actually put a corresponding number to this. The way this thing works is, it is the expected net present value of future cash flows that the branch is generating. A nd the branches only sell retail and MSME loans along with depository products. So , the way to find a correlation between Slide #13 and what is really happening on the ground is to see the volumes that are being generated, that is the closest correspondence. So, you will see that MSME business volumes have increased by 127% year-on-year. You see retail has grown by 50 % plus year-on-year because the sales value added is based on expected future revenue, and it is represented by the expected NPV of future cash flow streams, it will not have 1:1 correlation with the P&L that you can see. So, I trust that answers your question.

Rakesh Kumar : Yes, correct. So, the second question I have is pertaining to the corporate book, which is close to 40% of our book. And same was the scenario in March ‘24 also. So, credit mix was kind of the same, at least pertaining to the corporate book. Now, looking at the maturity, average maturity cycle and the disbursement run rate, like, corporate book is virtually on EBLR. And rates are obv

iously have declined and might decline more, as you also have the same view, based

on the investment book structure that we have made. But there is no corresponding change that we have seen on the liability side from March ‘24 to now. So, basically, asset side is taking the hit of declining interest rate. But on the liability side, we do not have such characteristics and because of which margin is looking lower. So, there are two things , either we fund our corporate book, that kind of liability, or we reduce the corporate book itself, so that we do not take that much hit. So, your opinion , sir?

P R Seshadri : No, I think it is a very good question that you ask. Let me, before I get to answer that question, with respect to that sales value added, if you want to really understand what we do, you can reach out to our team, and we can have our decision science folks to walk you through it. So, that you fully, it is a little hard to give a 2-minute exposition on what we are trying to do. With respect to your second question, I think it is a very good question. Structurally, it may not be bad for us to actually not chase balance sheet growth and chase reassignment o r assets from one side to another. So, because it may actually give you outcomes, which are a little bit better than doing what we are currently doing. It is possible. It is technically feasible. But having said that, we are operating in a comp etitive market. We are, size has its advantages, and consequently, were we to do something, it will have a long -term impact on us. As an institution, we have been a growth - challenged institution for a long period of time. And only now , we are participating in the marketpla ce in a manner which is similar to that of other institutions. So, strategically, from our point of view, we would like to do that. Now, to address some of your questions , we have grown our current account, savings account balances, quite nicely. And our average balances have also grown. We have historically kept our peak interest rates in our book at the shorter end. So, while people are offering high rates in the longer end, we have offered them always at the shorter end. So, our highest rate that we offe r today is a year. And 6 months ago, it used to be a year and 7 days. So, our repricing cycle will hopefully happen faster than some of our competitors. So, right now, as you see, our interest rates move downwards. You are not seeing the full benefit that we are likely to get. And we are hopeful that as the year matures, you will see a faster rundown in our cost of money as compared to some of our competitors. And one of the things that we are very conscious of is where we price our deposits. So, to the best of my knowledge, our highest rate at which we borrow money today is the same as that at which the State Bank of India is borrowing money. And there is very little that you can do other than to manage your liability book in that manner. So, we have kept the duration low, we have kept the rates low. The repricing cycle has to work its way through. And there isn't a very large market on the retail side for shorter duration money. So, from a retail customer, I cannot take 90 -day money or 75 -day money, it is not an offer. From bulk depositors, I can take 30 -day money, 45 -day money, and so on and so forth. So, we have tried to s tay away from the bulks, and we ha ve tried to build a franchise. And the cost of building a franchise is this. Dolphy, you want to say something?

Dolphy Jose : Hi, Rakesh . Dolphy , here. On the advances book, and on the balance sheet mix, that is the effort from our end to get the right mix. So, cycling out the low -yielding, high -quality corporate and replacing it with retail and MSME, so if you see in this quarter's results, we have actually grown the balance sheet, but it is not really lopsided. The g

rowth is across. So, we have the MSME and

the retail, both the vertical firing. We had a mutual growth for almost three quarters earlier. And we started picking up from the last 2 quarters, typically. And we are kind of on course with the guidance where we want to grow this MSME specifically in the 15% -18% kind of a growth trajectory. If you see, there has been an 11% growth, Y-o-Y, on corporate. But if you see, YTD growth is only 3%. So, it is a conscious effort, sustaining corporate growth, but really significantly trying to grow the retail and MSME. So, eventually, as MD mentioned that, yes, we were a growth challenge d Bank , so we need to grow. And from here on, the mix is going to change.

Rakesh Kumar : Understood, sir. Thank you. Thank you so much, sir.

Moderator : Thank you. Next question is from the line of Ja i Mund hra from IC ICI Securities. Please go ahead.

Jai Mundhra : Yes, hi. Good evening, sir. Sir, on MSME, right, so this quarter, we have now finally seen book growing versus it was consolidating. So, this is up 6% Q-o-Q and adjusted for write -off would be up 8%. How should we see this momentum as we end FY '26 and maybe for FY '27? What would be the growth aspiration for MSME loan books?

P R Seshadri : Jai, why don't I ask Dolphy to answer that question? Our ambition is to grow this as quickly as possible. We hav e to, as o ver the next 18 months or so, we woul d like to bring the corporate book down to about third of our total book. And that slack has to be taken by retail and MSME. So, for that to happen, MSME bookings have to grow from here. So, let me request Dolphy to give you an answer to this.

Dolphy Jose : Yes, hi, Ja i. I mentioned earlier, so the challenge of a 40% share of our overall advance book coming from corporate and to cycle it out is going to take a while. So, what we thought is that corporate as a vertical itself has to cycle out a good portion of the corporate book and get to a stable book with a higher or better yielding book. So, we have lately started, have actually identified this as a mid -corporate group which we intend to start opening up quickly. And that should probably give u s some balance in the corporate book itself. And as far as MSME retail is concerned, specifically MSME, we have two bifurcation in the MSME book. We have MBG

which is up to Rs. 2 crores and ECG which is abo ve Rs. 2 crores -Rs. 35 crores. This we have got to the green label after good 10 quarters earlier. And now we are positively growing in the green label. And we are as of now around 9% growth in either of the segments, which we are sure that we will end the year about 17-18%.
P R Seshadri : Jai, our aim is to grow this at (20%+) a year, boss, if not more. That is the ambition.
Dolphy Jose : And keep the corporate book stable with a better yielding book. That is the way we go forward from here.

Jai Mundhra : Sure, sir. And sir, MSME, sir, what would be the blended yield, roughly, maybe the range or maybe the blended yield for MSME book?
P R Seshadri : So, the MSME book, which is originated by our branches, where we have large, almost everything is originated by our own folks. There the yield as of now is 10%. The yield that on the bigger ticket stuff, which is, it is a little lower, it will be north of 9. So, there is 100 basis points difference between the two of them. So, that is where the two are.
Jai Mundhra : And last question, sir, on OPEX, right, so far, we have been calibrated headcounts, and maybe the branches also. How should one look at OPEX a nd when do you start seeing any addition, if any, on headcount and branches? And what would be the result on the OPEX?
P R Seshadri : Thanks, Ja i. So, far, 8 quarter or 9 quarter period, we have kept our basically expenses relatively flat. And that has been achieve

d by taking headcount down. And our strategy was that we will continue to do this till we start seeing productivity in our branches. So, till we fix our systems, till we fix our process, get reasonable products out on the street, we will continue to manage this in a very defensive manner. Now, we are seeing green shoots. At this point in time, we will be looking at some hiring on the sales side. And also some hiring to build some other capabilities. So, for instance, we do not currently have a wealth management proposition. So, hiring to set all of those up, but we will do that in a calibrated and moderated basis. This first half year, we have positive operating leverage. We don't have it for this quarter, but on a consolidated basis for the half year, we do have it. Our aim is to try and keep delivering positive operating leverage year-on-year. Last year, we did hav e it. This year, we hope to deliver that. So, the message, Ja i, is that there will be more hiring. I think the reduction in our staffing levels have reached the bottom. Targeted hiring of sales staff, maybe some amount of hiring to set up new products, all of that will take place, but in a very calibrated manner. So, I don't want to give you a number of how much we will hire, etc. But safe to tell you that probably our headcount will not continue to drop the way it has dropped now. And there will be some increase in expenses, which means that we must, at the same time, build mechanisms to deliver revenue grow th as well, which is something that we are working on.
Jai Mundhra : Sure. Thank you, sir. All the very best.
P R Seshadri : Thank you.
Moderator : Thank you. Next question is from the line of Sandeep Joshi from Unifi Capital. Please go ahead.
Sandeep Joshi : Yes, hi. Thanks for the opportunity. Some of my question has been answered. I had a couple of questions. So, firstly, on the retail segment, so the retail segment has grown at a healthy rate of about 22%, about Rs. 26,000 crores now. My question is, is the growth over the last year, is it entirely organic in nature, or do we have some sort of portfolio buyouts?

P R Seshadri : It is largely organic. We do have portfolio buyouts there. But the total quantum of portfolio buyout, I don't have it really at hand with me. We can give you the numbers, perhaps subsequently. Let me see if we can get the numbers now. So, if you have another question, perhaps you can ask that while we try and get to the total number of portfolio buyout.
Sandeep Joshi : Yes, I am just trying to understand, is the intent over years is to grow 20% on organic basis for the retail segment as well? Because in the MSME segment, the intent is to grow by around 20%. Is the intent similar in the retail segment organically?
P R Seshadri : So, on a YTD basis, the growth in the portfolio buyout is approximately Rs. 670 crores.. So, it is across all products. I was saying that the intent in both retail and MSME is to grow (+20%). Those are aggressive goals that we are setting ourselves. We are hoping that we can achieve them. And it does require a fair amount of work, both in our process and systems and technology, etc., which we are really working on. So, we will be growing this balance sheet aggressively, both retail and MSME.
Sandeep Joshi : Got it. My second question is, we wanted to build some digital assets through maybe a partnership model, for example, co -lending also, where there will be no involvement of branch employees. So, where are we in that journey?

P R Seshadri : So, that is progressing really well. So, we do have a series of such co -lending arrangements. So, approximately Rs. 1,500 crores of assets we have at this point in time. We have co -lending arrangements. Our first one was the Amazon Checkout Finance is housed with us. We have housing loan with Godrej Housing Finance. We have gold loans with

F EDFINA and IIFL and
Rupeek. And then we have personal loans with MoneyView and Muthoot FinCorp, who in turn are riding on others. So, these are all live and there are a whol e bunch of them that are in the process of going live. We also have loan against mutual funds, and so on and so forth. So, in our investor deck, page 27, we have listed it. The total balance sheet is north of Rs. 1,500 crores. We hope to end the year at about Rs. 3,000 crores or so, if all goes well. So, that becomes another engine of growth for us. And you were talking about digital assets. These are not the only digital assets we are building. We are also building digital assets with which we can actually engage customers. So, we have an asset called FinCredibles, which is our short video blog asset. And then we have it both in Malayalam and in English. In English, we have more than 100,000 subscriber s, approximately 100,000 subscribers to that asset. So, what we are trying to do is most banks have a website and an app, but we want to create something which enables us to originate customers in the future. So, those digital assets are also continuing to progress reasonably well.
Sandeep Joshi : Thank you for the detailed answer. Just a data keeping question. Is it possible to share the recovery and the upgrade number within the movement of NPA for this quarter and the last quarter?

P R Seshadri : Just give us a minute. We will try and pull that out and give it to you. Recoveries for the quarter were Rs. 352 crores, out of which GNPA reversals were Rs. 234 crores. And the interest o n NPA reverse to income, approximately 60 crores, right? And write -off to the extent of some Rs. 66 crores. So, recovery from write -off of Rs. 66 crores. So, we can give you the exact numbers subsequently in a manner that is consistent with all the policies that are applicable.
Sandeep Joshi : So, I just want to cross -check. So, the Rs. 350 crores is within the movement of NPA, which is recovery and upgrade. That number is Rs. 352 crores for the quarter?
P R Seshadri : Correct. That is true.
Sandeep Joshi : Is it possible to share what was the number for last quarter?
P R Seshadri : Last quarter was in the neighborhood of about Rs. 250 crores. So, the total cumulative number is present in our invested deck at Rs. 606 crores on page 17. Rs. 254 crores was the number for the prior quarter.
Sandeep Joshi : Got it, sir . Thank you.
Moderator : Thank you. Next question is from the line of Vid hi Shah from CRK. Please go ahead.
Vidhi Shah : Hello, sir. Can I know the current book value and also your guidance on NIM and the total deposit?
P R Seshadri : Ma'am, what was the first question? Current book value ?
Vidhi Shah : Yes.
P R Seshadri : Current book value is 40.8, if I am not mistaken , Rs. 40.8. It is there in the invest or deck, ma 'am. You can take a look at it. And what was the othe r, Rs. 40.6, NIM guidance. Ma'am, I hate to give you a number, but our belief is that we are at the bottom of the interest rate cycle. So, we are at the trough and we will rise from here. So, we do have some lev ers which we are employing. But our aim is to get past 3 % the fastest we can. If reference rates were to drop and RBI and its next policy or something comes to that that may pose a little bit of a challenge. But absent that, we think that we are at the bottom of the rate cycle and from here, our NIMs would be strengthening.
Moderator : Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments.
P R Seshadri : Before we close, we would like to wish all of you the very best for Deepavali and thank you very much once again for attending this call. We greatly appreciate it. Thank you very much.

Moderator : Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2026

DEPT: SECRETARIAL

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Dear Madam/Sir,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/161/2025- 26 dated January 12, 2026 and SEC/ST.EX.STT/172/2025- 26 dated January 16, 2026, we wish to inform you that, the transcript of the conference call for Investors and Analysts held on Friday, January 16, 2026 at 16:00 hrs (IST) is attached herewith and made available on the Bank's website at www.southindianbank.bank.in under the following link:

https://www.southindianbank.bank.in/userfiles/file/sib_q3- fy25-26_earnings_call_transcript.pdf
This is for your information and appropriate dissemi nation.
Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above
REF. No. : SEC/ST.EX.STT/ 175 /2025 -26
DATE : January 20, 2026

"South Indian Bank Q3 FY26 Earnings Conference Call "

January 16, 2026

MANAGEMENT : MR. P R SESHADRI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , SOUTH INDIAN BANK
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR , SOUTH

INDIAN BANK
MR. ANTO GEORGE T – CHIEF OPERATING OFFICER ,
SOUTH INDIAN BANK
MR. VINOD FRANCIS – CHIEF FINANCIAL OFFICER ,
SOUTH INDIAN BANK
MR. JIMMY MATTHEW – GENERAL MANAGER &
COMPANY SECRETARY , SOUTH INDIAN BANK
MODERATOR : MR. JAY MUNDRA – ICICI SECURITIES LIMITED .

Moderator: Ladies and Gentlemen, Good Day and Welcome to South Indian Bank Q3 FY26 Earnings Conference Call hosted by ICICI Securities L imited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jay Mundra from ICICI Securities L imited. Thank you and over to you, sir.
Jay Mundra: Yes, hi. Thanks, Ikra. Good afternoon, everyone, and thanks for joining the call.
On behalf of ICICI Securities, we welcome you all to Q3 FY26 Post-Earnings Conference Call of South Indian Bank.
From the management side, we have with us Mr. P R Seshadri – M.D. and CEO, Mr. Dolphy Jos e – Executive Director, Mr. Anto George T. – Chief Operating Officer, Mr. Vinod Francis, – the CFO, Mr. Jimmy Mathew – GM and Company Secretary, and other senior officials.
I will now hand the conference over to Management for their opening remarks, post which we can start the Q&A session. Thank you and over to you, sir.
P R Seshadri: Thank you very much, Jay. Thank you all for joining our call today. I am joined by all the colleagues as Jay has mentioned in the opening remarks in the room with me and on the phone lines elsewhere.
So, once again, thank you very much for joining us today.
Let me start this call by highlighting our performance for the quarter -ended December :
The Bank declared a net profit of Rs.374 crores for the quarter, registering a growth of 9% compared with Rs.342 crores in Q3 FY25.
Total deposits grew by 12% to Rs.118,211 crores from Rs.105,387 crores on a Y oY basis.
Gross advances grew by 11.3% to Rs.96,764 crores from Rs.86,966 crores on a Y oY basis.
During March 2025, the Bank had technically written -off Rs.900 crores. Had it not been done, the YoY growth for this quarter would have been 12.4%.
Total business for the Bank grew by 12% to Rs.214,975 crores.
Pre-provisioning operating profit for the quarter grew by 11% to Rs.585 crores from Rs.529 crores.

Net interest margin for the quarter stood at 2.86%, which is an improvement of six basis points on a sequential basis.
The Bank declared a return on assets of 1. 07% and return on equity of 13.49% for the December quarter.
Capital adequacy ratio for the Bank is at 17.84% and the tier -1 ratio stands at 16.88% as at December 31, 2025.
CASA balances grew by 15% year -on-year to Rs.37,640 crores versus the earlier figure of Rs.32,830 crores.
Provision coverage ratio, excluding write -off, improved by 1,177 basis points Y oY to reach 83.5% and PCR, including write -off, improved to 91.57% during Q3 FY26.
The Bank declared a return on assets of 1.07% and return on equity of 13.49% for the December quarter.
Slippage ratio reduced by 17 basis points from 33 basis points in Q3 FY25 to 16 basis points in Q3 FY26. Overall gross NPA reduced by 163 basis points from 4.3% to 2.67% on a Y oY basis. Net NPA reduced by 80 basis points from 1.25% to 45 basis points on a Y oY basis.
Let me now take you through the "Other Operational and Financial Performance Indicators of the Bank .":
We continue to grow our gold loan business, which now stands at Rs.21,303 crores with an average LTV of approximately 55%. This includes portfolios that may have been acquired by the Bank and an average ticket size of approximately Rs.2.46 lakhs. The gold loan book grew on an annualized basis by 26%.
We continue our focus on MSME and retail. MSME business loans now stand at Rs.14,019 crores, which is a growth of 12% excluding the write -off done during March 2025.
Mortgage loans, which are mainly given to MSME, is mapped in th

e investor deck given to you under
the retail segment. And if this wer e to be remapped to MSME, the Yo Y growth would stand at 14%.
Retail segment continues to grow for us ; it has grown YOY at 23%.
The home loan book as at December 2025 is Rs.8,430 crores.
The auto loan book is Rs.2,393 crores. As at December 2025, our PL loan book stands at Rs.2,217 crores.

This quarter, we also saw good traction on the disbursal of MSME and retail, including gold segments. On a YOY basis, MSME, in this case, including LAP, disbursements grew by 45% year - on-year, and retail loans, including gold disbursements, grew by 60%. These numbers are available in the investor deck for you to view.
We hope to continue to maintain the momentum in disbursements and collections in the coming quarters and to achieve our desired outcomes.
With this, we open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.
Digant Haria: Hi, thank you for the opportunity and congratulations on good performance. The first question is, last quarter and maybe even for the quarter before that, you said that in Q3 is when you may look to revise or keep the guidance of 12% asset growth. You woul d like to give any guidance on the loan growth?
P R Seshadri: We had said that we would do 12%... and actually, we have done 12%. If you were to add back the write -off that we have done in Q3, I mean in March of 2025, which is roughly Rs.900 crores. So, to add it back, we would be 12.43% year -on-year. So, on a like -for-like basis, we have done 12%. And we think that this being the busy season, the Jan -to-March quarter, there is a likelihood that we will participate in the increased demand for loans and have outcome better than that. So, what we said the last time around was that we want to be 12 % and over. So, we are still sticking to that.
Digant Haria: Okay. I am asking this because on the retail part, especially gold loans is doing very well for the industry like b anks are growing say 10 -15% on a Q oQ basis , so, in that context, it is a very good time for that retail portfolio of ours. So, I just want to know the corporate and retail portfolio. The retail mix still does not shift. The corporate still continues to be around 40%. When do we see that shift really happening like over the next 12 months, 18 months or will it be much longer where we see that shift? And second is that in gold loans, are we thinking of capping our gold loan exposure to something , because I think we can grow much faster, but we have somehow constrain ed our gold loan growth ?
P R Seshadri: So, with respect to the second question first, at this juncture, we have not imposed any caps. Our total exposure of gold loans to our total book is roughly about 22%. So, we are monitoring it very closely and we have built new risk measurement mechanisms so that we can see how much risk we are taking, especially against volatility in gold prices. But this is something that we have been dialoguing with the board and it is a decision that we will have to take as to at what level we need to cap this, if at all. So, at this juncture, as I mentioned, we are not capping. With respect to the second question, this quarter we had 5% sequential loan growth. Only, I think approximately a fourth of the loan growth has come from the corporate end , and even that is on the transactional banking side. So, core

corporate book has not grown. The way we reported to you in the investor deck includes both our transaction banking balances and the corporate banking balances. So, the growth has been on the transaction banking balance and the level of growth there has been just, has been a smaller component of the total growth. So,

as a consequence, there has been a realignment in the overall book and which is what has led to ou r increase in NIM s, etc. , So, over time, you will see this happen. I think the size of our bala nce sheet and the fact that we are mainly reliant on our own branches to actually deliver business volumes imposes certain restrictions on how quickly we can alter the mix. That is definitely what we are trying to do and you will see a shift as we go quarter -on-quarter. So, in the medium term, I think we would near, I mean, head towards 33%, one - third corporate and the rest being retail, MSME and Ag ri. Thank you.
Digant Haria: Thank you, sir, for the detailed response. The last question, if I may, in the last five quarters, our loan book has probably grown by say 15 -16% and our NII, the net interest income, w ill we again claw back to that all -time high of Rs.882 crores ? Now, will it be fair that next three -four quarters, at least, whatever the loan book grows, our NII also keeps pace with that?
P R Seshadri: I think that would be a fair comment to make. I mean, we have absorbed 125 basis points reduction in NIM and as we go forward, we are entering a relatively favorable phase for deposit repricing. So, while there is going to be 25 basis points reduction in t he repo link book, at the same time, approximately a fifth of our deposit book will also get repriced by approximately 80 basis points. So, given all of that, we think that we have hit basically a plateau at this point in time on account of t he most recent repo reduction. Please remember that we pass on the repo rate cuts to our customers on a T plus 1 basis. So, as far as from South Indian Bank's point of view, the regulatory aim of

transmission is achieved on the first day after the repo rate announcement. So, therefore, the full impact of the 25 basis points will be felt by us this quarter. But we think that we should be able to sort of manage that on account of repricing the deposit book. There will, of course, be this overhang of the repo rate cut. But having said that, we do not think it should materially alter our NIM s for the quarter. And going forward, subject of cou rse to no further repo rate cuts, we think that the net interest margin that we report will start climbing as the book starts driving.
Digant Haria: Perfect. Thank you. All the best , sir.
Moderator: Thank you. The next question is from the line of Vi vesha from CR Kothari and Sons. Please go ahead.
Vivesha : Hello, sir. I have two questions. So, one is on the NIM s. So, what kind of NIM margin do we expect ahead , and what will be the contributors to the same , like in this quarter, we saw that the yield that you charge that also dropped while the cost of borrowing rose slightly , so, what is the NIM tra jectory expected here?
P R Seshadri: I could not hear you very clearly. So, I will paraphrase what I thought I heard. You said that you want to know where the NIM s will be and you are saying cost of our borrowing, I think that is the second

question that you asked. Now, with respect to NIM, I think going forward, subject to no further rate cuts our NIM will be stabilized during this quarter, there will be some slight downward pressure on account of the 25 basis points reduction that we had in December. But that will be countered largely by the fact that we have approximately 20 % of our deposit book getting repriced during this quarter. So, we think that we should remain stabl e at the level that we are. There may be some marginal movements, but we do not think that is going to be very significant. At least that is the current view. But there is a bias of it being moving downwards on account of the 25 basis points. Now, with respect to cost of deposits, cost of deposits have been coming off ; they came off 7 basis points in the last quarter from 5.41 % to 5.34 %. Now, I think the number that

you are looking at is cost of funds, which also includes certain other activities that we do, including our borrowing on the repo market and so on and so forth , and the borrowing for purposes of reinvestment and so on and so forth, where there is a three basis point s upward movement from 4.74 % to 4.77 %. I do not think that is a very material number or material change for us to be worried about, because that is driven by opportunities on a short term nature. I think the more important number to be looking at is the 5.41 % to 5.34 %, which is a seven basis points reduction in cost of deposits, which from our point of view is moving in the right direction.
Vivesha: Understood sir. And your GNPA dropped from 4.4 % last year to now approximately 2.9 %. So, what led to this drop and do we expect it to continue coming up in these levels?
P R Seshadri: So, gross NPA on a year -on-year drop is also partially contributed by a write -off of Rs.900 crores during March of 2025. So, that is a 100 basis points reduction in the book itself. So, from 4.5 %, that would have brought it down to 3.5 %. The rest is on account of excess of recovery over new NPA accruals. So, our NPA slippage rate is at 16 basis points for the quarter, not annualized. So, on an annualized basis, we are at 64 basis points and recoveries have been significantly larger than NPAs , and as a consequence of which, these numbers move in the direction that you mentioned.
Vivesha: All right. So, we expect it to stabilize at these levels coming ahead?
P R Seshadri: We expect these numbers to continue to improve in the near term , so, you will see them trending downwards.
Vivesha: Thank you. All the very best.
Moderator: The next question is from the line of Jay Mundra from ICICI Securities. Please go ahead.
Jay Mundra: Yes, hi, sir. Sir, I wanted to check for the last maybe 10 quarters, we have done ROA at 1% or maybe 1.05% , with now NIM pressure behind, hopefully, and growth also picking up in gold and MSME, how far are we from, let us say, maybe 1.3 % kind of an ROA depending on the loan mix , or you think that the current run rate will continue, I mean, where are we step up on ROA? Thank you.

P R Seshadri: Thanks, Jay. As far as we are concerned, I think we will operate in the 100 to 115 basis points in the near term. I think there will be quarters in which there are other income forces that take us upwards , but I think what is going to happen is, as the NIM sort of stabilizes and there are no further rate actions from the Reserve Bank of India, at that point in time, because of the robust portfolio growth that we are having, we will see return on assets inchin g upwards. So , if I were to hazard a guess, in a 12-month period, we should end the 12 months at about 1.15 % to 1.2 % or thereabouts. Beyond that, I do not have a crystal ball to give you a view as to when we will hit 1.3 % and so on and so forth.
Jay Mundra: Sure, sir. And lastly, sir, if you can quantify the impact, I mean, if you have any trade relief measures portfolio, RBI had given some dis pensa tion, and if you can sort of provide some sensitivity to the export portfolio, right, given the global uncertainty on the trade side ? Thank you.
P R Seshadri: So, good question, Ja y. We were not getting too many requests for accessing those reliefs that the Government of India had provided. We are now beginning to get a few. So, as of this moment, I think about 16 of our customers have asked us to take a look at whether they can access this funding source.

The exact quantum of that, I do not have at this point in time. But , from our point of view, the portfolio is continuing to look robust. We are not seeing any trend lines that are worrying right now. And obviously, all these exporters had orders that they fulfilled. And we think the importers also had certain commitments or they also had inability to

a ctually switch suppliers very quickly, because of the fact that the current Indian suppliers were certified and were producing to a particular standard and so on and so forth. But if this situation were to continue in the long run, I guess given the steepness of the tariff, alternate sources will be found by the importers. So, therefore, these persons will take an impact. The situation is that the new credit that is being provided u nder the new scheme provides for an ROI advantage to the customer. And many customers are also trying to access that on account of the fact that it gives an interest rate benefit. So, I am not entirely in a position to isolate how many of these customers see this request as a potential method of dealing with stress, and how many of them are seeing it as a method of actually reducing their carrying cost of debt. So, it is a mixture of both. We are looking at it very closely. And as of this juncture, as I said earlier, we do not see any material deterioration in our portfolio.

Jay Mundra: Sure. Thank you, sir. All the very best.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening, sir. Thank you so much for taking my question. Sir, some of my questions have already been answered. So, I just want to know what is our guidance in terms of credit cost for this year and maybe next year if you can help us to understand that ?

P R Seshadri: So, you are asking for credit cost as opposed to slippage ?

Darshil Jhaveri: Yes.

P R Seshadri: I think the credit cost for this year that you see will be broadly in line with what we are seeing right now. It is not a material change , nor i s the slippage likely to change in the near term , in this quarter, we do not expect very significant change. So, right now, the way the portfolio is behaving and given the fact that the slippages are in the 16, 17 basis points range, credit cost would be maybe half that. So, 7, 8 basis points would be the credit cost in the near term. Next year numbers are being worked out, but we do not see it materially changing from where we are unless there is a very significant event in the marketplace and unless some of the events th at Jay Mundra, the previous gentleman, was talking about create some form of adverse conditions, which is not currently visible. So, as we get into the next year, we think that the current trend lines where the recoveries are greater than the new NPA slippages will continue over the next 12 -months.

Darshil Jhaveri: Okay. That helps a lot, sir. And s ir, just wanted to understand, like in terms of competition, majorly, like maybe in the retail segment and gold loan, like a lot of players want to get into that and are trying to aggressively grow out there. So, how do we see that is there some kind of undercutting happening or is there enough pie in the market for everyone , just if you could help me understand the competition intensity especially retail gold, sir ?

P R Seshadri: I think what we have done during the year is we have broadened our product palette. We have increased the types of offerings that we have. We have taken advantage of the new RBI regulation that allows us to do loans for productive purposes where the LTV caps can be relaxed a little bit. So, we built our new systems, new processes, etc ., which has enabled us to compete more effectively in the marketplace. We are now launching a ULI -based KCC A gri, in Tamil Nadu, Andhra Pradesh, Telangana and Karnataka. We are starting with Tamil Nadu and then w e will roll it across to the other regions as well. So, we have increased the product types that we have, which is enabling us to sort of compete more efficiently. When it comes to price competition, there is price competition, but this is a product that is in some senses a relationship pro

duct and it is also a trust product. So, people come to a Bank that they have trusted and because they are leaving their gold there, they like to know that when they come back, it will still be available. And since we operate a great deal in semi urban and rural areas, trust requirements .

Moderator: Ladies and gentlemen, the line for management has been disconnected. Please stay connected while we get them reconnected. Ladies and gentlemen, thank you for being on hold. The management has been reconnected. Thank you and over to you, sir.

P R Seshadri: Thank you. I tried answering the earlier question. I do not know whether I answered it fully because I kept talking and I did not know whether I was disconnected. So, maybe you could tell me where -

Darshil Jhaveri: We heard still I think the trust of the customer is there. So, that is why gold loan, that is our USP, I think till that we have heard, sir.

P R Seshadri: Okay. So, I think trust is an important element and the fact that we have been around in those geographies for a long time, which is a part of trust I guess is also an important element and plus

processes, if you have got the processes down PAT , then it helps. We write approximately 3,000 to

4,000 gold loans a day. So, when you are doing those volumes, you need to do them relatively efficiently. And I think those are the areas where we have spent some time and energy sort of getting things right. So, pricing competition is there. I am not saying it is not there, but it is not insurmountable.

Darshil Jhaveri: Fair enough, sir. That help s me, sir. So, that covers a lot of my questions. So, just one more thing, like in terms of partnerships, like, are we looking at, like when we said we are trying to grow mostly from our own branches, so are we looking at some other way of partnership or even like in the credit card segment, a lot of people are coming with co -branded credit cards , so, are we looking at some other ways to, penetrate in these other categories with the help of partnerships, sir?

P R Seshadri: So, we have active an strategic alliances department which works on building relationships between us and other counterparties. In page #27 of our deck, you will see a list of counterparties that we work with currently. So, we are taking advantage of RBI's co -origination guidelines, and we do have an active partnership program. Our current balances on these partnerships is approximately Rs.1,900 crores or thereabouts, ex -credit cards.

Darshil Jhaveri: Okay, okay, fair enough. Ye s, that is it from my side, sir. Thank you so much, sir. All the best.

Moderator: The next question is from the line of Sur aj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Yes. Hi, sir. Thank you for the opportunity. Sir, a couple of questions. First is on the MSME portfolio . I think the MSME portfolio has seen revival and then has started to grow for the past couple of quarters. And I think this is despite you are classifying mortgage loan given to MSME under retail. So, just wanted to check if you can highlight, let us say, what are the sectors or product or what are the geographies which is driving this growth? And also, I mean, what is your outlook on this growth going ahead? That is question on e, sir.

P R Seshadri: Okay. Thank you very much. I think MSME growth is actually quite broad -based. It is across the various categories. We manage MSME in two buckets. The first bucket is what we originate in our branches, we internally we call it MBG. And the second is what we manage through relationship managers, which is a separate vertical. And both of these have been growing quite well. The MBG piece is the one that we are more keen on growing because the yields there give us a clear NIM of 400 to 5 00 basis po ints. And these are smaller tickets , which means that the risk is diver

sified. And
so far we have hit a peak disbursal of roughly Rs.300 crores in the month of December. We are hoping to double that with changes to our policies, practices, and also with increased sales effort , because that is going to be a huge driver of revenue for the institution as such. And that product works on a templatized mode where we have credit scores that run, and these are all digitally underwritten and they have reasonably qui ck turnaround times. And we leverage as much data as is possible from GST data to tax return data to Bank account data and so on and so forth to arrive at a score that tells us whether the customer is bankable or not. And it is there that we have had very

significant growth in volumes. And all of this is originated by us. We do not pay any origination commissions and so on and so forth. So the economics for us is very, very positive. The second area, which I said is what we call emerging corporate business. These are the bigger tickets, which is written by the verticals. There also we have had very substantial growth on a year -on-year basis. And there, it is fairly broad spectrum of businesses that come to us from working capital to term facilities, to fund working capital gap, to Brownfield entities that are setting up incremental capacity, to lease rental discounting and so on and so forth. So it is a broad mix. Of course, the yields here are lower. I want to reiterate that we trade off a price for better quality. So , we are aiming to get a high quality, slightly better yields than what we have been achieving in our book. So, the aim is not to increase the risk density or riskiness of our portfolio at all, but to manage risk in such a fashion that we get an alpha on the yields and as a consequence an alpha on net interest margins. So I trust that answers your question.

Suraj Das: Yes, sir. That answer s. So, out of this Rs.1,700 crore s or Rs.1,800 crore s disbursement that you are saying on the MSME, currently the M BG group contributes only Rs.300 crore s?

P R Seshadri: No, no, that was in one month ; that was in the month of December. So the exact numbers we can make available. I do not have the breakup with me.

Suraj Das: Yes. Thank you. Sure, sir. So the second question is on the housing side. I mean, while the LAP portfolio is doing well, the housing finance growth seems to be a bit volatile ; I think this quarter it has again de -grown ; the growth has been negative on a Q oQ basis. Sir, is this a function of portfolio buyout or something like that or what is the rationale, sir , or probably what are -

P R Seshadri: There are two things that were driving it. One is, yes, there is some portfolio transactions that IBPC /portfolio buyout transactions, which are reflected in one period and not in another. But the broader problem is that yields on housing finance, especially prime housing finance have dropped to a very, very low level with nationalized banks now operating at 7.1% and some of them are even sub-7%. So we, during this quarter, because of the repo rate cut in the month of December, from a managemen t standpoint, wondering whether we wish to participate or did not wish to participate. And if we wish to participate, at what level we wish to participate. Now, housing loans are very, very price sensitive. A good housing loan customer will go where the prices are lowest. So , as a consequence of that, we did lose volume in December. And I think, frankly, strategically, we have to decide at what levels we wish to participate here. And at those levels, the business may or may not be available in the type that we want to do. So that is one of the reasons why this has happened.

Suraj Das: Sir, got it. Sir, third question is in terms of, let us say, the entire co -lending partnership that you have, at present, what is the mix of the co -lending partner in the disbursement fo

r let us say, the retail segment, saying good loan or unsecured retail , this Amazon tie -up, AXIO pay tie -up, or on the overall, let us say, how much portfolio buyout you do?

P R Seshadri: We can make that available. It is not readily available with me. We can get the data and give it to you. The overall book size is roughly approximately Rs.1,900 crores. A fair chunk of it is going to be gold. So , roughly about Rs.1,500 crores to my estimation will be gold and the rest would be unsecured and housing. So, that is where we are at, at this point. But the disbursal numbers are not readily available.

Suraj Das: Sure, sir. I will get in touch offline. And the last question, in terms of this non -interest income, the other line item, I mean, on the investor deck #32, the other line item is almost 40 %-50% of your overall non -interest income. And that has been the case for the last few quarters. Sir, any specific line item, which contributes the more here?

P R Seshadri: I will turn this over to my colleague, Vinod F rancis, our CFO, to answer this question for you. Thank you.

Vinod Francis: Good afternoon. So two major items that comes in is one is the income, what we derive from the bancassurance business and the other one is the recovery from the technically written -off accounts. These are the two major line items that constitute in that other income , others .

Suraj Das: Sure. Got it. Thank you so much.

Moderator: The next question is from the line of Darshan De ora from Ind vest Group. Please go ahead.

Darshan Deora: Yes, thank you for the opportunity. Just had a question on this MSME loans. I was looking at slide #15 of the presentation , where you have given that table, giving a breakdown of the MSME loans. So just want to understand, so in one row, we have MSME, SME loans, about Rs.9,800 crores , and there is another row that says other. So is the first one, what you were explaining the M BG group and the second one, the relationship managed loans , is that the breakup?

P R Seshadri: Okay. So, we have sort of broken it down the way we reported to the Reserve Bank of India. Nowadays, to meet priority sector requirement, we need Udyam Aadha ar numbers. So the first number, MSME /SME , has those appropriate say, identifier to prove that they are MSMEs. Second category does not have files. They are MSMEs, they do not have those. So therefore, it has been reported separately. It also includes some transaction banking products , basically, bills discounted against LCs also is a part of the se gment .

Darshan Deora: So, if we were to just take the split of the M BG versus what you had called out as the emerging corporate business, what would the split be?

P R Seshadri: We will make that available … going forward, we will present it in the deck.

Darshan Deora: Yes, it would be great if we could even include the mortgage business, which you said is being shown under retail. I understand this is for RBI classification purposes, but just for the investors to also understand, because I believe the company has put a lot of effort in terms of retraining employees,

etc., So just wanted to, see that how that is progressing. Any color you can share on that as well, like the efforts and the investments we have made, both on the employee side as well as the technology side, how is that progressing in terms of traction?

P R Seshadri: So we have spent a lot of time and energy rearchitecting our processes as well as our systems. So in the deck, you will see a lot of new systems that have gone live over the last 24 -months or so. These are all different products. We have different systems. So for working capital facilities to small businesses, we have something called GS T Power. For LAP, we have something called LAP Power. These are all journeys in a fully digital mode t

hat enable people to actually navigate this and get outco mes reasonably quickly. So those have been live now for a long period of time and our people have gotten used to them. We have also been spending a lot of time and energy retraining our staff. We have been sending our folks for intensive classroom sessions outside of our offices in third -party locations so that they can learn more about MSME businesses. So those are all now beginning to pay off because our people are now slightly better educated on the needs of MSMEs. So we will break up the slides, show you the difference between the emerging corporates as well as our branch -based businesses in the succeeding quarters so that that information is available to every body .

Darshan Deora: Great, great. That would be much appreciated. And my second question was just regarding the overall loan growth . So, we are going as per our guidance ; we have hit roughly a 12% figure. What will it take for us to sort of move to the next orbit, like to move towards a 15% loan growth figure?

P R Seshadri: See, I think we have to trade this off. We have to figure out whether that is better for us or to remain

at this 12% level. So if you were to look at our cost of money, it is actually lower than many of our peers. So, we have a natural funding advantage. If we were to start growing very rapidly, we will lose that because we will have to offer deposit rates which are similar to deposit rates offered by the other people. Right now, we are priced 15 basis points lower than our larger peer in our main market. So, so even with that pricing disadvantage, we grow at about 12%. So strategy that we are currently following is to grow at this level, but grow the retail MSME , gold much faster, which means that over time, corporate will start shrinking. That we believe will have a bigger delta on the NIM s and profitability for the institution. There will come a point in time where our ability to grow will be significantly higher than what it is currently, at which point in time we will step up. So , if we go into the next year, our growth will increase from here. But we do not want to take it to 20% and so on and so forth, because that is going to be counterproductive from a P&L standpoint.
Darshan Deora: Got it, got it. That was very helpful and wish you and the team best of luck for the next quarter. Thank you.
P R Seshadri: Thank you.
Moderator: Requesting the management members to please speak a little louder as when you are speaking, then there is some buzzing sound is coming from your line. Please increase your devices volume, sir.

P R Seshadri: Yes, ma'am. Can you hear me now?
Moderator: Yes, sir. Ye s, yes, it is clear now. Thank you, sir. The next question is from the line of Parth M from 360 ONE Capital. Please go ahead.
Parth M: Thanks a lot. My first question is that your credit card book has been consistently declining. What exactly is happening? The delinquencies are rejigging that portfolio. That is my question one. Second is interest on income from investments at its highest level. So what exactly is driving this? And my third question is, slippages within the retail portfolio from the new book I think, at around Rs.93 crores for the quarter, slightly higher than previous quarter. So which segments are driving this? Ye s, those are my three questions.
P R Seshadri: Okay, with respect to the cards business, as you are aware, we had a relationship with an external counterparty who was providing all the services associated with the cards business. And from March of 2024 onwards, fresh issuances have been stopped. We had engaged with both the counterparty as well as the regulator to try and have it restarted, but we have not had any success on that front. So, we are at this point in time working on alternate strategies as to how we can reenter the card s b

usiness.
Point number one. Point number two, we could not quite hear what you said. So I will go directly to point number three and then come back to point number two. Now, majority of the losses that we had in the new book, roughly half of it is from the credit card business and a small portion of it is also from our portfolio buyout. So, we did see elevated losses on portfolios acquired by us by way of a DA transaction in the past. So this has been a significant increase in those losses that we noticed, whic h is embedded in the Rs.155 crores of slippages that we had in the quarter. Rs.17 crores is from portfolio purchases made, which is actually quite a small portfolio. So we are looking into it carefully to understand if there are any issues that we need to be worried about , and the rest of it is coming from personal loans and other such products. So those are non -material. So to repeat, 50 % comes from credit card, Rs.17 crores comes from portfolio buyout, the rest is personal loan and other such products.
Parth M: And my last question is on interest on income from investment of Rs.497 crores ?
P R Seshadri: That is the one that we were not able to hear.
Parth M: Okay, so I will repeat. So income from interest on investments, what exactly is driving this, because at Rs.497 crores, it is the highest in the last, I guess, last eight to 12 quarters ?
P R Seshadri: That is because the investment book itself has grown quite significantly. So , if you see the investment book, last quarter it grew by what, Rs.7,000 crores or so. And while it shrunk a little bit between the prior quarter and this quarter, it is still at an elevated level. So consequently, we are getting higher interest coming in that.
Parth M: Sure, sir. Thanks. Thanks.

Moderator: The next question is from the line of Bhavya Sanghvi from Alchemy Capital. Please go ahead.
Bhavya Sanghvi: Thank you for the opportunity, sir. My question is regarding the CD ratio. So we see that the CD ratio has been inching up quite well. So I wanted to get a sense from you as to what would be the sustainable level that a Bank is thinking to take this ? And a connected question is how the Bank is thinking on the liability side growth to support the deposits as the growth of deposit has been 6 % CAGR in the last three years to fund the loan book growth in the future ? Thank you.
P R Seshadri: Thank you very much for that question. With respect to CD ratio, we are at approximately 82 % or so in the last quarter. We think that there is still some headroom available there. We can get to 85 %, 86%. At the same time, we have also started looking at alternate funding sources. So , we have tapped other funding sources which are non -reserve requir ed. But, from a liquidity management standpoint, I think we have done reasonably well. While CAGR over a three -year period may be low, year -on-

year our liabilities have grown approximately 12 % with the same ballpark range as our assets have grown. And as I mentioned earlier, we are growing this while keeping our cost of deposits under tight check. So, our belief is that if we were to pay higher rates, we can get higher liability growth. But that will militate against having higher NIM s. So, in order to manage both of them, we are sort of optimizing our asset growth in such a fashion that the liability and asset growth is roughly of the same amount and our total CD ratio remains within reasonable bounds.

Bhavya Sanghvi: Sure. Thank you, sir. And any specific targets on branch expansion in the next couple of years that Bank is thinking about? Thank you. That is all from m y end .

P R Seshadri: We have not grown our branches in the last two years or so. We will be expanding, doing some amount of branch expansion, especially in our core areas, which is Tamil Nadu, Andhra Pradesh, Telangana, Karnataka. But those plans are in the future

. In the near -term, there may be 10 or 12 branches that are built up.

Moderator: We will take this as the last question for today. I would now like to hand the conference over to the management for closing remarks. Thank you and over to the management.

P R Seshadri: I woul d like to thank all the folks who attended this call for being here with us. Thank you very much for taking time to attend our call and having interest in South Indian Bank. Thank you very much.

Moderator: Thank you , all. On behalf of South Indian Bank, that concludes this conference call. Thank you all for joining us today and you may now disconnect your line s.

Call: May 2026

DEPT: SECRETARIAL

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Dear Madam/Sir,

Sub: Conference call for Investors/Analysts –Transcript of the Conference Call

Pursuant to Regulation 30,46 and all other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 and in continuation to our letters SEC/ST.EX.STT/11/2026- 27 dated April 30, 2026 and SEC/ST.EX.STT/18/2026- 27 dated May 07 , 2026, we wish to inform you that, the transcript of the conference call for Investors and Analysts held on Thurs day, May 07 , 2026 at 16:00 hrs (IST) is attached herewith and made available on the Bank's websi te at www.southindianbank.bank.in under the following link:

https://www.southindianbank.bank.in/userfiles/file/sib_q4- fy25-26_earnings_call_transcript.pdf

This is for your information and appropriate dissemination.

Yours faithfully,

(JIMMY MATHEW)
COMPANY SECRETARY

Encl.: as above

REF. No. : SEC/ST.EX.STT/ 22 /2026 -27
DATE : May 13, 2026

"South Indian Bank Limited
Q4 FY26 Earnings Conference Call"
May 07, 2026

MANAGEMENT : MR. P.R. SESHADRI – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SOUTH INDIAN BANK LIMITED
MR. DOLPHY JOSE – EXECUTIVE DIRECTOR – SOUTH INDIAN
BANK LIMITED
MR. ANTO GEORGE – CHIEF OPERATING OFFICER AND
EXECUTIVE VICE PRESIDENT – SOUTH INDIAN BANK LIMITED

MR. VINOD FRANCIS – SGM AND CHIEF FINANCIAL OFFICER –
SOUTH INDIAN BANK LIMITED
MR. JIMMY MATTHEW – SGM AND COMPANY SECRETARY –
SOUTH INDIAN BANK LIMITED
MR. SENTHIL KUMAR – HEAD OF CREDIT – SOUTH INDIAN
BANK LIMITED
MR. SONY A. – CGM - CHIEF INFORMATION OFFICER – SOUTH
INDIAN BANK LIMITED

MODERATOR : MR. AMANSINGH SAHAJSINGHANI – ICICI SECURITIES
Moderator: Ladies and gentlemen, good day and welcome to the South Indian Bank Q4 FY26 earnings call hosted by ICICI Securities Limited. As a reminder, all participant lines will be on listen -only

mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this con ference is being recorded.
I would now like to hand the conference over to Mr. Amansingh Sahajsnghani from ICICI Securities. Thank you and over to you, sir.
Amandeep Singh S .: Thanks, Yashashree . Good afternoon, everyone, and thanks for joining the call. On behalf of ICICI Securities, we welcome you all to Q4 FY26 post -earnings conference call of South Indian Bank. From management side, we have with us Mr. P.R. Seshadri, Managing Director and CEO, Mr. Dolphy Jose, Executive Director, Mr. Anto George, Chief Operating Officer and Executive Vice President, Mr. Vinod Francis, SGM and Chief Financial Officer, Mr. Jimmy Mathew, SGM and Company Secretary, along with other senior executives of the bank.
I'll now hand over the conference to management for their opening remarks post which we can start the Q&A session. Thank you, and over to you, sir.
P.R. Seshadri: Thank you very much. Good evening to all of you and thank you very much for joining us for the South Indian Bank Limited quarter 4 FY26 earnings conference call. I'm P.R. Seshadri, the Managing Director and CEO. I'm joined here by my colleagues that were introduced earlier and two others, Mr. Senthil Kumar, who is our Head of Credit, and Mr. Sony, who is our Chief Information -- CIO. At the outset, let me once again thank you all for being here with us today. We greatly appreciate it.
Let me start with the key highlights of financial performance for the financial year 2025 to 2026. The bank declared its highest ever net profit for the year at INR1,455 crores for the financial year 2025 -2026, which implies a growth of 12% compared to INR 1,303 crores in the prior year. Total deposits grew by 15% to INR1,23,346 crores from INR1,07,526 crores. Retail deposits, excluding bulk deposits, grew by 15% to INR1,20,116 crores from INR1,04,750 crores.
Gross advances grew by 14.5% to INR1,00,274 crores from INR87,579 crores. During the last financial year, we have done a technical write -off to the extent of INR1,163 crores, excluding which the year -on-year growth would be at 15.8%. Total business for the bank grew by 15% to INR2,23,620 crores. Net interest margin for the year was at 2.91%. The bank was able to show a healthy growth in the average advances during the period with a growth of 14%.
The bank declared a return on asset of 1.03% and a return on equity of 12.76% for the financial year. Net interest income for the year was at INR3,437 crore. The capital adequacy ratio of the bank stood at 19.66%, with the Tier -1 ratio standing at 18.76%, and the entire Tier-1 component is basically common equity Tier -1. CASA amount increased by 17.5% year -on-year to INR39,621 crores.
Provision coverage ratio, excluding write -off, improved by 810 basis points year -on-year to reach 79.87%, and PCR including write -off reached 94.10% at the end of the year. Overall gross NPA reduced by 177 basis points from 3.2% to 1.43%. Net NPA reduced b y 63 basis points from 0.92% to 0.29%. Slippage ratio for the year was at 72 basis points.

Let me take you through the financial performance of the bank for the quarter ending March 31st, 2026. The net profit for the quarter was INR408 crore s compared to INR342 crore s during Q4 FY25. Net interest income for the quarter was at INR915 crore s. Operating profit for the quarter was INR581 crore s. Net interest margin for the quarter was 2.95%. The bank's return on asset for the quarter was 1.17%, and a return on equity for the quarter was 14.49%.
Slippage ratio for the quarter, not annualized, was 15 basis points

. Credit cost for the bank for
this quarter was low at 3 basis points. During the last financial year, our gold loan business grew by 46% and now stands at INR24,729 crores with an average LTV of 57.18%. This number includes those portfolios that have been purchased by us and an average ticket size of approximately INR2.71 lakhs.

Mortgage loans and auto loans are other areas of significant focus. On a year -on-year basis, we were able to achieve significant growth in mortgage loans, significant growth in auto loans, and our focus on MSME loans has ensured that our book has grown by approximately 15% for the year. We continue to maintain the momentum in disbursements and collections. And we hope that the trend lines that we've seen thus far, assuming that the environment is conducive, ensures that we reach the outcomes that we would l ike to see.

Our areas of focus as an institution remain portfolio quality. We are very happy to note that the SMA1 and SMA2 numbers have continued to improve. Slippage is at an all -time low. Shift from Corporate to MSME and Retail is visible in our balance sheet.

CASA balances have grown very significantly, demonstrating the quality of our liability franchise. There is a material increase in branch productivity that we are able to see and which is reflected in the fact that Retail and MSME businesses are growing.

Significant improvement in processes and systems have been realized. Our focus on digital channels are helping us improve our business and operating efficiency. This is the second year in which we've delivered positive operating leverage. Our focus on cost s continue. So whilst the environment has been difficult and growing revenues have proven to be difficult, we've managed to ensure that jaws from an operating efficiency point of view, the jaws have opened up. With this, we'd like to open the floor for que stions.

Moderator: We'll take our first question from the line of Unmesh Shah, an Individual Investor.

Unmesh Shah: Thank you very much, sir, for giving me opportunity to attend this con -call and congratulations once again for the good set of numbers. Your CASA, NPA, all have come to a very good set of numbers, sir, and also this capital adequacy ratio and everything i s in line. Sir, my question is now, sir, that you know you have decided not to go for the second term or extension.

Is there any search operation going for succession plan for the bank or what is the new thing going on or how much time will it take or it may be internal person or from outside search is going on? If you can elaborate or if I am not too inquisitive, I wil l be happy if you can throw some light on this.

P.R. Seshadri: The Board is actively engaged in the search process. I can confirm that the search process is on. And the Board is fully cognizant of the need to ensure that this is done expeditiously and names communicated to RBI within the timeframe that is required.

And I am certain that the board would be updating shareholders as well as investors and others at the appropriate point in time once an outcome has been reached. So I guess the process is , to reiterate, the process is underway and we should expect communication from the bank, from the Board through the bank, at an appropriate point in time.

Moderator: Thank you. Next question is from the line of Siddharth Gollapudi, a Retail Investor. Please go ahead.

Siddharth Gollapudi: Hi, sir. Thank you so much for the opportunity to ask a question. First of all, congratulations on the great numbers. Sir, I had the similar question to what the first questioner asked, but I also have another question. I saw that in the numbers the other income had some significant decline this last quarter. So I just want to know what is the reason and is there any, in future, what are we going to do to ensure that the other income is also co

nsistent to the previous quarters? Thank
you, sir.

P.R. Seshadri: I'll request my colleague, our CFO, to answer that question. Post his answer, I'll give you context on how we think that we can regrow or start growing that revenue stream. So over to you, Vinod.

Vinod Francis: Thank you, sir. Am I audible?

Moderator: Yes, can you come closer to the microphone please?

Vinod Francis: Yeah, hope I am audible now.

Moderator: Yes, please go ahead.

Vinod Francis: So the dip in the other income is mainly because of the Treasury because in Q4, due to the market conditions, we were not able to generate much income over in the Treasury segment. So in Q3, we had an income of around INR77 crores, so that is almost nil in Q4. So that is the major element of dip in the other in come.

P.R. Seshadri: Thanks, Vinod. To further address your query, we are branching out from Corporate into the Retail and MSME side of the house. And we are doing a lot of work to broaden out the fee base that we have as an institution. And the revenue stream that you can ge t, non -interest revenue that you can get on Retail and MSME, is significantly larger than what you can actually get on the

Corporate side. And as that grows out, we think that automatically the revenue streams here will improve.
Thank you. My apologies for the fact that we inadvertently left the call. I was trying to explain that the non -interest income drop that you saw was largely on account of the fact that Treasury revenues were very minimal during this quarter, and I think th at has been the feature across the industry. And I was also trying to tell you that the change in mix that we are looking at

automatically increases non -interest revenue. And we are also working on a whole bunch of new solutions which will also increase our revenue streams.
So there's been very substantial increase in our FX revenue streams. And in order to make that even more buoyant, we are working on a new solution called TF Online, which enables our corporate and MSME customers to engage with us for all export.
Thank you. I don't know where everybody lost me, but I just want to reiterate that the reduction in non -interest income is largely a one -off which is coming from the fact that Treasury revenues have been less than buoyant during the quarter, which is somet hing that has impacted not just us, but has been a generic impact across the board.
And the bank has, A, changing its product mix will enable us to increase revenues on this front. And B, there are certain specific actions that we are taking with respect to our FX and trade platform which we are enhancing very considerably, which will ena ble us to engage with our customers on a non -funded basis more effectively such that we get significantly enhanced revenue streams.
Moderator: Thank you. We'll take the next question from the line of Jai Prakash Mundra from ICICI Securities. Please go ahead. Mr. Mundra, you can go ahead with your question.
Jai Prakash Mundra: Yeah, hi. Am I audible?
Moderator: Yes.
P.R. Seshadri: Yes, Jai, we can hear you.
Jai Prakash Mundra: Sure. Sir, just a question on -- while you mentioned that the Board has taken the succession thing, but any timeline, sir, as to what are the timeline and what are the processes? I mean, when does the search completes and when does the name go to RBI? Any broad timeline, sir?
P.R. Seshadri: Jai, I think we are aware of the fact that RBI requires a certain amount of time for the approval processes. The Board is cognizant of that, and I am sure that the outcomes will be, you know, the process will conclude and letters will be written to the RB I in due time for RBI to make its decisions and convey them to the Board in such a fashion that the new incumbent can be in position when required, which is, my term ends on the 30th of September.
And I expect t

hat all of this will happen in such a fashion that the new incumbent can be in position before or immediately after the end of my term. So I think that's the best I can do at this point in time, Jai. There is little further information that I can provide in this context.
Jai Prakash Mundra: Sure. No, no, I think that is what I wanted to know. So thanks for that. And secondly, sir, on gold prices and the portfolio impact, right? While the LTV, I believe, is very comfortable, but that is on the blended level, right?
So, I mean, a 20% fluctuation in gold prices is not a unusual thing. So how do you control the LTV on, let's say, if the gold is 15,000 or 16,000 per gram and then suddenly or over the month

it comes down to maybe 13,500 types? So on the I mean, what is the risk mitigation on the gold loan at the higher end of the -- when the gold prices are higher? Thank you.
P.R. Seshadri: I think it's a very good question. So during the year we've had to understand how to measure this risk. In gold, the risk is basically price volatility of gold itself is the risk. So as a bank we've put together, we are using the Value at Risk framework, and we've built a mechanism by which we actually measure this risk.
And using Value at Risk, we can see periods of volatility. And if we were to stress test our portfolio for that period of volatility, what is the portfolio that gets exposed as a consequence? And we have set caps on that as well. And that's the mechanism b y which we are actually managing gold loan risk.
Now, we've had a situation, I think it was either in January or in February where gold prices came down all the way down to about $4,100 per ounce from a peak of $5,500. And at that point in time, we had an opportunity to test the various processes that we had set up. Actually, A, the process of figuring out who are these customers whose margins have been eroded. B, a process

by which we communicate with these customers and ask them to repay or make margin payments to us so that they can restore the margin on the gold loan.

I'm glad to say that a very large number of customers made payments very, very promptly. Of course, we didn't have to follow through and ask the rest of the customers who were impacted, essentially because gold prices recovered thereafter.

But having said that, these are all tools that we have in place. Our experience on the margin calling front has been good, and that is how we are managing it. So, at a portfolio level, we have a Value at Risk metric which tells me how much risk I am runni ng. So, if the peak -to-trough movement of gold is X in the last eight years or ten years, that in a 30 -day period, a 30 -day VaR has been X, then we ensure that we set a cap and do not exceed that cap.

Now, of course, if the price of gold were to dip by more than that, then there will be some incremental hit to the bank. And that is what we think can be addressed by the fact that we are in a position, we have a mechanism by which those accounts can be i solated, margin calls can be made, and our history is that we've been able to get margins to be refurbished in a very substantial number of these customers. I trust that answers your question, Jai.

Jai Prakash Mundra: Yeah, no, sir, it does partially. I was, sir, also thinking that a few banks have told us that either they cap the LTV, not the LTV percentage, but LTV rupees crores, rupees thousand let's say, so even if the gold prices were to go INR16,000 per gram, the y will cap at INR11,000, INR12,000, or they will take more moving average of 30 days. Anything of that sort or, you know, you have like what you mentioned VaR sort of an approach for risk mitigation?

P.R. Seshadri: So, we already take a 30 -day moving average. And we also, in addition, we apply something called a standard deviation. So, we apply a proportion, instead of applying o

ne full standard
deviation, we either apply 50% or 25% standard deviation to partially m itigate this risk.

So, to address volatility, we've tried to figure out some statistical method of doing it. But what I was trying to tell you was how we manage risk at a portfolio level. Because ultimately, if the price of gold goes from INR15,000 to INR10,000 and that is w hat it has historically done -- historically, let us say the maximum peak -to-trough has been 30% -- then we can then try and model how much of my portfolio will be at risk and then cap it.

At a VaR level, we can say that I want -- I don't want more than let's say 10% or 8% of my total capital should ever be at risk. That kind of measurement system is already in place. Now, of course, a real -life movement in gold can be very different from historical movements and these metrics that we have used may or may not really hold out. But it is -- it is the only substantive method by which we can do this and we are quite, you know, we a re tracking this very on a constant basis and thus far our experience has been reasonably good.

Jai Prakash Mundra: Right. Oh, thank you so much, sir, for answering the question. I'll come back in the queue. Thank you.

Moderator: Thank you. We'll take our next question from the line of Darshan Deora from Invest Group. Please go ahead.

Darshan Deora: Yeah, thank you for the opportunity. So, my first question was on the write -off that 1,163 crores of write -off. How was this accounted for? Can you just explain that briefly, please?

P.R. Seshadri: Sure. I'll turn this over to our CFO, Mr. Vinod Francis, to answer this.

Vinod Francis: Yes, sir. Sir, with this regard to this write -off 1,163, so these all these accounts have already been 100% provided. Provisions have already been created. So, we are doing the technical write -off. It is not the actual bad debt write -off, but a technical write -off. So, the there is no impact in the P&L, but the only impact that comes is in the PCR.

Darshan Deora: Got it. So, this reduced your GNPA, but your NNPA was not affected by this.

Vinod Francis: Not affected by the technical write -off.

Darshan Deora: Okay. I'm probably going to ask take this offline with you because I have some more questions around that. The other thing was regarding the gold loan book. So, INR25,000 crores currently is your approximately the gold loan book size, including retail and agri. How much of this would be organic and how much of this is, you know, like portfolio buyout or co -lending?

P.R. Seshadri: A vast majority is organic. Our portfolio buyout and co -lending, I don't have the exact number, but I suspect it'll be about 15%, but we can give you the exact number subsequently. It'll be let's say 10% or thereabout. Less than 10%, 7%, 8% . 8% to 10%.

Darshan Deora: Got it. And generally speaking, like this quarter, for example, what would be your total portfolio buyout you would say like across products?

P.R. Seshadri: Our total portfolio buyout across products is roughly in the order of magnitude of about INR2,000 crores at the end of the last quarter. And frankly, from our point of view, our learning has been that we would prefer pass -through certificates to portfolio buyout. There was a point

in time that where we privileged portfolio buyout for the reason that we had to demonstrate growth in the portfolio. But now that we have our machinery is working and all of that is happening, we are more inclined to do PTCs as opposed to portfolio buyouts because of the credit enhancement and the fact that, you know, some of the attendant problems that come with this are not present in that structure.
Darshan Deora: Got it. And you know that kind of leads me to your to my next question which is on the MSME. So, any upda

te or anything else you'd like to share on the MSME in terms of the traction we are seeing?
P.R. Seshadri: So MSME has grown 15% year -on-year. And we are quite happy with it, but to give a more detailed answer I'll turn this over to my colleague Dolphy Jose, who is the Executive Director on the call.
Dolphy Jose: Hi, Darshan. This is Dolphy. So, the primary narrative for from the time we've started this MSME progress, progressively directionally going towards acquiring more organically and making our presence more substantial in the MSME segment. We continue to fo cus on better yield, better mix, better pricing discipline. So, we have gradually progressed towards building the MSME segment in growth supporting geography and markets.
And that's quite visible in the shift if you look at the recent progress and how it has developed. That will continue, and we intend to have concentrated resource allocation and avoid width and go after depth in the geography where we are moved recently an d develop markets. And we are investing on infra, we are investing on manpower, etcetera. That is the way forward for MSME: deeper and not wider.
Darshan Deora: Got it. Got it. Appreciate that. That's all from my side. Thank you so much and wish you all the best for FY '27.
Moderator: Thank you. We'll take our next question from the line of Sandeep Joshi from Unifi Capital. Please go ahead.
Sandeep Joshi: Hi, sir. Thanks for the opportunity and congratulations for the good set of numbers. Sir, I had a couple of questions. Firstly, on the loan growth. So, you've grown our loan book at a healthy rate of around mid -teens during this financial year despite the write -off of about more than INR1,000 crores. And the heavy lifting was done by gold loans. So, in this context, at what rate do we intend to grow our loan book in FY '27, assuming gold might not contribute so significantly the way it did in FY '26? That's the first question.
P.R. Seshadri: Yeah, okay. Thank you, Sandeep. We think that we at the very least we'll grow at the industry rate. So, I mean going forward our aim is that if the industry grows at X, we'll grow at X. But we are a smaller institution, and therefore, you know, whatever b e the vicissitudes of the industry, we should be able to carve a path for ourselves which is different.
So, I understand that the current view is that next year loan growth may be a little shallower than last year's loan growth, but having said that, we are still aiming to get between 15% and 16%. But if the industry were to do higher than that, we will matc h industry.

Sandeep Joshi: Okay, fair enough. My second question is on the employee expenses. So employee expenses declined materially during this quarter. So was there any one -off? If yes, so what was the nature and amount of that one -off?
P.R. Seshadri: Yes, it was a one -off. Let me, you know, hand this over to Vinod Francis, our CFO.
Vinod Francis: Yes, Sandeep. So this is a one -off item that has come up. That is mainly with regard to the write - back what we obtained based on the actuarial valuation. So that amounts to around say close to INR80 crores . So this is mainly at the year -end we go for the actuarial valuation in compliance with the Accounting Standard, so based on that we got a write -back of INR80 crores.
Sandeep Joshi: Okay, fair enough. And my next question is on the operating cost line item. I mean, over the last eight to ten quarters, you've done a commendable job in terms of keeping the operating costs largely flat over the last eight to ten quarters.
So how should we think about the same line item over the next couple of years? Can we expect a moderate growth in the operating cost line item, or will it grow in line with the business growth?
P.R. Seshadri: I think it's a very good question, Sandeep. I think basically what our strategy so

far was that we
sort of sweat all our assets as much as possible so that we can become more profitable and we

become much more efficient. But there is an efficiency frontier. I mean, once you get closer to that efficiency frontier, beyond that efficiency growth be comes more and more difficult.
So I think we've reached a point where expenses cannot be kept at this level indefinitely and we will have to start doing a little bit of investment both in distribution, a little bit more investment in technology, and so on and so forth. So you will see e xpense growth coming forward, but we are hopeful that that will be more than compensated for by revenue growth.
So our aim is to ensure that we continue to have positive operating leverage. We are very, very thrilled that we've had positive operating leverage two quarters, two years running, and we'd like to make that a third year as well, which will then open up o ur pre -provisioning operating profit and profit before and after taxes as well. So I don't know if that answers your question. If you have anything else in particular, I'd be happy to answer that.
Sandeep Joshi: Yes, sir. That does answer my question. My last question is on the credit cost. So your slippages are trending down and your net NPA is now below 30 basis points. So in this backdrop, how should we think about credit cost on a sustainable basis over the n ext couple of years?
P.R. Seshadri: Very difficult to answer that question, Sandeep. My own view is that we've seen the trough when it comes to credit cost. Credit cost for this quarter was three basis points. I don't think a credit cost can be lower than this on an organic, under normal circumstances.
I think if anything, both slippages and credit cost should trend upwards, especially given the geopolitical stresses that we see emanating from the Middle East and elsewhere. How much it

will be? What the impact will be? Very hard for me to have a view on. In fact, I'll be honest with you, these are unknown, unknown
And I can't really tell you what they will be. And if there is somebody who is able to predict all of this, then I think I would love to understand how they are doing it and what mechanism they are using. But right now we are not seeing any material change in customer behaviour.
I mean, so far, obviously the crisis is still young and it takes time for these things to flow through.
But our hypothesis is that both of these parameters will deteriorate for us, not improve.
Sandeep Joshi: Sure, sir. Understood. Thanks. That's it from my side.
Moderator: Thank you. We'll move to our next question from the line of Parth Gutka from 360 One Capital. Please go ahead.
Parth Gutka: Yes, hi, sir. Thanks a lot for the opportunity. So, my first question is what would be the NIM drivers going into FY27 considering, we may see a rate hike maybe at the fag end of the calendar year or the fiscal year.
P.R. Seshadri: The NIM drivers for us are largely change in asset mix, is the biggest driver. So, if we can get more larger proportion of our book to be Retail and MSME, automatically NIMs open up because on the corporate side we are dealing with very, very high -quality corporates and there the NIMs are very, very low. So product mix change is the biggest driver of NIM.
The other driver of NIM for us is going to be rate hikes. So on the way down, we were the most impacted institution essentially because of the fact that we give effect to an RBI rate change on a T+1 basis. So if repo rate changes today, we give effect to i t tomorrow.
So on the way down, we hurt more, but it also makes us more responsible in trying to understand how to address that going forward. So, you know, so but we'll also be the biggest gainers when on the reverse side. So if rates were to be hiked and we are hoping that they are sooner rather than later, we will

be a large, fairly substantial beneficiary of any such move.
The other thing that we are doing on the NIM side is basically changing the way we measure and task our folks. So we've been more biased towards the headline numbers in our goal -setting methodologies in the past, essentially because we used to be growth ch allenged at one point in time.
And now that we are growing quite nicely, our target setting and goal -setting mechanisms have been changed to include revenue goals as a specific goal, which means that there is pressure at the front end to also, you know, price these assets more appropria tely.
So I think these are the two or three things that we are doing which will enable us to widen these NIMs. So over the last two quarters our NIMs have improved by about 15 basis points, I mean six basis points in Q3 and nine basis points in Q4.

And we don't have —as far as we are concerned these NIMs will continue to widen. I mean we

don’t see any reason why they should actually stop widening. I also request Vinod Francis to add his colors.
Vinod Francis: Yes, Parth. So in addition to what our MD was mentioning , another one more factor that can come in Favor for us is the repricing of deposits because we have almost say 60 to 65% of our deposit is due for repricing during this financial year, considering the average tenor of our deposits.
So that will also come in Favor of us because majority of these deposits having a higher prices which has been contracted earlier. So that we expect to come in Favor of us in addition to the levers what our MD was mentioning.
Parth Gutka: Yes. So sure, sir. So you mean to say 60 to 65% of the deposits will come for repricing, but this quarter if I observe, your cost of deposits have gone up by two to three bps if I'm not wrong.
Vinod Francis: Yeah, correct.
Parth Gutka: So what is actually happening? Because still the deposits are yet to reprice and our cost of deposits is inching up. So just trying to understand here.
P.R. Seshadri: Yes. So here in this current quarter what happened is that we have slightly moved the deposit rate considering the deposit growth. So if you see our deposit prices compared with the market rates, we were little lower than the other competitors.
So considering that to having some buckets to have the growth, we have slightly repriced the deposit rates and this has slightly resulted in the growth of cost of deposits by three basis points.
But going forward what we expect is that the deposits which h ave already been contracted at a higher rate in the earlier years, that is yet to reprice, so that will be at a lower price in the current running rate.
Parth Gutka: Sure, sir. And my second observation was the non -resident deposits which you give in the investor deck. If I calculate that as a percentage of total deposits, that has been coming down.
So are we losing, sort of market share in the non -resident deposits?
P.R. Seshadri: Our total staff strength, you know, we do have a representative office in the Gulf and our staff strength there is small. And their productivity has actually been inching up quite considerably.
And I think we were, the rate of growth of our non -resident deposits has stepped up quite considerably during the last year.
So, we grew non -resident deposits 12% last year as against 7% the prior year. So, the way we see it, we are actually growing year -on-year. If we’ve lost market share, and I don’t have the market share statistics with me, the SLBC will give us for Kerala an d so on and so forth, but I don’t have it readily available.
That it is quite feasible that we were losing market share at one point in time, but I think our performance during the last year has been significantly better. I don’t know whether there's a

material

change as a consequence of that in our market share. But rate of growth has kept up quite considerably and that is visible in the numbers that we we've shown you in page 21 of the deck.
Parth Gutka: Sure. And my last question is, sir, the impact of the one -time transition impact of ECL and do we hold any buffer floating provisions for the same?
P.R. Seshadri: I will ask our CFO Vinod Francis to respond.
Vinod Francis: Yes, Parth. So, with regard to this ECL transition, currently we are not holding any floating provision in our books. So, what we expect is that based on the current estimate, we don’t estimate any material impact over there , mainly because of few factors that if you see our numbers, SMA numbers, is on a declining trend and is close to 0.6% of our total book.
So that is only the total SMA 1 and 2 numbers to the total loan portfolio . And another factor is that if you can see that our provision coverage ratio which is currently at close to 80%. So, considering the existing credit quality and the recovery pattern what we follow for the last two to three years, we don’t expect any mater ial impact due to this transition.
Parth Gutka: Sure, sir. Thanks a lot for answering my questions.
Moderator: Thank you. Next question is from the line of Niraj Jalan from BOBCAPITAL . Please go ahead.
Niraj Jalan: Thanks for the opportunity. Congratulations on a good set of numbers. So, my first question is like we note that the old book accounted for around 12% of the gross advances as of FY26. So, when do you expect the old book to completely run down?
P.R. Seshadri: Some of these loans are I think working capital facilities which they do annually renew. you know, the way we are seeing this today is that the old book has become quite a small proportion of the total book and therefore maybe the distinction between the old and the new is perhaps outliving its utility.
So, we are internally debating whether we need to do this segregation at this point in time or not because our losses across the board are so low, I mean our slippage rate for the for the quarter

was only 15 basis points.
Whilst a substantial sizeable portion of that did come from the old book, but on an aggregated basis the slippage is so low that this distinction may or may not be really important. So, to answer your question, we don't, I can't really predict when this is going to run off because some of these are longer duration facilities.
The term facilities will anyway amortize to term, but I suspect that a large portion of these are now working capital facilities and consequently it's harder for us to estimate. The way we deal with this is that we reclassify an old facility as a new one i f we are giving enhanced limits to them.

But in the event, we are just maintaining those lines, then continue to class them in the old set.
So, it's an area of some debate within the bank as to whether we need to continue this distinction or whether to, you know, look at the whole thing as one bucket.
Niraj Jalan: Understood. Got it, sir. And sir, in the gross NPA movement, the reductions have increased to around 13 billion in Q4 versus 3 billion in Q3. So, what would be the breakup between recovery and write -off?
P.R. Seshadri: I will give this phone to my colleague Vinod Francis to answer that.
Vinod Francis: Yes, Niraj. With regard to the reduction in the gross NPA, one major factor is the technical write -off what we have done in the March quarter. That amounts to 1,048 crores for the March quarter.
Niraj Jalan: Okay.
Vinod Francis: And balance is the recovery.
Niraj Jalan: Okay. And this write -off is basically technical write -off?
Vinod Francis: That's the technical write -off.
Niraj Jalan: Okay. Understood. And sir, as you pointed out that there is hardly any impact like it's not material, the ECL transition impac

t, but on a steady state basis also as per your internal estimates, there won't be much of a material impact. That's correct?
Vinod Francis: Sorry, can you come again?
Niraj Jalan: So ECL transition impact, there are two kind of impact due to ECL transition: one is the one - time impact and the other is the on a steady state basis what would be the impact . Yes. So, I think you answered in the earlier call that the one -time impact would be not material. And I'm asking on a steady state basis, are you expecting an impact on the numbers?
Vinod Francis: Yes. So, what we expect is that our asset quality will continue to hold at this levels, maybe slight changes may happen in the future depending upon the market condition. But we don't expect any drastic change over there. So, by depending upon that, we do n't expect any material impact over there also from the steady run also.
Niraj Jalan: Okay. Understood. And sir, with respect to the MSME segment, there was a sequential decline in the numbers, close to 2% odd there was a decline on a sequential basis. So, any stress you are witnessing on the MSME portfolio?
P.R. Seshadri: I think the decline is on account of write -off. It is not decline on account of anything else. We are not seeing any current no material stress that is visible at this point in time. In the MSME segment our write -off was 554 crores and the dip is roughly about 230 crores or 40 crores.
So, there's actually a growth quarter on quarter, but having said that, you know, we are not seeing any significant stresses at this point in time.

Niraj Jalan: Understood. And sir, last question from my side. Around 28% -30% of the total deposits are from the NRI deposits. Of this, I believe the deposits from the GCC region was close to 80% in FY23.
So, what would be that number as of FY26 and are you also witnes sing any stress due to the West Asia conflict on the NRI deposits per s e? Yes, that is my last question.
P.R. Seshadri: We are not seeing any stress because of the NRI conflict, if anything we are seeing a slightly enhanced level of activity when it comes to inward remittances and deposits. The exact number as to what proportion of our NRI book is West Asia and what is not is not available with me right now and we will make it available subsequently. I mean I don't, I'm not carrying this information at this point.
Niraj Jalan: Sure, sir. Thanks for answering my questions. Thank you.
P.R. Seshadri: Thank you.
Moderator: Thank you. Next question is from the line of Varun from Bandhan Life. Please go ahead.
Varun: Yes, thanks for the opportunity and congrats on good set of numbers. So, first question is

basically you know if I see last few years bulk of the growth has basically come from our existing branches. So, from next leg of growth perspective, do we need to add branches or would we look to continue optimize our existing network? How do you see it?
P.R. Seshadri: It's a very good question. We've been, you know, we started out with high cost -to-income ratios and our view was that we need to become more profitable by sweating assets that we have and make them more efficient. Our view is that we've now, you know, our total value addition from the branches have doubled over the last eight or nine quarters.
There is still some runway there and we can get more and that requires us to redo our processes and ensure that our systems are, you know, even more efficient so that ease of doing business improves. So that thing we will continue to do. We are also build ing out alternate distribution mechanisms, so earlier we were not working with market participant like DSAs and all of that and now we've started.
And our digital offerings have also improved very considerably. So we launched a new digital offering called SIB RED, which is a full -fledged digital bank in and of itself towa

rds the end of
March. And we continue to work on more of those kind of offerings . And we are building out fairly substantial digital asset which we didn't have in the past.
So for instance we have something called Fincredibles and we have a very active blog.
Fincredibles I think is one of those entities which has a very large number of followers. I mean sometimes I wonder as to how we've got so many followers when some of the larger institutions don't seem to have you know such kind of offerings.
So the idea is to build more digital assets which gets us digital -friendly customers to come there and that we can use as a hook for originating business. So we are working on multiple things.
We may have to start increasing our branches. There are parts o f the Southern India where our branch density is quite low.

So, we've been talking at the board level to grow branches in Tamil Nadu, Andhra Pradesh, Telangana, Karnataka, Maharashtra, Gujarat and New Delhi. These are the areas where we would like to increase branches, but we will do that very, very deliberately and, you know, while ensuring that the efficiencies that we have been able to gain in the branches we continue to work on that , so that we make our method of doing business easier for our people and we get significantly greater throughputs from them because that's the only way to grow in a manner where income and c osts grow commensurately. So I don’t know if I've answered your question.
If there's anything else, I'd be very happy to answer.
Varun: I broadly understood the thought process, but would it be right to conclude that from near to medium -term perspective branch expansion is not going to be the focus area.
P.R. Seshadri: Branch expansion is not going to be the only method by which we are going to grow business. I mean there will be some expansion. If you see our numbers for the last seven -eight quarters actually branches have not grown, they've only shrunk. So we came dow n from 955 to 948. So there will be some growth and but at the same time we will use every other distribution mechanism that is available to grow in a controlled manner.
Varun: Understood. And my second question is how do you see the, you know, the quality of customer franchise that we have today in terms of cross -sell potential and how do we see, you know, our preparedness today to sort of monetize this cross -sell opportunity, especially in the situation that our share of distribution income is still fairly low in our case. How do you see it?
P.R. Seshadri: When you say distribution income you mean income from sales of other third party products.
Varun: Yes, third party products.
P.R. Seshadri: Some of that is also because of, you know, our own reticence to, to push it very aggressively.
And our belief is that we’ve been a very responsible institution. We’ve treated our customers well. We’ve tried to sell products that they actually need, and con sequently we've turned out to be a very high trust institution, that's our belief. And we want to ensure that the trust that our customers have in us continues.
So which enables us to actually leverage our customer base and grow our balances quite nicely.
And I think that is reflected in the fact that we got good CASA growth last year and this CASA growth has been, you know, generic growth across all our regions, all the states that we are operating in, we've had very substantial growth.
So I think we are in a good position to leverage the customer set. We have a good quality customer set. Obviously there are certain types of customers that we wish we had more, like for instance salary savings type of customers who work in large corporatio ns where we are underrepresented. That's an area that we've started work on about 18 months or so ago and we are hoping that we will continue to grow that.
We are leveraging this

base to sell internal products. So we sell personal loans to them. Our total
personal loan base is largely, you know, pre -approved sale to our own customers. Our loss rate
and loss experience on that book is very good, so you know we lose approximately 3.5% to 4%

where the spreads are 11 or 12 percent. So I think we are feeling reasonably confident about the
quality of our franchise, and more importantly we are very happy about the fact that we've dealt
with them in a mature manner and we have a relationship that w e can exploit as we go forward.
Moderator: Thank you. We'll take our last question from the line of Deep Shah from Nv Capital. Please go
ahead.
Deep Shah: Thank you for the opportunity. Sir firstly congratulations on a great set of numbers.
Moderator: Deep can you use your handset mode please your audio is very low.
Deep Shah: So sir, my question is slightly broad based you mentioned about your emphasis on product, loan
mix change where you will focus more on retail segments. Sir, firstly I just want to understand
if you have, I mean a product mix target over let's say a medium term let's say 38% of our loan
book is currently corporate, right? So I mean do you have any target where you or sweet spot
that you'd like to achieve over a two to three year period?
P.R. Seshadri: We would like to bring our corporate book down to about a third of our total balance sheet.
Within that also we have certain lower -yielding assets which are basically, you know, LC bills,
etcetera where we would like to bring that down. So we do have an i nternal target that we are
working to, but I don’t have it right here .
But I'll what I'll try and answer is in broad terms, which is basically we want to bring corporate
down and within corporate there are some segments which are specifically even lower yield,
which is this very short duration moneys that we give to very highly -rated corporates.
That again we want to bring down a little bit more so that the, you know, the corporate goes
down from 38 to 33 and within the corporate the ultra -short duration goes down from roughly
20% or 25% of our book down to perhaps 10% of the book. Now the ultra -short-term assets have
the advantage of providing liquidity buffers for us, but having said that the yield is so low that
perhaps it's a good trade -off for us to have.
Now the difference that 5% on a portfolio basis we want to move to retail, MSME and agriculture
where the spreads are significantly larger. Now I don’t want to go into specific details of where
how much it will grow, but we do have those numbers internally , but broadly that is what we
are trying to do in the near term.
Deep Shah: Thank you.
Moderator: Thank you. We’ll take our next question from the line of Jai Prakash Mundhra from ICICI
Securities. Please go ahead.
Jai Prakash Mundhra: Yeah, hi, sir. Sir, quickly on this ECLGS scheme, so would it be fair to assume that your entire
MSME portfolio will qualify because all are MSME and even the non -MSME I believe it is like
MSME but those who are not registered with Udyam, will that be fai r assessment? Because I
think the ticket size is capped at INR100 crores so all MSME should ideally qualify, will that be
correct?

P.R. Seshadri: That is true.
Jai Prakash Mundhra: Okay. And sir if you can recall let's say the ECLGS portfolio, I mean this a great scheme and
the results of, you know, COVID scheme I think is very, very clear. But if you can recall your
experience if you had to devolve any guarantee and how easy or dif ficult it is to redeem that
guarantee from government?
That is number one in terms of procedure and in terms of did you claim any guarantee and did
you finally get those guarantee? That is question number one. And the slippages in ECLGS book
earlier that was I m

ean let's say similar to bank level slippages, ri ght, in let's say FY23, FY24
period or was it lower higher?
That is the real question. So A, the slippages in ECLGS was it similar to overall bank level or
lower higher and how difficult or easy was it to claim the NPA or slippages there?
P.R. Seshadri: Yes, before I hand over this to Senthil, my colleague, he’s not here. Yes, Senthil on the call.
Senthil Kumar: I am on the line sir.
P.R. Seshadri: Okay, wonderful, wonderful. So let me just sort of add to something on the on the new scheme,
Jai, I haven’t gone through the scheme and the terms of that scheme in detail. So whilst I believe
that our entire MSME portfolio will qualify, I cannot assert to that with 100% certainty since
we’ve not, you know, done the full research associated with it. Now Senthil is on the call, he’s

an expert on the ECLGS scheme, so maybe he can answer your questions better than I can.
Senthil, over to you.
Senthil Kumar: So, Jai, there are two parts to your question. One is with regard to whether the ECLGS portfolio behaves differently from the core portfolio of the bank. See, we have to understand that the ECLGS was fundamentally an add -on to the existing portfolio. So c ase goes bad the portfolio that is on the bank's book plus the ECLGS go down together. So there's no fundamental difference between the portfolio behaviour, only those that are not ECLGS availed clients, probably they were at a better footing on day one itself because they didn't have the requirement to take the incremental credit.
But if you were to look at the portfolio per se whether there was a significant difference between those who never availed and those who took, I don’t think there was a significant difference.
Now, the second part with regard to ECLGS claims. See, there are there are a set of processes which have been laid down which need to be followed to a tee
So getting the first 75%, I think generally has been easy. The second 25% have been a bit of a challenge because there are a few guidelines that are there on the ECLGS which says, see, suppose you were to go for a settlement with a borrower. That is not an allowed method of settlement under the ECLGS scheme.
So from the ECLGS scheme perspective, unless you complete the legal process, it's not possible for you to get the balance 25% in place. If you do a settlement with a borrower, the first 75% that you’ve collected also needs to be given back. So those I think are the challenges from a

government credit enforcement perspective. If you were to look at the ECGC scheme or the other schemes, OTS is allowed as a settlement model, so there's not been too much of a challenge.
ECLGS per se, wherever we have to do settlements with borrowers, we've found it to be a challenge in terms of the recovery from the guarantees. Otherwise I think from a process perspective if you've followed the process right, I don’t think we've had chall enges. And on the portfolio I don’t think we've had too much of a difference between the portfolios that have availed ECLGS. I’m saying it behaved better than what we thought would be the final hit that we would have to take.
P.R. Seshadri: Senthil, the only difference may be that the new scheme may be, you know, slightly different from the old ECLGS, so we don't know, we haven't yeah, we haven't seen it fully. Yeah and.
Sorry sir go ahead.
Senthil Kumar: Yeah. And this new scheme predominantly tries to target the airline segment and other than that the MSME segment. See, we don't have that sort of a stress on the portfolio at this point of time.
So the earlier phase when we were to look at ECLGS 1, that w as a phase when, you know, all the industries had a problem with regard to their business itself, there was a significant drawal, there was a significant challenges. That is when the first one came in. At thi

s point of time if you
had to look at underlying borrowers and the stress levels, I think we are at a much better footing, so we don't know how much of a requirement will come on the ECLGS drawal position itself.
Jai Prakash Mundhra: Sure. Then, sir, if you have any data question, sir, I wanted from Vinod sir. The breakup of this INR195 crores of other income and maybe for INR760 crores which is there for the full year, the other in the other income. Thank you.
Vinod Francis: Yeah, Jai. One major item that comes into that particular bucket is the bancassurance income and one another one is the recovery from technically written -off accounts. I will give you the breakup separately on a mail or something.
Jai Prakash Mundhra: Sure, sure. No, no issue, sir. Thank you and all the very best, sir.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. P.R. Seshadri, MD and CEO, for closing comments. Over to you, sir.
P.R. Seshadri: Thank you very much, ma'am. At the outset, allow me to thank all the folks who dialled into this call. We are very, very grateful for their time. We want to reiterate that we've had a very good year this year and a good quarter. And, you know, it's been a period of consolidation.
I think our balance sheet is in is in good shape. Our asset quality has improved very, very dramatically and we are well -positioned to meet the challenges that the environment throws at us. And we think that from a growth perspective we are well -positioned to actually achieve the growth numbers that we've set for ourselves. And we are very thankful for all the help and support that each one of our investors have provided us and we wish them the very best going forward. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.